TELEKOM AUSTRIA

Annual Report 2003

Key Figures of Telekom Austria Group

Key Data – Operational	Dec. 31, 2003	Dec. 31, 2002	Dec. 31, 2001
Wireline			
Fixed access lines (in ´000s)	3,010.8	3,097.3	3,166.8
• Thereof ADSL access lines (in ´000s)	261.1	174.1	100.6
Fixed access channels (in ´000s)	3,684.2	3,762.3	3,806.2
Internet customers in Austria (in ´000s)	1,026.6	846.5	666.4
Customers Czech On Line (in ´000s)	279.4	275.3	238.2
Wireless			
Customers			
• in Austria (in ´000s)	3,163.2	3,001.4	2,849.9
• in Croatia (in ´000s)	1,210.5	1,097.8	855.7
• in Slovenia (in ´000s)	361.5	350.0	269.6
• in Liechtenstein (in ´000s)	2.5	2.0	1.3
Total (in ´000s)	4,737.7	4,451.2	3,976.5
Employees at year-end[1]	13,890	14,951	16,586

Key Data – Financial (in EUR million)	2003	Total managed 2002	Total managed 2001
Telekom Austria Group			
Operating revenues	3,969.8	3,908.2	3,859.3
Revenues excluding third party value-added service revenues[2]	3,923.9	3,849.8	3,810.4
Adjusted EBITDA[3]	1,509.8	1,464.4	1,377.3
Operating income	369.8	273.1	60.5
Net income (loss)	134.2	12.8	-104.6
Additions to property, plant and equipment	595.3	662.4	812.2
Net debt[3]	2,637.3	3,204.2	3,282.1
Equity	2,639.4	2,509.5	2,500.4
Adjusted EBITDA-margin (in %)[2] [3]	38.5	38.0	36.2
Net debt to equity – net gearing (in %)	99.9	127.7	131.3
Equity ratio (in %)	33.4	29.4	32.4
Return on capital employed – ROCE (in %)[3]	6.7	4.8	1.0
Return on Equity – ROE (in %)[3]	5.2	0.5	-

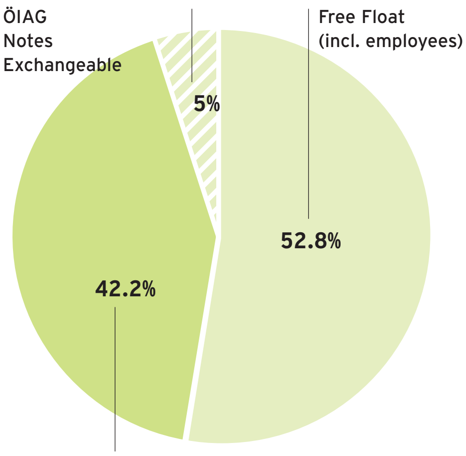
Key Data – Stock Exchange	2003	2002	2001
Earnings (loss) per share in EUR	0.27	0.03	-0.21
Market capitalization as of Dec. 31 (in EUR billion)	4.9	4.8	4.7
Stock price as of Dec. 31 (in EUR)	9.80	9.65	9.31
Stock price – high (in EUR)	11.10	9.95	9.48
Stock price – low (in EUR)	8.79	7.24	5.38

1) Full-time employees
2) For comparative purposes, prior periods have been adjusted to reflect the change in the accounting for third party value-added services in the fourth quarter of 2003. Revenues excluding third party value-added service revenues form the basis for the calculation of the adjusted EBITDA margin.
3) For definitions see glossary

Note: Following the acquisition of the remaining interest in mobilkom austria on June 28, 2002, Telekom Austria has consolidated the balance sheet of mobilkom austria for the first time as of June 28, 2002. The consolidated statement of operations for 2002 reflects Telekom Austria's equity in earnings of mobilkom austria through June 28, 2002 and consolidates mobilkom austria's results of operations for the period from June 28, 2002 to December 31, 2002. Total managed figures include 100% of the wireless business segment for all periods presented and are therefore comparable.

Shareholder Structure

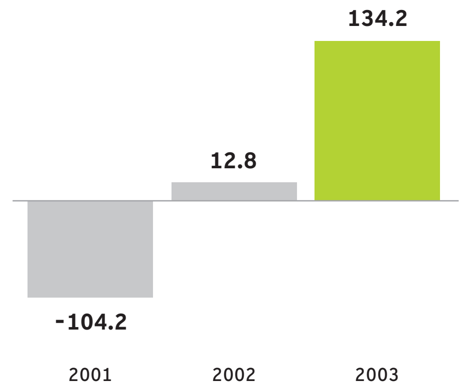
as of Jan. 21, 2004



Under
http://ar2003.telekom.at/key_figures
you can find more information about the
figures shown here by mouse click
and download them as Excel-file
for further calculations.

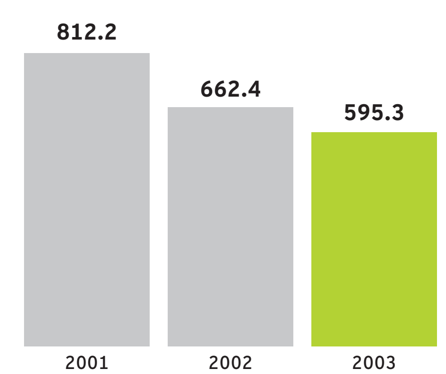
Net Income/Loss

in EUR million



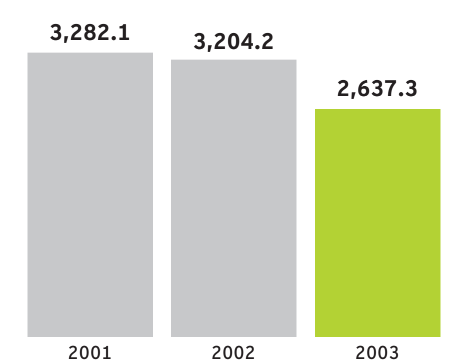
Additions to Property, Plant and Equipment

in EUR million



Net debt [3]

in EUR million



Market Share Wireline

55.3%

Market Share Wireless in Austria

43.3%

Market Share Wireless in Croatia

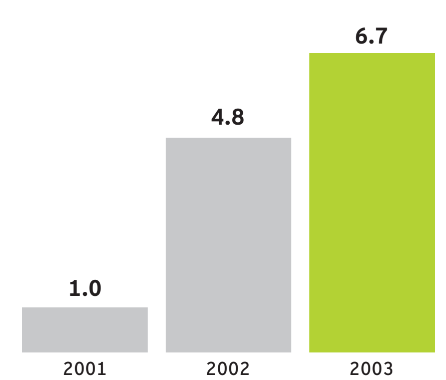
50.0%

Market Share Wireless in Slovenia

23.6%

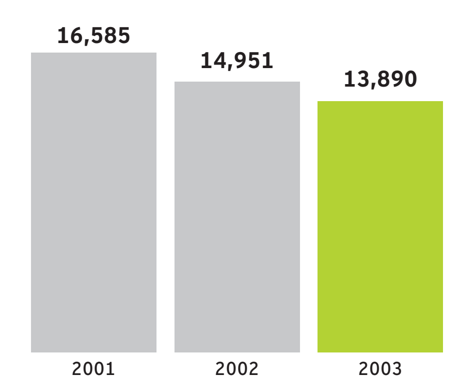
Return on Capital Employed (ROCE) [3]

in %



Employees

at year-end



Annual Report 2003

Under **http://ar2003.telekom.at/topics** you can tailor the online version of the annual report to meet your special needs via our subject access.

Introduction by the Management Board

Dear Shareholders and Business Partners of Telekom Austria,

On behalf of my colleagues on the Management Board, it is my pleasure to report to you on a very good business year. After the successful reorganization of the wireline segment and repurchase of the stake in mobilkom austria during the previous years, our activities in 2003 were focused on operating performance. We achieved our most important goal – the stabilization of our market position in a business environment characterized by strong competition. In the wireline business we were able to further curb the revenue declines recorded in previous years. Supported by steady growth in the wireless segment, this allowed us to increase Telekom Austria Group revenues by 1.6% to almost EUR 4 billion compared to the prior year. The 3.1% growth in EBITDA to EUR 1.5 billion is an impressive demonstration of our improved profitability – a decisive turning point that is underscored by the increase in net profit to EUR 134.2 million from EUR 12.8 million in 2002.

One year ago we promised you, the owners of this company, that we would resume dividend payments in 2003. We now intend to keep this promise, and will recommend that the Annual General Meeting approve a dividend of EUR 13 cents per share. With a cutback of more than 10% in additions to property, plant and equipment to slightly below EUR 600 million, we remained on our strict debt reduction course. The protection of our sound capital structure will remain one of the basic principles of our corporate policies. The solid development of our share price after the withdrawal of Telecom Italia in January 2004 demonstrates that past underperformance was caused primarily by the

share overhang that was expected to follow this placement. During the reporting year, we also successfully used the financing opportunities provided by the bond market. Within only a few hours in July 2003 we placed the largest corporate bond ever issued in Austria with a total volume of EUR 750 million, and thereby significantly extended the maturity structure of our financial liabilities.

And how were operations? Competition in the wireline segment is still intense, particularly with regard to business customers. Traffic is shifting more and more into mobile networks and shrinking the fixed line market. In spite of an extremely unfavorable business environment we were able to stabilize our market shares and substantially slow down the drop in revenues, partly through the successful marketing of broadband access lines. Although wireline EBITDA showed a decline in 2003, this figure increased slightly after an adjustment for headcount reductions and therefore documents the success of our cost-cutting measures.

The competitive environment in the Austrian wireless segment has always been quite aggressive, and continued to intensify during 2003. Nevertheless, we were again able to increase subscriber numbers during the reporting year. In Croatia, we raised our stake in VIPnet to 99% in 2003 and now look forward to stronger participation in this dynamic market. Against a background of regulatory uncertainty in Slovenia, our activities at

from left to right: Heinz Sundt, Stefano Colombo, Rudolf Fischer, Boris Nemsic

Si.mobil were focused primarily on improving the company's earning power. The cooperation with Vodafone, which began in early 2003, showed successful results during the first year – above all in the roaming business.

Our strategic interest during the reporting year was also directed to the extensive evaluation of a possible investment in Bulgaria. Even if we were unable to conclude this project as desired, we are still interested in developing opportunities in this region.

Our new corporate structures are now established and we have demonstrated our ability to succeed in a very competitive and difficult environment. The dynamics of the telecommunications market and continuing technological evolution will not, however, tolerate any standstill: in the wireline business, we intend to maintain our stabilization course by offsetting declines in voice telephony with growth in the broadband area as far as possible. We will also intensify value-oriented customer retention and win-back initiatives. A further reduction in operating expenses should at least guarantee the stable development of earnings. In 2004 we will also start planning the migration of the fixed line network to an Internet protocol (IP) based network, which will allow us to offer completely new services considerably faster and at lower cost in the future.

Under **http://ar2003.telekom.at** you can add your comments to each page of the online report and send it via e-mail.

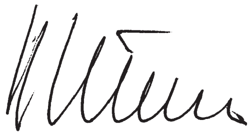
Our standing as a pioneer in the introduction of new data services as well as the expansion of our international business will support the development of the wireless segment, despite a decrease in growth rates due to price competition and high mobile penetration in the Austrian market. Our pioneering role in the implementation of UMTS gives us a first mover advantage in the utilization of this technology. We want to further intensify the partnership with Vodafone in the area of product development, services and procurement.

Based on this sound development we expect business performance in 2004 to be comparable to the prior year. Slower revenue declines in the wireline segment and continued growth in the wireless segment, albeit at a lower rate, will support a slight increase in revenues and EBITDA. A reduction in depreciation charges and interest expenses will lead to a further significant rise in net profit, and also allow for payment of a higher dividend. We intend to use higher cash flow for value-enhancing acquisitions or stock buybacks, and have created appropriate provisions for these steps in the 2003 balance sheet.

At this point, please allow me to make a few comments on the complete withdrawal of Telecom Italia in January 2004. This strategic partnership ended on a positive note for all parties, and raised our free float to 52.8%. We are well aware of our responsibility to this new expanded shareholder base, and took important steps in the prior year to strengthen corporate governance in our company.

In conclusion, I would like to express my thanks to our dedicated employees. The successful results that we achieved in spite of market conditions in Austria are due to their motivation and performance.

Sincerely,



Heinz Sundt, Chairman of the Management Board and Chief Executive Officer

Management Board

Heinz Sundt – Chairman of the Management Board and Chief Executive Officer
Heinz Sundt was born in 1947 and attended the School of International Trade in Vienna (Hochschule für Welthandel). He started his career at the Länderbank in 1967. From 1969 through 1986 he held management positions in the marketing and sales departments at IBM Austria, and from 1986 through 1989 he was the head of the telecom and network division. In 1989, Mr. Sundt became head of marketing and sales at Neupack GmbH, a subsidiary of the Mayr-Melnhof packaging group. In January of 1996, Mr. Sundt became the head of mobilkom austria and played a key role in the highly successful development of the wireless segment. Heinz Sundt was appointed Chief Executive Officer of Telekom Austria AG in April 2000.

Stefano Colombo – Vice Chairman of the Management Board and Chief Financial Officer
Stefano Colombo was born in 1961. After graduating from Luigi Bocconi University in Milan, he started his career in the corporate finance department of Mediobanca in 1986. From 1990 through 1994 he worked for the chemical corporation Enimont. In 1994, he was appointed Chief Financial Officer of Olivetti Telemedia. From 1996 through 1999 he served as Managing Director of Carrera Optyl in Linz, Austria, a sub-division of the Italian eyeglass producer Safilo. In 1999 he became the Chief Financial Officer of the Marcolin eyeglass company, where he also coordinated Marcolin's initial public offering. In April 2000 Stefano Colombo was appointed Vice Chairman of the Management Board and Chief Financial Officer of Telekom Austria AG.

Rudolf Fischer – Chief Operating Officer (COO) Wireline
Rudolf Fischer was born in 1953. After finishing his studies at the Vienna University of Economics and Business Administration, Mr. Fischer began his career at Alcatel Austria. In 1983 he became head of accounting and taxes at Alcatel Austria, and in 1988 he also took over responsibility for controlling. From 1989 to 1993 Mr. Fischer was the head of AOSA, a joint venture between Siemens AG and Alcatel Austria. In 1994 he was appointed Chairman of the Board of United Telecom Investment B.V. in the Netherlands. Between 1996 and 1998 he was President of LTOA, an association of local telecommunications operators in Hungary. In November 1998 Rudolf Fischer became a member of the Management Board of Telekom Austria AG, where he was responsible for technology and network operations. In November 2001 he was appointed Chief Operating Officer of the wireline segment.

Boris Nemsic – Chief Operating Officer (COO) Wireless
Boris Nemsic, born in 1957, earned his diploma as an electrical engineer at Sarajevo Technical University in 1980. In 1990 he was awarded a doctorate at the Vienna Technical University, where he was also employed from 1988 to 1990 as a scientific assistant at the Institute for Communications and Radio Frequency Engineering. From 1990 until his employment with mobilkom austria he headed the departments for mobile communications development at Ascom and Bosch Telecom in Vienna, Solothurn (Switzerland) and Berlin. In 1997 Boris Nemsic was hired by mobilkom austria as division manager for network planning. In November 1998 he took over as Managing Director of mobilkom austria's Croatian subsidiary VIPnet d.o.o. In May 2000 Boris Nemsic was appointed CEO of mobilkom austria. As of July 2002 he was also appointed to the Management Board of the Telekom Austria Group, where he is responsible for the wireless segment.


TRUST PAYS

Report by the Supervisory Board

Dear Ladies and Gentlemen,

Telekom Austria can look back on a successful year in 2003. Steady pursuit of the company's value-enhancing strategy is reflected in the favorable development of financial results, which will allow a dividend payment for the first time. Capital markets also acknowledged the efforts of the Telekom Austria Group to improve earnings with an increase in the share price following the complete withdrawal of Telecom Italia in January 2004.

The activities of the Supervisory Board in 2003 were concentrated on an intensive strategic dialogue with the Management Board as well as important changes in the area of corporate governance. The new election of the Supervisory Board at last year's Annual General Meeting further strengthened the transformation of this body into a panel of experts. The reelection of five members, including the Chairing Committee and the Chairman of the Financial Committee, will guarantee the necessary continuity.

The business development of the Telekom Austria Group was discussed extensively during seven meetings of the Supervisory Board, three meetings of the Financial Committee and one meeting of the Audit Committee. Furthermore, the progress of key strategic projects as well as the efficiency of risk management and internal control systems were also monitored.

The strategic orientation of the group was discussed in detail together with the Management Board at a strategy workshop in May 2003. The Supervisory Board fully supports the strategic positioning of the Telekom Austria Group and, above all, sees an exceptional opportunity in the value-oriented expansion strategy of the wireless segment. Two meetings of the Supervisory Board were dedicated to the general growth potential of the mobile communications market in southeastern Europe and, in particular, to a possible expansion project in Bulgaria. The group's strategy is also reflected in the budget for 2004 and business plan for 2004 – 2007, which were both approved at the Supervisory Board meeting in December 2003.

The successful placement of a corporate bond to extend the maturity profile of financial liabilities was monitored on a regular basis by the Supervisory Board and the Financial Committee. This corporate bond, the largest ever issued in Austria to date, will not only safeguard the economic flexibility of the Telekom Austria Group, but also provide a sound financial base for the successful implementation of the group's strategy.

The Supervisory Board of Telekom Austria is highly committed to compliance with the Austrian Corporate Governance Code and to responsible company management and control aimed at creating sustainable value. Telekom Austria is also subject to US capital market regulations because of its listing on the New York Stock Exchange. American corporate governance rules were amended through far-reaching changes as a result of the Sarbanes-Oxley Act, which was enacted to strengthen investor confidence. Most of the implementation rules for foreign issuers were only enacted during the course of 2003, and the Management Board will therefore only be able to issue a declaration of compliance with the Austrian Corporate Governance Code this year.

Supervisory Board of Telekom Austria AG

Peter Michaelis[1]
Chairman
Member since June 28, 2001
Spokesman of the Management Board of
Österreichische Industrieholding AG (ÖIAG)
Member of four supervisory boards[3]

Edith Hlawati[1]
Vice Chairwoman
Member since June 28, 2001
Partner with Cerha Hempel Spiegelfeld Hlawati
Attorneys-at-law

Rainer Wieltsch[2]
Chairman of the Financial Committee
Member since June 12, 2002
Member of the Management Board of
Österreichische Industrieholding AG (ÖIAG)
Member of six supervisory boards[3]

Johann Haider
Member since June 4, 2003
Chairman of the Management Board of
Österreichische Elektrizitätswirtschafts AG

Stephan Koren[2] (until August 25, 2003)
Member since September 17, 1999
CEO of Österreichische Postsparkasse AG

Harald Sommerer[2] (since August 25, 2003)
Member since June 4, 2003
Member of the Management Board of
Austria Technologie & Systemtechnik AG
Member of one supervisory board[3]

Harald Stöber
Member since June 4, 2003
Chairman of the Management Board of
Arcor AG & Co. KG

Gerhard Zeiler
Member up to June 4, 2003
CEO of the RTL Group

Otto G. Zich
Member since September 17, 1999

Personnel Representatives delegated by the Works' Council in accordance with § 110 (1) of the Austrian Labor Management Act:

Wilhelm Eidenberger
Member since April 30, 2001

Kurt Friedl
Member since October 21, 2003

Walter Hotz
Member since December 9, 2003

Erich Huhndorf
Member up to November 30, 2003

Michael Kolek[1, 2]
Member since March 20, 2002

Karl-Heinz Muik†
Member up to August 16, 2003

1 Chairing Committee
2 Financial Committee (Audit Committee)
3 In accordance with Rule 54 of the Austrian Corporate Governance Code, the information on the number of supervisory board mandates refers to publicly traded companies that are not part of the Telekom Austria Group and also excludes Telekom Austria (chairmanship counts twice).

The heart of US reforms in the field of corporate governance is formed by the strengthening of the Audit Committee to monitor the correctness of financial reporting. Long before the requirements of the Sarbanes-Oxley Act took effect, the Supervisory Board of Telekom Austria equipped the Financial Committee with the powers of an Audit Committee and issued special rules of procedure for this body.

In its constitutive meeting the Audit Committee approved the scope of all audit and non-audit services to be performed by the group's auditors for the years 2003 and 2004, and thereby made an important contribution to overseeing the independence of the auditing firm. Strict, standardized reporting requirements for the auditor in dealing with the Audit Committee meet US capital market regulations. They also improve the transparency and quality of discussions by this body on the annual financial statements of Telekom Austria and consolidated financial statements for 2003.

The annual financial statements of Telekom Austria AG and consolidated financial statements were audited by KPMG Alpen-Treuhand GmbH Wirtschaftsprüfungs- und Steuerberatungsgesellschaft and awarded unqualified opinions. The management report and group management report are consistent with the annual financial statements and consolidated financial statements.

The Supervisory Board approved the annual financial statements for 2003 after extensive discussions and examination in accordance with § 125 Par. 2 of the Austrian Stock Corporation Act. Furthermore, the Supervisory Board approved the consolidated financial statements, which were prepared in accordance with § 245 a of the Austrian Commercial Code pursuant to U.S. GAAP, as well as the reconciliation report that was prepared in accordance with § 245 a of the Austrian Commercial Code, the management report and the group management report.

The Supervisory Board agreed with the recommendation made by the Management Board to pay EUR 0.13 per each share that is entitled to a dividend and carry forward the remaining amount.

In conclusion I would like to express my appreciation to the management and employees of the Telekom Austria Group, whose performance and innovative power played an important role in the development of the company. I would also like to thank all Telekom Austria customers and shareholders for their confidence and support. Please remain with the company on its successful journey into the future.

Peter Michaelis
Chairman of the Supervisory Board
Vienna, March 2004

Corporate Governance

Successful realization of major innovations.

Quick Info

- Far-reaching implementation of US Sarbanes-Oxley Act
- Telekom Austria commits to the principles of the Austrian Corporate Governance Code
- Compliance guidelines fulfill US capital market requirements and exceed Austrian standards

The complete withdrawal of Telecom Italia in January 2004 raised the percentage of Telekom Austria's free float to a majority share of 52.8%. This development underscores the increasing importance of corporate governance for Telekom Austria. Guidelines were revised extensively during the reporting year. Telekom Austria voluntarily complies with the Austrian Corporate Governance Code, and is also subject to the legal requirements of the US Sarbanes-Oxley Act because of its listing on the New York Stock Exchange.

Sarbanes-Oxley Act

This system of legal regulations was enacted by the US Congress in summer 2002 in response to numerous stock exchange scandals, and is designed to increase the protection of investors through the introduction of more detailed and reliable reporting requirements.

Both management and auditors are subject to additional requirements; the establishment of internal organizational structures is intended to guarantee the reliability of annual financial statements and the required disclosure of key information. Beginning with the 2002 business year, the Chief Executive Officer and Chief Financial Officer must expressly confirm the correctness of the annual financial statements and the effectiveness of the disclosure control system. Violation of the provisions of the Sarbanes-Oxley Act can involve serious consequences, which may range from delisting of the company to lengthy prison sentences for management.

The preferred medium for reporting and compliance with the provisions of the Sarbanes-Oxley Act is the so-called Form 20-F, the annual report as submitted to the US Securities and Exchange Commission (SEC). The Form 20-F for Telekom Austria is available on our website under www.telekom.at

Disclosure Committee

The creation of a Disclosure Committee is intended to guarantee that all information provided to shareholders is correct, complete and in accordance with the actual financial and operating position of the Telekom Austria Group. At Telekom Austria the Disclosure Committee reports directly to the Chief Executive Officer and Chief Financial Officer, and is comprised of the heads of the accounting, legal and investor relations departments of the Telekom Austria Group.

Code of Ethics

The standards defined in the Code of Ethics of the Telekom Austria Group are designed to guarantee honest behavior in keeping with the basic principles of corporate ethics, particularly with respect to conflicts of interest between personal and professional relationships. Based on legal regulations, this code is directed to the members of the Management Board as well as the heads of departments involved in financial reporting. The Telekom Austria Code of Ethics has been published on our website under www.telekom.at, where changes are also shown as required by law.

Audit Committee

Long before the implementation date specified in the Sarbanes-Oxley Act (July 31, 2005), the Supervisory Board of Telekom Austria created an Audit Committee by entrusting the Financial Committee with the necessary duties. The Audit Committee, which was established as a working group of the Supervisory Board, assists this body in monitoring the integrity of the financial statements as well as the quality, independence and performance of the auditors and the functioning of internal audit controls. It is comprised of three members of the Supervisory Board, whereby one member must be familiar with the reporting requirements according to U.S. GAAP ("financial expert"). This obligation was met with the appointment of Harald Sommerer to the Supervisory Board.

A number of provisions in the Sarbanes-Oxley Act need only be implemented during the coming years. For example, Telekom Austria must publish a report on the internal control of financial reporting in Form 20-F beginning with the 2005 business year and at a later date must also meet requirements on partner rotation with regard to auditors.

Austrian Corporate Governance Code

In 2003 Telekom Austria was able to define the interaction between the provisions of the Sarbanes-Oxley Act and the Austrian Corporate Governance Code. With the publication of the Annual Report 2003 Telekom Austria commits itself to complying with the Austrian Corporate Governance Code.

Ever since its initial public offering in 2000 Telekom Austria has declared its commitment to maximum transparency in reporting, in line with international capital market practices. Telekom Austria has developed a reporting culture that far exceeds Austrian requirements. Therefore, the company's commitment to the Austrian Corporate Governance Code did not result in a major need for action.

The Code, which is available on Telekom Austria's corporate website under www.telekom.at, comprises 79 rules. Of these, 23 ("L Rules – legal requirements") refer to existing mandatory requirements such as stock exchange or stock corporation law. A further 45 rules are classified as comply or explain rules ("C Rules"), and details must be provided on any deviations. The remaining 11 rules ("R Rules") have recommendation character, and noncompliance must neither be disclosed nor explained.

Telekom Austria meets all legal requirements of the Austrian Corporate Governance Code in full. The company also complies with most of the C Rules but a number of provisions cannot be met, in part because of the Sarbanes-Oxley Act:

Rule 4:
Countermotions are not published on the company's homepage because the annual general meeting is the forum for such proposals.

Rule 28:
Resolutions concerning stock option plans for the Management Board are passed by the Supervisory Board. The parameters of the intended stock option plan were presented to the Annual General Meeting on June 4, 2003.

Rule 38:
The articles of association do not include an age limit for the last possible nomination of a person to the Management Board. A change will be proposed to the next Annual General Meeting.

Rule 40:
The Financial Committee serves concurrently as an Audit Committee in accordance with the provisions of the Sarbanes-Oxley Act, the standards relating to Listed Company Audit Committees of the Securities Exchange Commission (SEC) and the relevant regulations that govern Telekom Austria AG as a foreign issuer.

Rule 42:
A Strategy Committee has not been established since the entire Supervisory Board deals with the strategy of the company.

Rule 43:
The Chairing Committee of the Supervisory Board assumes the functions of a Personnel Committee.

Rule 49:
Consulting contracts with individual members of the Supervisory Board or companies closely related to these persons as well as the relevant fees are published in the annual report in accordance with U.S. GAAP. (See appendix p. 82 – Related Party Transactions.)

Rule 51:
The members of the Supervisory Board were elected by the Annual General Meeting on June 4, 2003. The first priority was to create an expert Supervisory Board; a representative was not elected for free float shares.

Rule 54:
The articles of association do not include an age limit for the last possible election of a person to the Supervisory Board.

Rule 63:
The outlook covers the current business year. If there are any major differences to previous statements, we inform our stockholders.

Rule 66:
The information provided in the notes to the annual financial statements is based on U.S. GAAP and includes an explanation of the risks associated with financial instruments. In addition, we also provide extensive information in our annual report to the SEC (20-F) on risks associated with business operations and the development of the company's share. These reports are published on our website www.telekom.at.

Rules 77 and 78:
The management letter and auditor's report on risk management are presented to the Chairman of the Financial Committee / Audit Committee, who ensures corresponding discussion and actions by the Financial Committee / Audit Committee.

Compliance Guidelines

In order to prevent the misuse or distribution of insider information, Telekom Austria has issued compliance guidelines for the Group that meet both Austrian and US capital market rules. Sixteen classified units have been defined within Telekom Austria AG. All members of the Supervisory Board of Telekom Austria have voluntarily accepted these guidelines, and therefore form a separate classified unit. By issuing the corporate bond, Telekom Finanzmanagement GmbH became a separate classified unit within the compliance organization of Telekom Austria.

Telekom Austria holds regular workshops for managers and employees who work in classified units to promote a strong understanding of compliance. Specific blackout periods prior to the announcement of annual and quarterly results, which exceed the legal requirements of the Issuers Compliance Regulations, as well as organizational measures in the area of IT security, documentation and the distribution of sensitive data are designed to prevent the misuse of insider information. Trading of Telekom Austria shares by the members of the Management Board and Supervisory Board is not only reported to financial market supervisory authorities, but also published on our website in accordance with the Austrian Corporate Governance Code.

Value Driver Note No. 1

A reduction in additions to property, plant and equipment in the wireline area provided the basis for a sustainable increase in cash flow – the resulting decline in depreciation also supported a major improvement in operating income.

Ratio of additions to property, plant and equipment to revenues declined from 15.4% in the prior year to

13.9% in 2003.

The capex boards implemented in 2002 to monitor capital expenditures have already produced results.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Investor Relations

After only a slight increase in the Telekom Austria share during 2003, the withdrawal of Telecom Italia in January 2004 brought a positive turnaround.

Quick Info

- Underperformance of share ends with Telecom Italia withdrawal in 2004
- Free float rises to 52.8%
- Increasing analyst coverage

Market Developments

During the first quarter of 2003 the mood on international financial markets was heavily influenced by fears of war and recession, and leading stock indexes throughout the world reported new record lows. The first signs of economic recovery in the USA and relatively quick end to the war in Iraq brought a positive turnaround in April. Continuation of the US Federal Reserve's low interest rate policy and government tax cuts triggered an economic upturn, which spread beyond the borders of the USA.

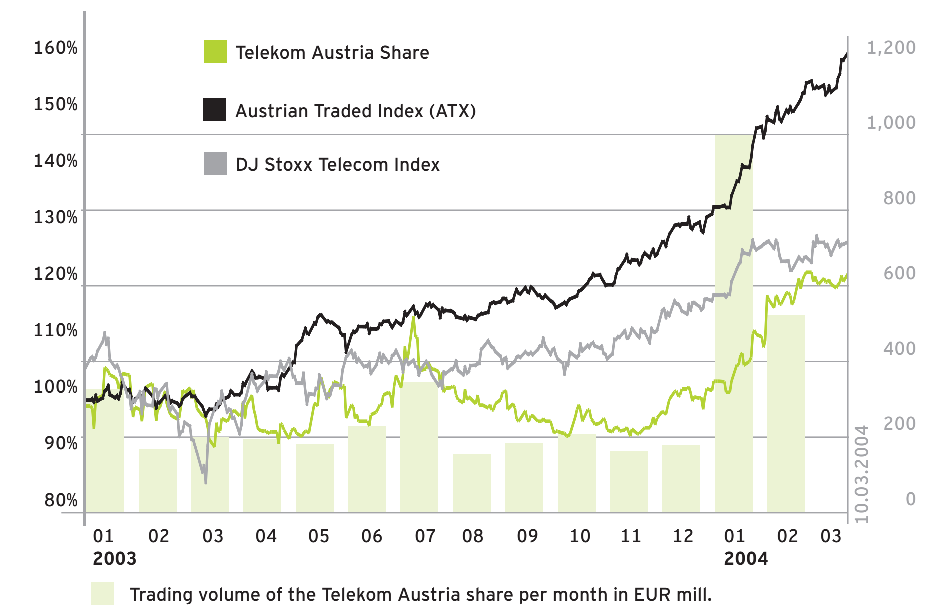
All major stock indexes reported gains in year-to-year comparison: the Dow Jones rose by more than 25% and DAX showed an outstanding increase of 37%. Measured against the FTSE 300 Eurotop Index, the European market rose by roughly 12%. Telecommunications, media and technology stocks also recorded strong growth in 2003: the Dow Jones Stoxx Telecom Index gained 19%. On the Vienna Stock Exchange, the leading ATX Index closed an impressive year with an increase of 34%.

Development of Telekom Austria Share Price

indexed as of 1.1.2003

Source: Datastream

Trading volume in EUR mill.



Development of the Telekom Austria Share

After significantly outperforming other branch stocks during the past two years, the anticipated withdrawal of Telecom Italia and expected share overhang slowed the upward movement of Telekom Austria's share price. With an increase of 1.6% to EUR 9.8 at year-end 2003, the share therefore failed to match positive international developments in 2003. Following the successful private placement of the remaining 14.8% of shares by Telecom Italia on January 21, 2004, the stock price was able to make up lost terrain and reached all-time highs.

The market capitalization of Telekom Austria rose to EUR 4.9 billion at year-end 2003 (2002: EUR 4.8 bill.). With a trading volume of approximately 265 million shares (2002: 188 mill.) and stock exchange turnover of nearly EUR 2.5 billion (2002: EUR 1.7 bill.), the Telekom Austria share was one of the two most heavily traded issues on the Vienna Stock Exchange. With a weighting of roughly 15% in the ATX Index of the Vienna Stock Exchange at year-end 2003, the Telekom Austria share is the second largest issue.

Financial Calendar:

May 25, 2004	Results for the First Quarter 2004
June 3, 2004	Annual General Meeting
June 18, 2004	Capital Markets Day
August 24, 2004	Results for the First Half 2004
November 19, 2004	Results for the First Nine Months 2004

Contacts:

Investor Relations
Telephone: + 43 (0)59 059 1 20918
investor.relations@telekom.at

Hans Fruhmann
Head of Investor Relations
hans.fruhmann@telekom.at

Josef M. Kerekes
josef.kerekes@telekom.at

Gerald Wechselauer
gerald.wechselauer@telekom.at

Lothar Taverne
lothar.taverne@telekom.at

The rise in free float to 52.8% following the withdrawal of Telecom Italia increased the ATX weighting of the Telekom Austria share to roughly 20%. The Telekom Austria share is also included in the international DJ Stoxx Telecom, MSCI-World, MSCI-Europe and FTSE 300 Eurotop indexes.

First Corporate Bond Issue

In July 2003 Telekom Austria issued a EUR 750 million corporate bond through its subsidiary Telekom Finanzmanagement GmbH. This transaction represents the largest corporate bond ever placed in Austria, and was oversubscribed by a considerable margin. This successful bond placement extended the maturity profile of short-term liabilities at attractive conditions (5% coupon) through increasing the term by ten years (2003-2013), and thereby improved the financial flexibility of the Telekom Austria Group on a lasting basis. The placement was preceded by an extensive rating process through the two leading international agencies, Standard & Poor's and Moody's. Standard & Poor's classified the bond as long-term BBB, Moody's at Baa2 – both with a stable outlook. The bond is traded on exchanges in Vienna and Luxembourg.

Stock Exchange Data

Stock number (Austria)	72000
SYMBOL	TKA
ISIN	AT0000720008
REUTERS	TELA.VIE
BLOOMBERG	TKA AV
Traded on	Vienna Stock Exchange
	New York Stock Exchange (NYSE)
American Depositary Receipts (ADR)	1 ADR = 2 shares of common stock*
Number of shares	500,000,000 shares
Common stock	EUR 1,090,500,000
Stock price as of Dec. 31, 2003	EUR 9.80
Stock price – low (March 11, 2003)	EUR 8.79
Stock price – high (July 7, 2003)	EUR 11.10
Market capitalization as of December 31, 2003	EUR 4,900,000,000

* Contact for ADR owners:
Bank of New York, Jim Kelly,
Tel.: +1 212 815 2368, e-mail: jkelly@bankofny.com

Improved Web Presence

In keeping with our policy to provide private investors with the same information as institutional investors, we significantly improved and expanded the services offered on our homepage in fall 2003. Along with information about the Telekom Austria share and corporate bond, interim reports, shareholders' information, analysts' coverage and company presentations, we provide live-streaming of the Annual General Meeting and press conferences as well as recordings of conference calls, the online version of our annual report and fact sheets in Excel format.

Increased Analyst Coverage

In spite of the tense business climate in the European banking industry, we were able to again increase the number of investment banks that conduct analyses on Telekom Austria – a development that reflects the growing attractiveness of the Telekom Austria share. During the reporting year Morgan Stanley, Berenbergbank, New Street Research, Sal. Oppenheim, Cheuvreux and Pictet published reports for the first time.

During five road shows in Europe and the USA, the Management Board of Telekom Austria provided information to institutional investors. In 250 one-on-one meetings and telephone conferences plus eight international investor symposia, management answered questions on a wide variety of issues. Increased participation in special events for private shareholders as well as direct dialogues with investment clubs strengthened our activities for private investors in Austria.

Dividend Policy

For the first time since the initial public offering in 2000, Telekom Austria will pay a dividend in 2004 for the financial year 2003 amounting to 50% of net income.

Analyst Coverage
Bank Austria Creditanstalt
Berenbergbank
BNP Paribas
Citigroup
Cheuvreux
Credit Suisse First Boston
Deutsche Bank
Erste Bank
Goldman & Sachs
JP Morgan
Lehman Brothers
Merrill Lynch
Morgan Stanley
New Street Research
Pictet
Raiffeisen Centrobank
Sal. Oppenheim
UBS Warburg
Volksbank IB
West LB Panmure

Unter **http://ar2003.telekom.at/topics** you will find an overview of the most important highlights from the 2003 business year.

Annual General Meeting for 2003

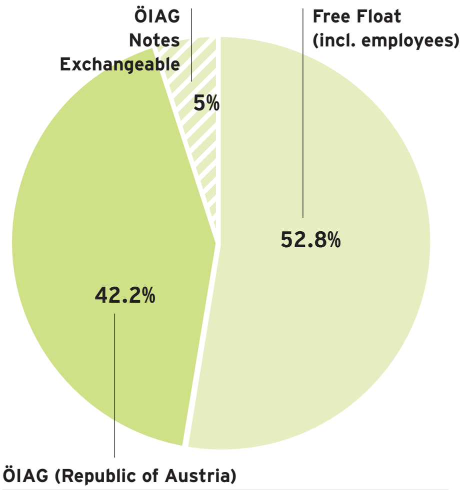
The Annual General Meeting was held on June 4, 2003 in the Austria Center Vienna, and was also streamed live over the Internet. The resolutions passed by a majority of votes included the following:

- The introduction of a new paragraph in the articles of association to exclude the 15% discount set forth in the Austrian Takeover Act for the calculation of a price for mandatory offers.
- Authorization of the Management Board to increase share capital by up to 2% of common stock (10 mill. shares) for a stock option program.
- Authorization of the Management Board to repurchase up to 10% of common stock (50 mill. shares) over a period of 18 months beginning on the date of authorization, at a minimum price of EUR 9 and a maximum price of EUR 15.

Shareholder Structure

This shareholder structure reflects the withdrawal of Telecom Italia on January 21, 2004 through the sale of 73.9 million shares, or 14.8% of common stock, to institutional investors in a private placement at EUR 10.55 per share, and the resulting increase in free float of the Telekom Austria share to 52.8%. The remaining shares are held by ÖIAG. In July 2003 ÖIAG placed notes exchangeable with a maturity in 2006, which are exchangeable for 25 million shares of Telekom Austria AG. This represents 5% of common stock. The exchange price was set at EUR 13.

Shareholder Structure
as of January 21, 2004



Telekom Austria stock is comprised of bearer shares, which means that regular surveys by the company will only provide a general picture of the shareholder structure. The latest analysis was conducted at the end of December 2003 and was able to identify roughly 60% of free float shareholders. However, these results do not include changes that followed the placement of the Telecom Italia shares. At over 50%, the largest component of identified free float comes from the USA. Great Britain was included at 20%, Switzerland at roughly 8%, and Germany and Austria at nearly 5% each. Approximately 12% of free float shares appear to be owned by Austrian private investors; 0.9% of free float is held by employees of Telekom Austria. Capital Research & Management Company (USA) held 5.7% of the total shares in Telekom Austria as of December 31, 2003 according to information provided by this company.

Value Driver Note No. 2

The wireless segment has been able to generate successful

synergies
between its companies

in Austria, Croatia, Slovenia and Liechtenstein. Approximately 75% of international calls by our customers in the other countries of the mobilkom austria group went through our own network – an impressive result, also in international comparison. Close cooperation in the areas of product development and financing also brings key advantages. The partnership with Vodafone will further improve efficiency through joint development projects and roaming agreements.


PETER COMMAS
TRUST PAYS

Strategy and Success Factors

With its wireline and wireless operating segments, Telekom Austria is a successful full service provider of multi-media solutions. Our technology leadership and innovative power form the basis for our strong market position and – even more important – satisfied customers.

Unter **http://ar2003.telekom.at/topics** you will find a listing of the individual aspects of our corporate strategy, and can review detailed information at the click of a mouse.

Strategy of the Telekom Austria Group

The primary goal of Telekom Austria is to achieve an increase in the company's shareholder value based on the maximization of cash flow. We are working to realize an attractive dividend policy for our shareholders by continuously optimizing business operations and internal processes as well as minimizing additions to property, plant and equipment. As the financial flexibility of the company grows, we want to make very selective use of opportunities for value-enhancing expansion in growth markets of the wireless segment. In order to guarantee the stable financial power required for these investments, net gearing must be limited to a maximum of 120%, and the relation of net debt to adjusted EBITDA may not exceed 2.0.

In order to realize these goals, we will need to implement different measures in the wireline and wireless operating segments. In both areas we intend to expand our innovation leadership as well as increase profitability through rigid cost control and the streamlining of internal processes.

In the wireline segment, we are faced with a twofold challenge to succeed on both the Austrian retail and wholesale fixed line market.

Our focus in the wireless segment remains on maintaining our excellent market position and on our engagement in growth markets.

The synchronization and coordination of the strategies for these two segments is the responsibility of the Management Board of Telekom Austria. Specific processes to coordinate operational activities are installed by the responsible departments as needed.

Telekom Austria Group*

Wireline

- Retail
- Wholesale

Wireless

- mobilkom austria
- VIPnet
- Si.mobil
- mobilkom [liechtenstein]

* A complete list of all group companies is provided in the notes on p. 115.

Market Share Wireline

55.3%

Wireline

Following the company's reorganization, which was completed in 2002, all fixed line activities of Telekom Austria are combined in the wireline segment. This business unit, which arose from a former monopoly operated by the Republic of Austria, now has a voice market share based on minutes including Internet dial-up of 55.3% in the fixed line business.

Supported by an attractive tariff policy and the introduction of new products, we are working to minimize the shift of voice telephony to mobile networks and the resulting decline in revenues. We are also intensifying our efforts in the broadband area to stabilize revenue development. After the successful conclusion of our multi-year personnel restructuring program, we are focusing our cost reduction efforts on process optimization in order to further improve margins.

In keeping with the structure of the market, the wireline segment operates through wholesale and retail units. The wholesale area serves competitors such as alternative telecom operators, Internet service providers and mobile communications companies, while the retail area sells Telekom Austria products to private and business customers.

In the heavily regulated operating environment of the wholesale area, we are utilizing growth opportunities in data traffic and mobile communications to stabilize revenues. In the international sector, where we expect above-average growth potential in Central Europe, we have already established a sound basis for future development with the expansion of our high-performance Jet2Web Stream backbone ring.

Our efforts in the retail area are focused on improving the price awareness of our residential customers by simplifying basic tariffs and creating individual add-on service packages. We intend to increase our attractiveness for small and medium-sized enterprises with a tailor-made price and product offering.

For business customers, we will expand both our solutions expertise and our product line. We want to become the market leader in the areas of security, hosting and e-business. Together with our partners, we will demonstrate our competence through specially designed global solutions.

A core strategic issue in the wireline segment remains the expansion and sale of broadband technology. We plan to increase our market share in the broadband segment by significantly differentiating our product portfolio from the competition as well as offering product packages and bundles in the entertainment area.

Strategic Goals: Wireline

The steps to reach our strategic goals for 2004 in the wireline segment are clearly defined:

- Improve customer retention on a sustainable basis through service optimization, early identification of unsatisfied customers and intensive support for corporate customers.

- Define different service levels to improve the identification and satisfaction of customer needs, and increase the motivation to use higher-value products.

- Further improve end-to-end process though enhanced automation to reduce costs, introduce new services quickly and meet our service standards.

- Prepare for cash flow-optimizing migration of the existing network infrastructure to an Internet protocol based network.

Heinz Sundt

"... we have high and stable cash flows ..."

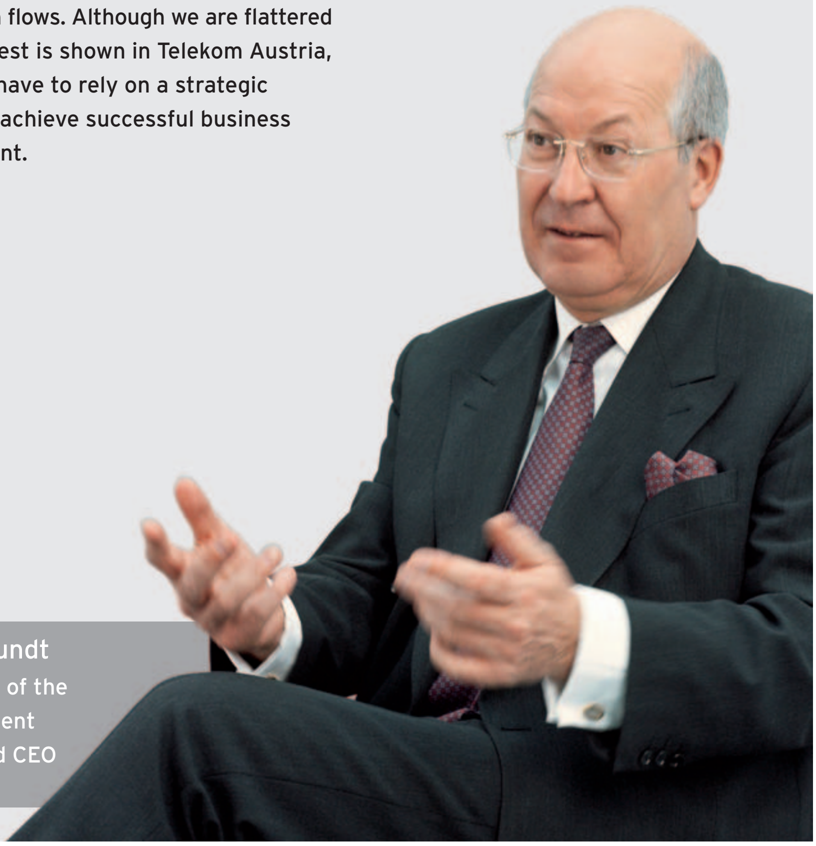
Mr. Sundt, when you look back at the IPO in November 2000, what were the greatest challenges facing the company?
In 2000 the fixed line business was in a highly critical stage. We were rapidly losing market shares and revenues. As a result we were forced to quickly reduce costs, above all in the personnel area, and at the same time establish a completely new corporate culture. Given the difficult operating environment, capital markets initially lacked confidence in our ability to implement these plans.

In comparison to that time, where do you now see the greatest strengths of the Telekom Austria Group?
Today we rely on two solid pillars, the wireline and wireless business segments. Even if voice minutes continue to migrate from fixed line to mobile communications networks, mobilkom austria, as the market leader, is able to absorb the largest part of this traffic and keep the revenues within our group. However, we are also well positioned in the wireline segment. We are using the enormous potential arising from the broadband area to at least ensure stable development. Moreover, the share of earnings generated by our foreign activities is growing at a steady rate.

Where do you see Telekom Austria in five years, Mr. Sundt?
Technological innovation in the fixed line network – the watchword is ALL-IP – will create completely new business opportunities. We will be able to launch high-performance products faster and at lower costs. In the wireless segment, UMTS and next generation technologies will change the business environment. It is therefore important that we prepare to meet these challenges today, and continue to position ourselves as the technology leader. At the same time, I hope we will be able to expand our portfolio of foreign investments to include a number of interesting growth markets over the next five years.

Can Telekom Austria continue to exist in the future without a strategic partner?
During the past year we demonstrated our ability to face an extremely competitive environment. Moreover, our profitability compares well with similar companies in Europe. In all our business activities, we hold the leading position or second place on the market and can demonstrate continued earnings growth and high, stable cash flows. Although we are flattered when interest is shown in Telekom Austria, we do not have to rely on a strategic partner to achieve successful business development.

What criteria does Telekom Austria use to evaluate potential projects in other countries?
When we think of expansion, the sole objective is to generate additional growth in value for our shareholders. We are focusing on the wireless sector, and in particular, on markets that still offer sufficient opportunities for growth due to low mobile penetration. We will commit to a project provided that there is evident potential for an increase in shareholder value while preserving our financial power. Therefore, we do not want to spend more on acquisitions than the cash flow we generate in a single year.



Heinz Sundt
Chairman of the Management Board and CEO

Market Share Wireless in Austria

 43.3%

Market Share Wireless in Croatia

 50.0%

Market Share Wireless in Slovenia

 23.6%

Wireless

In the wireless segment the Telekom Austria Group is positioned with mobilkom austria, VIPnet, Si.mobil and mobilkom [liechtenstein] in Austria, Croatia, Slovenia and Liechtenstein.

In Austria we profit from a strong market position and high-value customer segment as well as from our undisputed standing as the innovation leader. In Croatia we are consistently utilizing the available growth potential, and in Slovenia we are working to improve profitability against the backdrop of a difficult regulatory environment. In addition, we will continue to pursue a value-enhancing expansion strategy in growth markets. Synergies between the individual companies and the advantages provided by international cooperation and alliances will be used in an optimal manner. Our partnership with Vodafone has allowed us to safeguard visitor roaming revenues and margins over the long-term. Joint product development and procurement synergies with the world's largest mobile communications operator have led to cost savings and consolidated our innovation leadership.

The harmonization of different access technologies allows the fast introduction of products across borders, and also improves international know-how transfer. The early introduction of UMTS services in April 2003 gave us an advantage over our competitors and forms the basis for further innovative high-performance services.

The development of multi-media information services allows us to expand into new business segments to increase data revenue streams.

Our success in these different markets will be supported by a balanced strategy that incorporates both local conditions and group interests. We will counter growing market saturation and a highly competitive environment, above all in Austria, with a value-oriented approach to improve our customer relations. The segmentation of our customer base according to value, risk and behavior criteria allows us to provide tailor-made offers and thereby prevent customer defection to competing providers.

Strategic Goals: Wireless

The measures to defend our strong position in all our markets are clearly defined, as is the underlying objective – to satisfy customers who profit from our innovation leadership.

- Increase the penetration rate for mobile data services and raise data revenues by improving customer convenience; the partnership with Vodafone provides the foundation for international data solutions.

- Pursue a selected value-enhancing expansion strategy.

- Improve customer satisfaction and introduce selected cross- and upselling campaigns through better customer relation management.

- Further optimize the partnership with Vodafone to increase roaming revenues and maximize procurement benefits.

Stefano Colombo

"... not to lose sight of the long-term perspective ..."

Mr. Colombo, when you look back, what do you see as your greatest success since you have joined Telekom Austria?
Without a doubt, the greatest challenge was to transform a state-owned enterprise into a modern company in the shortest time possible. In the financial area we had to make major improvements in the speed and efficiency of processes, while guaranteeing the absolute reliability of information. When I look at the company today, I believe my greatest success is the fact that we were able to do all this in such a short time.

In recent years Telekom Austria has substantially cut its investments. Where do you see the limits of this policy?
These limits are defined by the market. As long as competition continues to increase, we will be forced to react in the purchasing area. At the same time, we will also improve the performance and capacity of our networks. Moore's Law on the exponential increase of capacity also applies to telecommunications and will allow Telekom Austria to further reduce costs.

From your viewpoint as CFO, where does Telekom Austria still have work to do?
In many areas our processes are still too complicated. There are too many interfaces that lead to delays and negatively impact service quality for our customers. These redundancies must be eliminated. On the market side, we must improve the standardization of procedures in order to act more quickly and more flexibly. The migration of the fixed line network to ALL-IP, which we began planning in 2004, will create new opportunities in this area.

2003 saw Telekom Austria's debut with the largest bond ever issued in Austria. Are you planning any further placements?
Our debut on the corporate bond market was very successful. Within just a few hours we placed EUR 750 million with first-class institutional investors throughout Europe. The proceeds were used to refinance short-term debt and thereby extend the maturity profile of our liabilities. At the same time, we were able to take advantage of favorable interest rates. However, we are not planning further placements of this magnitude at present.

Are you sorry, Mr. Colombo, that your fellow Italians have withdrawn from Telekom Austria?
First of all, I am pleased that I became an Austrian citizen several months ago. I believe, however, that the partnership with Telecom Italia was important to push the restructuring process forward. Today the situation is different, and the separation was certainly a positive step for all participants. Telekom Austria will retain its Mediterranean flair with my colleague Boris Nemsic, who is also not a native Austrian, and me. Personally I am grateful to Telecom Italia for directing me to Telekom Austria – because my work here still gives me great pleasure.

Telekom Austria generates high cash flows. How will these funds be used in the future?
I believe it is important to work towards a healthy balance. We must focus on our long-term vision for the company, allow shareholders to participate in our success and not accumulate too much debt. As net income increases we will, of course, also increase dividends. At the same time, we must retain sufficient funds for acquisitions in growth markets. In addition, we want to use our stock buyback program to stabilize the price of the Telekom Austria share.

Stefano Colombo
Vice Chairman of the Management Board and CFO

Rudolf Fischer

"... need an investment-friendly business environment ..."

Mr. Fischer, do you view the restructuring of the wireline segment as completed?
I consider at least the first stage of the restructuring process to be successfully completed – we were able to stabilize the development of our market share while achieving a sustainable reduction in costs. But this program will continue: we must focus more on the market, promote the use of new technologies and improve processes. In addition, we want to become the most attractive employer in the high-tech industry in Austria!

What was the most important factor for stabilizing the fixed line business?
It was not just one, but a number of factors: the TikTak tariffs, for example, represent an attractive alternative for our customers compared to other providers. The merger of the fixed line, data communications and Internet activities into the wireline business segment in 2002 created a strong sales organization and significantly improved our market presence. Last but not least, we also benefit from the consolidation of the market. In particular, large corporate customers are increasingly recognizing the advantages of a reliable partner. The motto of this year's annual report "Trust pays" is no coincidence.

Where do you see the position of fixed line networks in the telecommunications of the future?
The worldwide trend shows a clear shift in voice telephony to mobile networks as well as an increase in the importance of data traffic within the fixed line segment. Data traffic has already exceeded voice traffic, and continues to grow. The fixed access line is increasingly becoming an interactive multimedia interface. We intend to use these technical possibilities to develop new intelligent products, such as the first interactive TV based on broadband Internet, which we introduced in June 2003.

What do you expect from the migration of the fixed line network to ALL-IP, Mr. Fischer?
Our existing network infrastructure does not fully meet all the requirements of the future. We are currently offering voice, data and Internet services via separate networks, which leads to high operating costs and considerable limitations for integrated products. In the future data services will form the core of the fixed line business. Therefore, these networks must be integrated and migrated to a future-proof network on the basis of state-of-the-art technology. All-IP simply means that all data and voice services are provided via an efficient data-oriented multiservice network. I expect this will lead to the creation of a wide range of new products and services. In addition, the new network infrastructure will not only improve time-to-market but also cost efficiency.

What role should be played by the regulatory authority in the future?
In principal the Austrian regulatory authority has fulfilled its mission. The market in Austria is marked by intensive competition; therefore sector specific regulatory measures in the end-consumer market are no longer necessary. After providing all participants with access to the market, the goal of future regulatory policy should be to secure a modern telecommunications infrastructure. And this requires investment friendly framework conditions! Technological innovation must be promoted and not hindered by regulation.

Rudolf Fischer
Chief Operating Officer Wireline

Boris Nemsic

"… the undisputed leader in Austria …"

Mr. Nemsic, Austria is one of the most competitive telecommunications markets in Europe. How did mobilkom austria defend its market position?
The Austrian market is hotly contested, but we have always seen competition as a driving force. Our strong A1 brand, innovative products that give customers real added value and, of course, our high-quality network guarantee the best possible balance of costs and benefits. In the end this is a win-win situation, and also very appealing for customers.

How can revenues and earnings in Austria be further increased under these adverse market conditions?
The high penetration rate in Austria limits not only the potential for future market growth, but also holds prices at a low level. We counter these negative factors by expanding our product range to include new services like mobile payment solutions and other attractive data products. At the same time, we are streamlining our organization to form the basis for further earnings growth.

Keyword mobile data: where do you see future applications and development potential?
Today the mobilkom austria group generates roughly 14% of airtime revenues with data products, and we want to increase the share of data revenues steadily over the coming years. Our success factors are customer convenience and user friendliness. In both areas we are a real trendsetter in Europe.

Public opinion on UMTS varies between disappointment and "the" future hope for the industry. What is your opinion, Mr. Nemsic?
UMTS-based multimedia services are the future – without a doubt! Our UMTS network covers all major Austrian cities, and we currently reach nearly 50% of the population. The broad-based 3G market launch has been delayed by the lack of high-quality handsets. This situation should, however, change in 2004.

The Vodafone partnership is now one year old – to what extent has it met your expectations?
In the most important area – the roaming business – the implementation of new products and network synchronization has been extremely successful and beneficial for both partners. The last year also saw intensive know-how exchange in the areas of product development, technical platforms and sales. For 2004 we expect further concrete results, above all in product development.

Where do you see the strengths of the wireless segment as a regional player in southeast Europe?
We are paying great attention to local structures as well as to the differing behavior and needs of our customers in each individual market. But we also use the advantages provided by our group through best practice sharing. I believe that success is a mixture of group orientation and proximity to the individual market. With the Croatian VIPnet we have developed one of the best performing mobile communications providers in Europe – particularly with respect to earning power. In Slovenia we are recording solid earnings growth with Si.mobil in a market that is still dominated by the incumbent. In Austria our position as the strongest provider is undisputed.

Boris Nemsic
Chief Operating Officer Wireless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PAYS

Human Resources

After successful implementation of the personnel restructuring program announced with the initial public offering in 2000, the goal of our personnel strategy for the coming years is clear: Telekom Austria intends to become Austria's most attractive employer in the high-tech industry.

Quick Info

- Performance management further expanded
- Investment of roughly EUR 14 million in further education and professional training
- Telekom Austria Group workforce totals 13,890, or 1,061 less than the previous year

Attractive Employer

During the reporting year Telekom Austria set new initiatives for the further development of its corporate culture and expansion of individual career opportunities. Regular employee appraisals are viewed as an effective instrument for personal development in all areas of the Telekom Austria Group. In addition to these appraisals, mobilkom austria introduced 360-degree feedback during 2003 as an important factor for personal development. This technique is designed to help managers identify their own development needs.

In order to improve their "work life balance", the Austrian employees of the Telekom Austria Group have been given the opportunity to increase the flexibility of their work environment through teleworking. The adoption of this work model is voluntary for both sides and has already been selected by several hundred employees. Moreover, it impressively documents the progressive and efficient deployment of personnel by Telekom Austria.

The development of career opportunities, especially for women, is a permanent objective for Telekom Austria. A team of 19 employees is responsible for ensuring equal opportunities for women in the company. In 2003 women comprised 26% of the Telekom Austria Group workforce.

All members of the Austrian workforce with private-law employment contracts are covered by a pension plan. Since the start of January 2001 Telekom Austria has contributed 5% of the employees' monthly salaries to a pension fund, and thereby made a valuable contribution to their post-retirement welfare.

Collective bargaining negotiations between the Management Board of Telekom Austria and employee representatives resulted in an agreement to increase current and minimum wages in Austria by 1.9% for both civil servants and other employees as of January 1, 2004. In addition, the general terms of the collective bargaining agreement were improved for all Telekom Austria employees.

Value Driver Note No. 3

Successful Expansion

In 2003 total adjusted EBITDA for all foreign wireless activities rose by

+ 33%

compared to the prior year– a clear success of the expansion strategy that has focused for years on markets with above-average growth potential. Only 18 months after its founding in July 1999, VIPnet recorded positive cumulated operating results and now has a market share of 50%. In Slovenia market share has considerably increased since the acquisition of Si.mobil in 2001.

Continuing Education and Professional Training

Telekom Austria is well aware of its social responsibility for the training of young men and women, and has initiated a number of activities in this area. In the wireline segment a total of 140 young people are currently making use of this opportunity in Austria. The efforts of Telekom Austria to increase the percentage of girls in traditional male professions were recognized by the City of Vienna with the "Amazon Award 2003" in October.

The Telekom Austria Academy, the internal education and training organization for the wireline segment, further expanded its program during the reporting year. In addition to special, technical and computer seminars, professional training focused on management and behavioral courses. Approximately 20,000 participant days were registered for the wireline segment, with roughly one-half of these conducted by in-house trainers. Continuing education at mobilkom austria plays a particularly important role: during the reporting year 1,300 seminars translated into approximately 12,700 participant days, whereby 10% of this total were conducted in-house. Here the emphasis was placed on technology and management training, with an increased number of e-learning programs for computer applications offered via the Intranet. The Telekom Austria Group invested a total of roughly EUR 14 million in the training of employees during the reporting year.

For employees planning to make a job change, a wide variety of development opportunities were offered through an internal job market in 2003. In the wireline segment 82% of the 602 announced vacancies were filled internally through this platform. In the wireless segment 30% of all vacant jobs and over 60% of new management positions were filled internally.

Management Development

An offer to participate in the "High Potential Programs" provides young men and women with numerous opportunities for advancement within the Telekom Austria Group. Qualified and highly motivated talents are identified by assessment centers, and trained in special programs. In 2003 we were able to fill the first management positions in the wireline segment from this talent pool. In the wireless segment, the High Potential Program focused on the customer service area.

In fall 2003 Telekom Austria started an MBA program for top management, which is also aimed at promoting an exchange of views and expertise with partner companies. In addition, the Telekom Austria Academy expanded its program to include modular courses of study for managers that are held in cooperation with well-known partner institutions.

mobilkom austria continued its successful Management-in-Progress program (MIP) during 2003. Managers are able to select from a wide range of seminars according to their individual training needs.

Personnel Development by Segments

Full-time employees at year-end	**2003**	**2002**	**2001**
Wireline	10,234	11,359	13,148
Wireless	3,656	3,592	3,438
Telekom Austria Group	13,890	14,951	16,586

Productivity figures per employee	**2003**	**2002**	**2001**
Total managed revenues / employee	270,800	248,700	219,900
Total managed EBITDA / employee	103,000	93,200	78,500
Fixed lines / employee	294	273	241
Wireless customers / employee	1,296	1,239	1,157

Performance Management

Fostering the development of a sense of responsibility and a performance-oriented work ethic through the definition of objectives is an integral part of the corporate culture in the Telekom Austria Group. During the reporting year more than 1,000 managers in the wireline segment were evaluated through performance contracts. In the wireless segment, positive experiences in Austria - performance contracts have been concluded with every fifth employee – led to the introduction of a performance management system in the Croatian and Slovenian mobile communications subsidiaries in 2003.

In 2000 Telekom Austria introduced its first stock option plan for Management Board members and managers, which ended in February 2004. A second program is currently in planning. It is designed to allow highly qualified managers to participate in the further development of Telekom Austria, increase their dedication and commitment to the company, and focus their efforts on the enhancement of Telekom Austria's share value.

Value Driver Note No. 4

The increasing efficiency of personnel deployment in recent years helped the wireline segment improve profitability. Further personnel downsizing measures, which continued in 2003 on a socially responsible basis, supported a 40% increase in the ratio of fixed lines per employee to 294 since 2000.

40% improvement in productivity since 2000.

Efficient Personnel Deployment

A 7.1% decline in the number of employees with a corresponding 1.6% increase in revenues documents the success of the efficiency improvement programs conducted in recent years. In the wireline segment, personnel downsizing targets were exceeded with a headcount reduction of 1,125 employees to a level of 10,234. All restructuring measures were developed on a socially responsible basis. Employees affected by the program also received individual counseling on issues related to professional reorientation or retraining within the framework of the company's work foundation. The ratio of fixed lines per employee increased from 273 in the prior year to 294 for 2003, and reflects the improvement in efficiency. The number of employees in the wireline segment will continue to decline over the coming years, albeit at a slower rate.

In the wireless segment, the automation of administrative and financial processes considerably slowed the rise in headcount in all companies despite further revenue growth. The number of employees in the wireless segment rose by 1.8% to 3,656 at year-end 2003.

Approximately 54% (2002: 57%) of the Telekom Austria workforce had civil servant status at the end of 2003.


Trust pays

Sustainability

Telekom Austria combines social commitment with sustainable and economically successful corporate management.

Quick Info

- Comprehensive sustainability report published
- Group environmental guidelines adopted
- Telekom Austria is included in well-known sustainability indexes

Under **http://sr2002.telekom.at** you can find our online sustainability report.

Social Sponsoring
"Light into Darkness" charity campaign
Doctors without Borders
"mirno more" peace flotilla
"Rat auf Draht" children's helpline

Art and Cultural Sponsoring
Ars Electronica Center
Ludwig Foundation at the Museum of Modern Art in Vienna
ZOOM Children's Museum
"medien.welten" in Vienna's Technical Museum
Cloud of Sound in Linz
Vienna Childrens' Theater
VIENNALE
Diagonale in Graz
Vienna International Festival
Life Ball

Sports
FIS Snowboard WM
Austrian Ski Federation
A1 Ring
A1 Beach Masters Tour
Beach Volleyball Grand Slam
Aon hotVolleys
Aon VolleyLeague

As the largest domestic telecommunications company, Telekom Austria is well aware of its responsibility towards society and the environment. Sensible interaction with both mankind and nature is an integral part of our corporate values. In July 2003 Telekom Austria therefore published its first sustainability report, which will be released every two years in the future. It documents the extent to which we incorporate ecological and social principles into our business operations on a daily basis. This report stimulated the implementation process for corresponding initiatives and increased awareness for sustainability across all areas of the company. The Telekom Austria Sustainability Report is available on our homepage under www.telekom.at in the section "Company" under "Sustainability".

Sustainable Investment

In recent years, the importance of investments that follow the principles of sustainable corporate management has grown significantly. Therefore, Telekom Austria actively submits to evaluations by external rating agencies that measure the performance of companies with respect to sustainability, and is also working to achieve inclusion in well-known sustainability indexes. Since 2001 Telekom Austria has been included in the FTSE4Good index, which lists companies with high social responsibility (www.ftse.com). In 2002 Telekom Austria was included in the recommendation listing for sustainable investment products by the Munich rating agency oekom research AG (www.oekom.de).

Responsibility for the Environment

In February 2003 the Management Board of Telekom Austria adopted an environmental policy for the group as a whole, which is designed to continually reduce the negative impact on the environment and promote the more careful use of natural resources. Wherever possible, Telekom Austria uses environmentally friendly products with the longest possible lifecycles and requires suppliers to meet environmental standards on the basis of strict procurement conditions. We are also continuing our extensive investigations of fears related to the possible health hazards of mobile communications stations, actively engaging in open dialogue with the local population and municipal authorities, and conducting free measurements of base stations' emissions. In fall 2003 mobilkom austria initiated a campaign in cooperation with the City of Vienna to recycle unneeded or non-functioning mobile telephones and accessories. Roughly 30% of this equipment is recycled, and the rest is disposed of in an environmentally friendly manner. For each mobile phone returned, mobilkom austria is donating EUR 3 to fund a "Doctors without Borders" aid project in Angola.

Social Commitment

Telekom Austria also demonstrates its responsibility to society through numerous sponsoring activities and broad-based social commitment, owing to its market position and size. In addition to financial backing, we foster social projects as well as art, culture and sports through know-how transfer and constructive partnerships.

Innovation and Technology

Continuous enhancement of the quality and usability of our products and services is the major objective of our research and development activities.

Quick Info

- Expansion of innovation and technology leadership
- Market-oriented R&D strategy to increase customer convenience
- Partnerships of excellence provide valuable contribution to R&D

Telekom Austria views itself as an innovation driver for the Austrian communications industry, and as such makes a key contribution to the technological progress of this country. Based on an innovation policy that is designed to support the continuous expansion of technological expertise and efficient use of resources, Telekom Austria sets the standards for quality, product innovation and service.

Innovations Highlights in 2003

In June 2003 Telekom Austria launched Aon.tv, the first commercial offering for multimedia, interactive Internet-TV and broadband on-demand services in Austria. This is the result of a project series that began with the EU research project "PROXi TV" in 2000, continued with "jet2web.tv" in 2001, and finally led to the commercial launch of these services following a one-year field trial with nearly 2,000 Austrian users.

In addition Telekom Austria signed a cooperation agreement with the Austrian Regulatory Authority for Broadcasting and Telecommunications (RTR), Siemens AG Austria and the Austrian Broadcasting Corporation (ORF) in November 2003 to conduct test operations for "digital terrestrial television" in 150 households in the city of Graz. As part of this project Telekom Austria is using its network infrastructure to transmit broadcasting signals and is also responsible for the interactive features of this new medium.

At the end of 2003 the wireline segment introduced an innovative function with "SMS2Speech", which allows customers to receive short text messages (SMS) in the form of voice communications irrespective of the end appliance.

In 2003 Telekom Austria focused its innovation strategy for the wireless segment on future-oriented basic technologies for third generation (3G) mobile networks and the development of multimedia services. With the commercial launch of Europe's first national UMTS network in April 2003 as well as the first UMTS call in Croatia during May 2003 and the presentation of one of the first European EDGE networks in Slovenia in December 2003, the wireless segment was again able to demonstrate its innovation leadership. In addition, Telekom Austria became the first provider in the world to completely integrate the activities of second and third generation mobile networks. Compatible data exchange between the individual network generations (GSM, GPRS, EDGE and UMTS) enables the introduction of new services independent of the access technology.

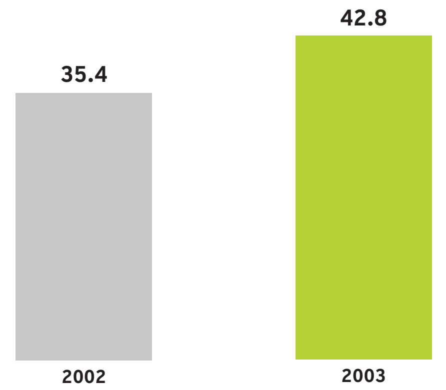
The quality of mobile communications services was also improved with the "Crystal Net Technology" developed by mobilkom austria. This technology provides optimal management of voice and data transmission on all network levels and also guarantees crystal-clear connections as well as fast and secure data transfer. Independent tests conducted by the Institute for Broadband Technology of Vienna Technical University in 2003 again

Innovation Highlights in 2003:

Wireline
- June 2003: aon.tv
- November 2003: Digital Terrestrial Television
- December 2003: SMS2Speech

Wireless
- April 2003: first European "incumbent" with commercial UMTS launch
- May 2003: first UMTS call in Croatia
- December 2003: technical launch of the EDGE network in Slovenia as one of the first European operators

Total Managed Expenses for Research and Development
(in EUR million)



confirmed that the mobilkom austria A1 network has the best quality of all mobile communications networks in this country.

Research and development efforts must lead quickly to an enhancement of customer convenience – a requirement that was met more than once by mobilkom austria during the reporting year: "m-parking", for example, allows drivers to pay parking tickets via mobile telephone in a number of Austrian cities. This solution was developed by VIPnet, mobilkom austria's subsidiary in Croatia, which has successfully operated a similar system for two years. The "A1 TELECOMMANDER" allows for remote control of car heating, alarm systems and other frequently used equipment via SMS, WAP and the World Wide Web. This product was honored with the tel.con Award for 2003 by the Institute for International Research. The "A1 MUSICFINDER" recognizes nearly any song in seconds by accessing a central database with over 1.8 million titles. Callers are provided with information on the title and artist via SMS.

Innovation through Cooperation

The technological trend towards the convergence of telecommunications and media as well as data and IT requires cooperation with the market leaders of each respective field to allow for a market-oriented introduction of complex products, services and solutions. Telekom Austria has shaped its innovation policy to reflect this fundamental transformation and continued its intensive cooperation with industry and research partners during 2003. These "partnerships of excellence" help safeguard national research and make an important contribution toward protecting Austria's standing in business and technology. Telekom Austria provided an impressive demonstration of its know-how in cooperation with Hewlett Packard and Alcatel in October 2003 by realizing the first synchronous data replication between two computing centers at a distance of 600 km. The convergence of fiber optic infrastructure with state-of-the-art hardware and software enabled the synchronous operation of this database application at two different locations.

On a national basis Telekom Austria participated in the Research Center for Telecommunications in Vienna as part of the federal government's K-plus program for broadband, Internet, mobile communications and multimedia services. Furthermore, joint research projects with the Institute for Communications and Radio Frequency Engineering at the Technical University of Vienna safeguard access to basic technical know-how for next generation communications networks.

In response to growing demand for telematic solutions, the wireless segment is also working to develop convergent traffic management systems. This work is carried out as part of the "Intelligent Infrastructure" project initiated by the Austrian Federal Ministry for Transportation, Innovation and Technology together with the Arsenal Research Center and also as a founding member of the Austrian Traffic Telematic Cluster (ATTC). These activities led to the development of several products, among them "A1 Traffic" for up-to-date reports on road conditions in Austria via mobile telephone.

Value Driver Note No. 5

The wireless segment is also using the enormous revenue potential of data communications at a national and international level: a top European ranking in SMS messages per customer for VIPnet in Croatia is impressive proof of this success, just like the recognized leading position of mobilkom austria in the introduction of innovative data services in Austria. The results of m-parking and SMS Ticket also played an important role in increasing

the data share of traffic-related revenues to

13.9%

in 2003 after 11.4% in the prior year.


Trust
pays

Group Management Report

Under **http://ar2003.telekom.at/income** you can download the statement of operations as an Excel file for further calculations.

First Signs of Economic Recovery

Although economic growth in Austria slowed notably to 0.7% for 2003 after an increase of 1.4% in 2002, the signs of economic recovery grew stronger during the reporting year. Domestic demand increased by 1.1%, while exporters were faced with the rise of the euro versus the US dollar, particularly during the second half of the year. This exchange rate development had a positive impact on inflation, which fell from 1.8% in the prior year to 1.3% for 2003. According to calculations by Eurostat, the unemployment rate in Austria rose from 4.1% to 4.5% during the reporting year. With an average of 0.6%, GDP growth of the EU-15 was slightly below the Austrian figure.

The most important foreign markets in which Telekom Austria has subsidiaries continued to report favorable growth rates with 2.2% in Slovenia, 2.9% in the Czech Republic and 4.3% in Croatia. While Slovenia and the Czech Republic benefited from their forthcoming accession to the EU, Croatia had a highly successful tourism season.

Competition in Austria Remains Aggressive

While recent years were characterized by management changes in many telecommunications companies, 2003 was marked by extensive restructuring programs. Plans to improve efficiency and cut investments led to a substantial reduction in the debt accumulated during previous years.

Although Telekom Austria has an edge over similar companies in other countries in this consolidation process, steady competitive pressure requires ongoing efforts in this area. The market environment for both business segments is among the most competitive in Europe. The fixed line business has roughly 30 competitors, and the wireless segment in Austria saw the number of players rise from four to six during the reporting year. The resulting low price level for mobile communications has also triggered a shift in voice telephony from fixed line to mobile communications networks. In spite of this situation, Telekom Austria has been able to maintain its market position in nearly all business areas and, at the same time, improve profitability. Although a market shakeout is considered unavoidable, particularly in the wireless segment, it cannot be precisely forecasted.

Value Driver Note No. 6

mobilkom austria also proved its success with customers in 2003:

churn rate

significantly reduced.

This indicator, which measures customer defection to other network providers, fell to 16.1% in 2003. This impressive reduction from a level of 19.5% in the previous year is the result of successful customer retention activities with a clear focus on identification, and satisfaction of the specific needs of individual target groups.

Important Regulatory Decisions

In order to meet European Union guidelines, a new telecommunications law was enacted in Austria last year. The most important change involves the definition of markets subject to sector specific regulation. Prior to this amendment Austrian law recognized four distinct markets – fixed line, leased line, interconnection and mobile communications. The new classification identifies 18 separate markets. The impact of this change on Telekom Austria can only be estimated after the definition of all submarkets, which is currently in process, has been completed.

The Telecommunications Act of 2003 also requires the introduction of number portability for mobile operators, which could take effect during the course of 2004. Termination rates for mobilkom austria were reduced by a further 3.5% to EUR 10.86 cents per minute. In the wireline segment, the regulatory authority approved the discontinuation of the minimum tariff. Customers affected by this decision were transferred to the standard tariff with a higher monthly rental but lower traffic fees. They also had the opportunity to change to the lower-priced TikTak tariff.

Telekom Austria Group Financial Highlights (in EUR million)	**2003**	**Total managed 2002**	**Change in %**
Revenues	3,969.8	3,908.2	1.6
Revenues excluding third party value-added service revenues*	3,923.9	3,849.8	1.9
Adjusted EBITDA**	1,509.8	1,464.4	3.1
Operating income	369.8	273.1	35.4
Net income	134.2	12.8	948.4
Earnings per share in EUR	0.27	0.03	948.4
Additions to property, plant and equipment***	595.3	662.4	-10.1
Net debt	2,637.3	3,204.2	-17.7

* For comparative purposes, prior periods were adjusted to reflect the change in the accounting of value-added services in the fourth quarter of 2003. Revenues excluding third party value-added service revenues form the basis for the calculation of the adjusted EBITDA margin.

** Adjusted EBITDA is defined as net income before interest, taxes, depreciation and amortization, impairment charges, dividend income, equity in earnings of affiliates, other non-operating income and expenses, minority interests and the cumulative effect of changes in accounting principle. This equals operating income before depreciation, amortization and impairment charges.

*** Additions to property, plant and equipment including the impact of the adoption of SFAS 143 "Accounting for Asset Retirement Obligation" amounting to EUR 6.6 million in 2003.

Shortly before the end of the year Telekom Austria withdrew its resale offer for access lines. This step had become necessary following the rejection by the regulatory authority of Telekom Austria's request to introduce attractive new tariffs. Without these tariffs, which were designed to offset the expected decline in revenues, Telekom Austria did not believe it would be able to make the necessary investments connected with the resale of access lines.

Change in the Annual Financial Statements according to U.S. GAAP

In order to guarantee the comparability of the group management report for 2003 with prior years, a number of reclassifications were made:

Change in Financial Reporting during 2003

Following the merger of the fixed line, data communications and Internet segments during the prior year, results have been reported under the wireline segment beginning with the first quarter of 2003.

The costs for idle workforce and net losses from the retirement of long-lived assets, which were not included in adjusted EBITDA or operating income up to the end of 2002, are now shown as a part of operating expenses for all comparable periods.

In accordance with a ruling of the Austrian Supreme Court, Telekom Austria is no longer considered the primary contract partner for value-added services provided by third parties, and ceased reporting revenues on a gross basis as of October 1, 2003. The equal reduction of revenues and costs did not have an impact on adjusted EBITDA or operating income. Where necessary for comparative purposes, data from prior years has been adjusted in this group management report.

Full Consolidation of mobilkom austria
Prior to the repurchase of the minority stake by Telekom Austria on June 28, 2002, mobilkom austria was included in the annual financial statements of Telekom Austria under the equity method of accounting due to substantive participating rights held by the minority shareholder Telecom Italia Mobile SpA (TIM). Therefore, the consolidated statement of operations of Telekom Austria for 2002 reflects the results of operations of mobilkom austria from January 2002 through June 28, 2002 at equity in earnings, with full consolidation for the period from June 28 to December 31, 2002. This group management report bases its discussion of the business development on total managed data of the Telekom Austria Group, which includes 100% of the wireless segment for the full year 2002. Beginning with the 2003 business year, total managed and total consolidated figures are identical.

Development of Results

Total managed revenues of the Telekom Austria Group rose by 1.6% to EUR 3,969.8 million in 2003 compared to the prior year. On a comparable basis, i.e. including the impact of the change in accounting for value-added services in the fourth quarter of the reporting year and for prior periods, the increase equals 1.9% to EUR 3,923.9 million. This positive development was supported by a noticeable slow down in the decline of revenues in the wireline segment and revenue growth in all geographical markets of the wireless segment. Adjusted EBITDA for the reporting year rose by 3.1% to EUR 1,509.8 million. The resulting increase from 38.0% to 38.5% in the adjusted EBITDA margin based on revenues excluding third party value-added service revenues reflects the effectiveness of profitability improvement measures. The wireline segment recorded a further decline primarily due to the impact of headcount reduction, while the wireless segment again reported two-digit growth.

Total Managed Statement of Operations

		Total managed
(in EUR million, except per share information)	**2003**	**2002**
Operating revenues	**3,969.8**	**3,908.2**
Operating expenses		
Materials	-297.1	-294.0
Employee costs, including benefits and taxes	-699.3	-678.0
Depreciation and amortization	-1,133.2	-1,149.3
Impairment charges	-6.8	-41.9
Other operating expenses	-1,463.6	-1,471.9
Operating income	**369.8**	**273.1**
Other income (expense)		
Interest income	75.2	93.3
Interest expense	-231.0	-265.6
Equity in earnings of affiliates	19.1	0.0
Other, net	-0.5	-1.6
Income before income taxes, minority interests and cumulative effect of change in accounting principle	**232.6**	**99.2**
Income tax expense	-83.1	-28.8
Minority interests	-3.4	-57.6
Net income before the cumulative effect of change in accounting principle	**146.1**	**12.8**
Cumulative effect of change in accounting principle, net of tax	-11.9	0.0
Net income	**134.2**	**12.8**
Basic and fully diluted earnings per share	0.27	0.03

A decrease in depreciation, amortization and impairment charges supported a 35.4% increase in operating income to EUR 369.8 million. This reflects a substantial reduction in the negative operating income from the wireline segment as well as a lower increase in the wireless segment, in particular due to the start of amortization of the UMTS license and equipment.

The continued reduction of net debt led to a further decline of 9.6% in net interest expense for the Telekom Austria Group to EUR 155.8 million. Equity in earnings of affiliates includes a gain of EUR 18.4 million resulting from the sale of the 26% stake in Herold Business Data AG.

The effective tax rate for the full year decreased from 59.6% in the prior year to 35.7% for 2003. Due to a higher tax base, the effective tax rate came closer to the statutory tax rate of 34% in Austria where most of Telekom Austria's operations are located. Net income also includes the cumulative effect in the amount of EUR 11.9 million from the first time adoption of SFAS 143 "Accounting for Asset Retirement Obligation".

Net income rose from EUR 12.8 million in 2002 to EUR 134.2 million for the reporting year, and earnings per share increased from EUR 0.03 to EUR 0.27. Based on this positive development, the Management Board will recommend that the Annual General Meeting approve payment of the first dividend since the initial public offering of Telekom Austria AG in 2000, at EUR 0.13 per share.

Development of Balance Sheet

(in EUR million)	Dec. 31, 2003	Dec. 31, 2002
Current assets	1,124.8	865.2
Property, plant, and equipment	4,457.7	5,000.7
Goodwill	597.6	590.7
Other intangible assets	712.0	725.9
Other assets	1,004.2	1,351.8
TOTAL ASSETS	7,896.3	8,534.3
Current liabilities	1,789.7	2,531.0
Long-term debt, net of current portion	2,342.3	2,079.9
Lease obligations, net of current portion	861.3	1,076.4
Employee benefit obligations	156.0	232.5
Other liabilities	107.6	105.0
Stockholders' equity	2,639.4	2,509.5
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	**7,896.3**	**8,534.3**

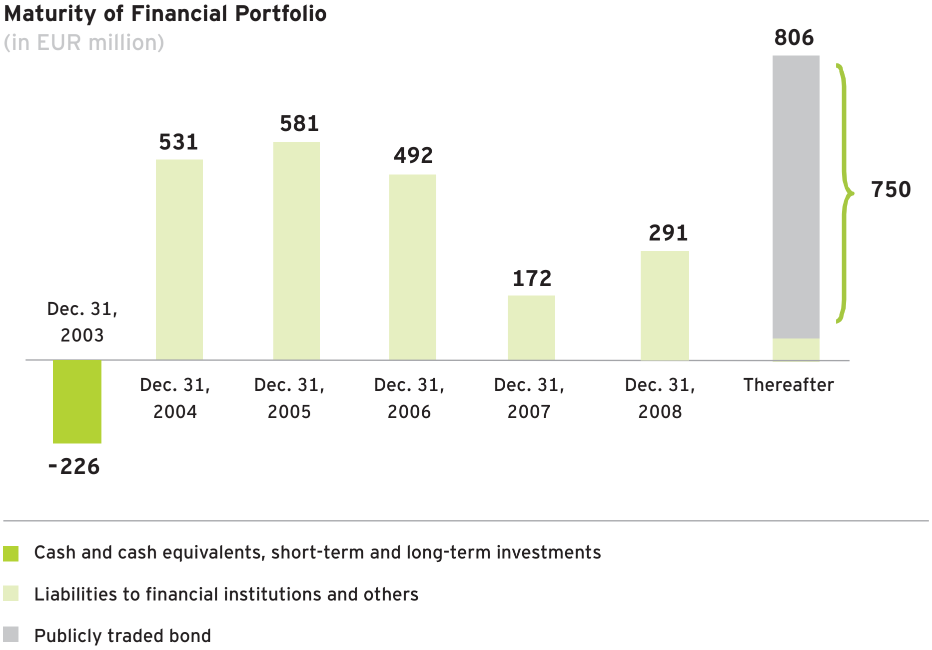
Decline in Balance Sheet Total due to Lower Fixed Assets

The balance sheet total decreased from EUR 8.5 billion to EUR 7.9 billion, in particular due to a decline in property, plant and equipment. Current assets rose by EUR 259.6 million to EUR 1,124.8 million, following an increase of EUR 174.6 million in cash and cash equivalents and EUR 108.0 million in accounts receivable. The increase in receivables was due to improved liquidity and the resulting decline in cash drawn as part of the asset-backed securitization program. The modest increase in goodwill over the prior year resulted from the wireless segment. Although other intangible assets totaling EUR 59.1 million were acquired in 2003, higher amortization led to a decline in other net intangible assets from EUR 725.9 million to EUR 712.0 million.

Other assets also include other long-term receivables and assets totaling EUR 762.7 million (2002: EUR 987.1 million), which are largely related to cross border lease transactions. These are offset by US-dollar denominated lease obligations of the same amount. The lower US-dollar exchange rate led to a decline in assets and lease obligations of the same amount. A further reduction in obligations from early retirement programs led to a decrease in employee benefit obligations.

On June 30, 2003 Telekom Austria initiated a EUR 2.5 billion "Euro Medium Term Note (EMTN) Program". Within the framework of this program, the first euro bond was issued on July 10, 2003 with a nominal value of EUR 750 million, a ten-year maturity and a coupon of 5.00%. The issue was rated Baa2 by Moody's and BBB by Standard & Poor's. The notes were used to restructure the maturity profile of liabili-

Maturity of Financial Portfolio
(in EUR million)



ties, which is also reflected in the balance sheet as of December 31, 2003. The shift from short-term to long-term debt is the major reason for the decline in short-term liabilities.

A reduction in additions to property, plant and equipment and improved profitability triggered a further decrease of EUR 566.9 million in net debt to EUR 2,637.3 million in 2003. This development was possible in spite of EUR 69.7 million, which was spent to increase the stake in VIPnet from 71% to 99%. The debt-to-equity ratio (net gearing) therefore fell from 127.7% in 2002 to 99.9% as of December 31, 2003.

Net debt	**Dec. 31, 2003**	**Dec. 31, 2002**
Long-term debt, net of current portion	2,342.3	2,079.9
Short-term borrowings	631.3	1,309.9
- Short-term portion of capital and cross border lease	-95.5	-107.9
+ Capital lease obligations (short-term and long-term)	2.1	7.3
+ Payables to related parties	0.0	0.4
- Receivables from related parties	0.0	-0.1
Cash and cash equivalents, short-term and long-term investments	-226.4	-46.6
Financial instruments, included in other assets	-16.5	-38.7
Net debt of Telekom Austria	**2,637.3**	**3,204.2**
Net debt / Equity	99.9%	127.7%

Development of Cash Flow

Cash flow figures for 2002 do not include the wireless segment prior to June 28, 2002 because mobilkom austria was not fully consolidated until this date.

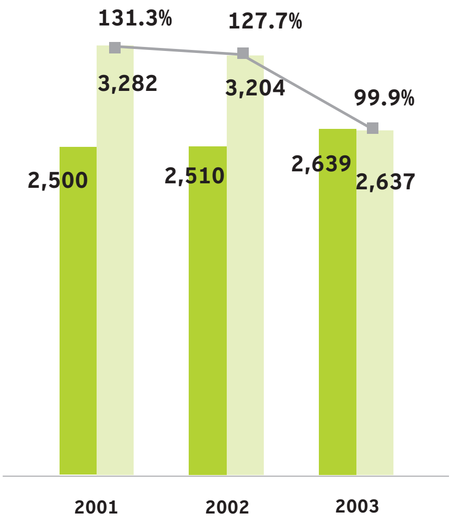
Cash generated from operations was negatively impacted by a change in working capital in the amount of EUR 184.5 million. This was mainly due to higher accounts receivable, which as mentioned above rose due to less cash drawn in the framework of the asset-backed securitization program. Also, employee benefit obligations fell as a result of early retirement payments.

In keeping with the strategic goal to maximize cash flow, Telekom Austria continued its efforts to reduce additions to property, plant and equipment in 2003. In total, additions to property, plant and equipment fell by 10.1% to EUR 595.3 million, which represents the largest component of cash flow totaling EUR 643.9 million used in investing activities. Additions to property, plant and equipment, as described, include EUR 6.6 million from the introduction of SFAS 143 "Asset Retirement Obligation", which did not impact cash flows. Without this effect additions to property, plant and equipment fell by 11.1%.

In the wireline segment additions to property, plant and equipment were reduced by 11.6% to EUR 301.1 million. Nearly one-half of additions to property, plant and equipment in the wireline segment were related to broadband activities, above all in the access area. In the core network, the major component of expenditures involved demand-related capacity adjustments and network optimization. The development of capital expenditures in the wireless segment differed by market, but declined in total by 8.4% to EUR 294.6 million due to the downward trend in Austria and Slovenia. At VIPnet the level of capital expenditures remained generally stable. A total of EUR 36.5 million was invested in the Austrian UMTS network during 2003.


TRUST
PAYS!

Net Gearing



Stockholders' equity in EUR million

Net debt in EUR million

Net gearing (Net debt / Equity) in %

Further Reduction in the Workforce

Telekom Austria's personnel restructuring program, which was announced at the initial public offering in 2000 to reduce the size of the workforce on an ongoing and socially responsible basis, was continued during the reporting year and exceeded the set goals. At the end of 2003 the Telekom Austria Group had 13,890 employees (2002: 14,951), of which 54% are civil servants. Productivity gains and further voluntary retirement programs allowed a headcount reduction of 1,125 employees in the wireline segment to 10,234. The successful development of business in the wireless segment led to a slight increase of 64 to 3,656.

Research and Development

A key element of the business strategy of both segments is represented by their undisputed technology and innovation leadership. During the past year the wireline segment made important progress in the use of the broadband network, particularly for TV broadcasting services, while the wireless segment concentrated on the development of multimedia services and the introduction of UMTS. Telekom Austria's R&D activities are focused on improving customer convenience, and the company's wide-ranging network of research partnerships plays a fundamental role in the successful achievement of this objective. Telekom Austria invested a total of EUR 42.8 million in research and development for all business segments in 2003 (2002: EUR 35.4 million).

Stabilization in the Wireline Segment

Business development in the wireline segment continued to stabilize throughout the reporting year. Despite a steady decline in voice minutes due to the migration of call volumes to mobile communications networks, the decrease in revenues was limited to 2.8% mainly because of increasingly successful activities in the broadband area. As a result, wireline revenues amounted to EUR 2,197.7 million (2002: EUR 2,260.0 million). Excluding third party value-added service revenues, also for periods prior to October 1, 2003, wireline revenues declined by 2.4% to EUR 2,165.0 million.

The total volume of voice and dial-up minutes fell by 4.2% to 9.8 billion during 2003 compared to the prior year period, with voice minutes declining by 1.4%. The overall market share based on minutes including Internet dial-up remained stable at 55.3%. The number of access lines fell by 2.8% to slightly above 3 million; this figure includes ADSL access lines, which increased by 50.0% to 261,100.

Adjusted EBITDA declined by 3.4% compared to the prior year period to EUR 780.5 million during 2003. Excluding the impact of reversals of provisions for early retirement programs, which fell from EUR 57.4 million in 2002 to EUR 26.8 million in 2003, adjusted EBITDA showed a modest increase that documents the success of cost-cutting measures. The accelerated headcount reduction, particularly during the fourth quarter of the business year, caused expenses of EUR 47.3 million (2002: EUR 10.8 million).

Cash flow (in EUR million)	**2003**	**2002**
Cash generated from operations	1,219.9	1,171.4
Cash used in investing activities	-643.9	-1,175.9
Cash (used in) generated from financing activities	-406.8	1.8
Effect of exchange rate changes	5.4	3.6
Net increase (decrease) in cash and cash equivalents	**174.6**	**0.9**

Total managed

Additions to property, plant and equipment (in EUR million)	**2003**	**2002**
Wireline	301.1	340.7
Wireless	294.6	321.7
Intersegmental eliminations	-0.4	0.0
Total	**595.3**	**662.4**

Number of employees at year-end*	**2003**	**2002**	**2001**
Wireline	10,234	11,359	13,148
Wireless	3,656	3,592	3,438
Total	**13,890**	**14,951**	**16,586**

* Full-time employees

In spite of the decline in adjusted EBITDA, operating income improved significantly from EUR (115.3) million to EUR (34.3) million due to a reduction in depreciation, amortization and impairment charges, and showed a distinct movement towards the break-even point.

Segment Reporting

Revenues (in EUR million)	2003	2002	Change in %
Wireline	2,197.7	2,260.0	-2.8
Wireless	2,030.2	1,909.4	6.3
Other & eliminations	-258.1	-261.2	1.2
Total managed revenues	3,969.8	3,908.2	1.6
Wireless (before June 28, 2002)	0.0	-906.9	
Other & eliminations	0.0	116.8	
Consolidated revenues	**3,969.8**	**3,118.1**	**27.3**

Impact from change in the accounting of third party value-added service revenues recorded prior to October 1, 2003 (in EUR million)	2003	Total managed 2002
Wireline	32.7	42.8
Wireless	20.3	25.3
Other & eliminations	-7.1	-9.7
Total managed revenues	**45.9**	**58.4**

Revenues excluding third party value-added service revenues (in EUR million)	2003	Total managed 2002	Change in %
Wireline	2,165.0	2,217.2	-2.4
Wireless	2,009.9	1,884.1	6.7
Other & eliminations	-251.0	-251.5	0.2
Total managed revenues excluding third party value-added service revenues	**3,923.9**	**3,849.8**	**1.9**

Adjusted EBITDA (in EUR million)	2003	Total managed 2002	Change in %
Wireline	780.5	807.6	-3.4
Wireless	727.1	649.5	11.9
Other & eliminations	2.2	7.3	-69.9
Total managed adjusted EBITDA	1,509.8	1,464.4	3.1
Wireless (before June 28, 2002)	0.0	-349.1	
Other & eliminations	0.0	0.3	
Consolidated adjusted EBITDA	**1,509.8**	**1,115.6**	**35.3**

Operating income (in EUR million)	2003	Total managed 2002	Change in %
Wireline	-34.3	-115.3	70.3
Wireless	401.4	380.7	5.4
Other & eliminations	2.7	7.7	-64.9
Operating income	369.8	273.1	35.4
Wireless (before June 28, 2002)	0.0	-215.9	
Other & eliminations	0.0	0.2	
Consolidated operating income	**369.8**	**57.4**	**544.3**

Further Growth in the Wireless Segment

In the wireless segment the growth trend seen in the previous year continued throughout 2003 in all regions, and an improvement in profitability was also recorded. The total number of wireless customers in the Telekom Austria Group rose by 6.4% to more than 4.7 million for the reporting year. As a result, revenues increased by 6.3% to EUR 2,030.2 million. Excluding third party value-added service revenues, also for periods prior to October 1, 2003, wireless revenues grew by 6.7% to EUR 2,009.9 million. Adjusted EBITDA rose by 11.9% to EUR 727.1 million, supported above all by strong growth in the fourth quarter of 2003. Operating income increased by 5.4% to EUR 401.4 million despite the start of the amortization of the UMTS license and higher amortization related to the acquisition of the minority stake in mobilkom austria during 2002.

The market entry of two new competitors made the Austrian mobile communications sector undoubtedly one of the most competitive in Europe. In spite of this development, mobilkom austria was able to record impressive subscriber growth of 5.4%. Revenues increased by 5.1% to EUR 1,617.2 million. Excluding third party value-added service revenues, also for periods prior to October 1, 2003, revenues rose by 5.6% to EUR 1,598.7 million. Profitability was able to keep pace with this development. Adjusted EBITDA rose by 7.7% to EUR 576.6 million. The adjusted EBITDA margin, based on revenues excluding third party value-added service revenues, also for periods prior to October 1, 2003, increased from 35.4% to 36.1%. Operating income remained near the prior year level because of a 20.3% rise in depreciation and amortization to EUR 235.8 million.

In Croatia VIPnet was able to benefit from the opportunities provided by higher market penetration, and recorded growth of 10.3% in the number of customers. Revenues rose by 12.5% to EUR 341.3 million; adjusted EBITDA of EUR 139.2 million (2002: EUR 113.7 million) led to an improvement in the adjusted EBITDA margin to 40.8% (2002: 37.4%). Operating income increased by 19.7% to EUR 66.6 million.

The market environment in Slovenia is consistently difficult primarily due to regulatory framework conditions. Nevertheless, Si.mobil was able to increase the number of customers by 3.3%, and record a plus of 3.3% in revenues to EUR 81.8 million. Adjusted EBITDA rose from EUR 1.8 million to 13.1 million, and reflects the company's steady focus on profitability. Operating income improved from EUR (12.4) million to EUR (3.6) million, and break-even is expected within the next two years.

Risk Factors

The broadly diversified set of instruments for risk avoidance, which was integrated into the operating processes of the Telekom Austria Group in recent years, was given a new focus in 2003. As a company listed on the New York Stock Exchange, Telekom Austria is required to comply with the Sarbanes-Oxley Act.

The far-reaching provisions of this law include the establishment of a Disclosure Committee to guarantee correct financial communication. Moreover, the effectiveness of disclosure controls and procedures must be evaluated by the CEO and CFO. This is designed to guarantee the correctness of information that must be disclosed. The Audit Committee of the Supervisory Board is required to examine, among other things, the effectiveness of the internal audit department and has established a policy to approve all audit and non-audit services provided by the independent auditors. Telekom Austria views this institutionalized improvement of risk management as an additional safeguard to ensure its continued existence in a competitive and heavily regulated market environment.

The following description is a summary of the main risk factors listed on Form 20-F, which is the annual report as filed with the US Securities and Exchange Commission (SEC). Form 20-F is available in English from the Telekom Austria Investor Relations department or on the corporate website under www.telekom.at.

Market and Competitive Risks

From today's perspective a continuation of strong competition is expected in both operating segments, especially in Austria. In mobile communications, competitive pressure has induced some providers to offer prices that are in part considerably below the mobilkom austria price level. In spite of this development, mobilkom austria has been able to record a steady increase in the number of customers to date. Attractive prices in the mobile communications sector have also increased

Value Driver Note No. 7

Strong financial power gives our shareholders security – and also gives us the flexibility to take advantage of value-enhancing expansion opportunities.

Reduction in net debt

of EUR 0.6 billion to EUR 2.6 billion in 2003,

despite an increase in the stake in VIPnet to 99%.
This positive development to a level of approx. 1.7 times total managed EBITDA reduced net gearing to roughly 100% and clearly demonstrates Telekom Austria's ability to generate high cash flow.

the shift of voice call volume from fixed line to mobile communications networks. However, this trend should be largely offset by growth in the broadband business. Nevertheless, this competitive environment is expected to lead to a further decline in the fixed line voice market and a flat development in the mobile communications market in Austria.

Regulatory Risks

In the wireline segment, Telekom Austria is still classified as an operator with significant market power with regard to fixed line, leased line and interconnection markets and is therefore subject to regulatory requirements in these sectors. In addition to the determination of end user tariffs, fees charged by Telekom Austria to competitors for the use of its fixed line infrastructure and access to customer access lines are subject to prior approval. Since the Telecommunications Act passed in 2003 has not yet been fully implemented, its impact on Telekom Austria's business development cannot be completely estimated at this time. Telekom Austria takes account of these risks in its planning scenarios and attempts to minimize them through active communication with the regulatory authority and competitors.

Financial Risks

The headcount reduction program defined in connection with the initial public offering has been completed. However, Telekom Austria is limited in its ability to counter a possible sharp decline in wireline revenues with further personnel downsizing measures because roughly 54% of Telekom Austria's employees are civil servants.

Outlook

In the wireline segment, the migration of voice minutes to mobile networks is expected to carry on throughout 2004. For this reason, revenues are expected to show a slight but slower decline in spite of the dynamic growth in broadband access lines. However, the development of adjusted EBITDA should remain stable because of successful workforce reduction and cost control.

Competition on the domestic mobile communications market intensified even more at the start of 2004. The expected flat development in Austria will further slow the increase in revenues and adjusted EBITDA throughout the entire wireless segment, and growth can primarily be expected from the international sector.

This means that growth rates in the Telekom Austria Group will level out during 2004. However, the expansion of broadband activities in the wireline segment and anticipated growth in data revenues in the mobile communications segment should make it possible to reverse this trend over the coming years. This expected development translates into an estimated increase of 0 to 1% in group revenues and 1 to 2% in adjusted EBITDA for 2004. The resulting slight improvement in margins reflects the steady focus on cost reduction measures in all areas of the company.

Growth in adjusted EBITDA and a further decline in depreciation and amortization are expected to lead to another above-average rise in net income by substantially over 10%. Current forecasts do not include the impact of planned changes in Austrian corporate tax law.

Cash flow is expected to remain positive because of continued restraint in investments and the strong earning power of the group. The development of net debt will depend on the realization of possible expansion steps as well as the repurchase of stock authorized by the Annual General Meeting.

This authorization allows the repurchase of up to 10% of common stock at a price of EUR 9 to EUR 15 per share up to December 4, 2004. A maximum of EUR 300 million is available for this repurchase, and the extent to which this sum will be used depends on the development of business. A motion will be placed before the next Annual General Meeting to extend the repurchase authorization.

Major Subsequent Events

On January 21, 2004 Telecom Italia International N.V sold its remaining stake of 73.9 million shares, or 14.78% of common stock, in Telekom Austria through a private placement to institutional investors. This transaction increased the percentage of Telekom Austria's free float to 52.8%. The remaining shares are held by ÖIAG (Republic of Austria). ÖIAG and Telekom Austria have concluded lock up agreements covering the sale and issue of Telekom Austria shares, which are valid through May 31, 2004.

The American call options acquired in 2000 were exercised on March 3, 2004 and Telekom Austria was credited with 3,326,881 of its own shares, or 0.67% of common stock, by means of an over-the-counter transaction at a price of EUR 9 each. The exercise price for each option is EUR 9. These treasury shares can be used to fulfill obligations from stock option programs. This transaction represents the first use of the authorization to buy back up to 50 million shares, which was granted by the Annual General Meeting on June 4, 2003.

Within the scope of the IPO, a stock option program was initiated for the Management Board and a number of managers of Telekom Austria AG. The performance hurdle was met, since the average share price exceeded the price at the initial public offering by 30% or more, over the five consecutive days prior to February 27, 2004. Therefore roughly 100 participants in the stock option program are entitled to exercise 3,268,850 options or to demand a cash settlement in the amount of EUR 2.7 per option.

Vienna, March 2004

The Management Board

Heinz Sundt
Stefano Colombo
Rudolf Fischer
Boris Nemsic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Appendix to the Group Management Report

US stock market law requires Telekom Austria to present a reconciliation of total managed data for the group with consolidated figures prepared in accordance with U.S. GAAP.

Telekom Austria AG: Reconciliation from Total Managed Adjusted EBITDA to Net Income (in EUR million)

	2003	2002
Adjusted EBITDA (excluding impairment charges; total managed for 2002)	**1,509.8**	**1,464.4**
Wireless EBITDA (before June 28, 2002)	0.0	-349.1
Impairment charges	-6.8	-41.9
Intersegmental eliminations	0.0	0.3
Consolidated adjusted EBITDA (including impairment charges)	**1,503.0**	**1,073.7**
Depreciation and amortization	-1,133.2	-1,016.3
Interest income	75.2	88.2
Interest expense	-231.0	-244.6
Equity in earnings of affiliates	19.1	140.5
Other income (expense), net	-0.5	2.3
Income before taxes, minority interests and cumulative effect of change in accounting principle	**232.6**	**43.8**
Income tax expense	-83.1	-26.1
Minority interests	-3.4	-4.9
Cumulative effect of change in accounting principle, net of tax	-11.9	0.0
Net income	**134.2**	**12.8**

The totals in the above tables may differ from the sum of their components as a result of rounding.

Telekom Austria AG: Reconciliation of Total Managed to U.S. GAAP Consolidated Statements of Operations (in EUR million)

	U.S. GAAP Consolidated results 2003	Total managed results 2002	Elimination of the results of mobilkom austria 2002	Other eliminations* 2002	U.S. GAAP Consolidated results 2002
Operating revenues	3,969.8	3,908.2	-906.9	116.8	3,118.1
Operating expenses					
Materials	-297.1	-294.0	103.7	-6.1	-196.4
Employee costs, including benefits and taxes	-699.3	-678,0	77.3	0.0	-600,7
Depreciation and amortization incl. impairment charges	-1,140.0	-1,191.2	133.2	-0.2	-1,058.2
Other operating expenses	-1,463.6	-1,471.9	376.8	-110.3	-1,205.4
Operating Income	**369.8**	**273.1**	**-215.9**	**0.2**	**57.4**
Other income (expense)					
Interest income	75.2	93.3	-10.9	5.8	88.2
Interest expense	-231.0	-265.6	26.8	-5.8	-244.6
Equity in earnings of affiliates	19.1	0.0	0.0	140.5	140.5
Other, net	-0.5	-1.6	1.7	2.2	2.3
Income before taxes, minority interests and cumulative effect of change in accounting principle	**232.6**	**99.2**	**-198.3**	**142.9**	**43.8**
Income tax expense	-83.1	-28.8	2.7	0.0	-26.1
Minority interests	-3.4	-57.6	5.1	47.6	-4.9
Income before cumulative effect of change in accounting principle	**146.1**	**12.8**	**-190.5**	**190.5**	**12.8**
Cumulative effect of change in accounting principle, net of tax	-11.9	0.0	0.0	0.0	0.0
Net income	**134.2**	**12.8**	**-190.5**	**190.5**	**12.8**

* Eliminations required to consolidate mobilkom austria and recognize equity in earnings of mobilkom austria for the period from January 1, 2002 to June 28, 2002.

Wireline

Following the merger of the former fixed line, data communications and Internet segments during the previous year, all fixed line activities of the Telekom Austria group have been integrated into the wireline segment since the beginning of 2003.

Quick Info

- Market share based on minutes stable at prior year level
- Competition leads to 2.8% decline in revenues to EUR 2.2 billion
- Number of ADSL customers rises by 50%
- Cost reductions through merger of former fixed line, data communications and Internet segments
- Additions to property, plant and equipment decline by 11.6%

The wireline segment comprises fixed line telephony in Austria as well as data and IT solutions, Internet access and media, value-added and wholesale services. Internationally Telekom Austria is represented in the fixed line segment, among others, through the Internet service provider, Czech On Line in the Czech Republic.

Decline in Revenues Slowed Significantly

Although competition held prices at a low level, the wireline segment was able to substantially slow the decrease in revenues, which fell by 2.8% to EUR 2,197.7 million. Applying the change in the accounting of third party value-added services during Q4 2003 also for prior periods, revenues reported by the wireline segment declined by 2.4% to EUR 2,165.0 million for 2003.

Key Data (financial data in EUR million)	2003	2002	Change in %
Revenues	2,197.7	2,260.0	-2.8
Revenues excluding third party value-added service revenues*	2,165.0	2,217.2	-2.4
Adjusted EBITDA**	780.5	807.6	-3.4
Adjusted EBITDA margin (in %)*	36.1	36.4	
Operating income	-34.3	-115.3	70.3
Additions to property, plant and equipment	301.1	340.7	-11.6
Employees***	10,234	11,359	-9.9

* For comparative purposes, data from prior periods was also adjusted to reflect the change in the accounting of value-added services in Q4 2003. Operating revenues excluding revenues from third party value-added services form the basis for the adjusted EBITDA margin.

** Costs for idle workforce and net losses from the retirement of long-lived assets, which were not included in adjusted EBITDA and operating income until the end of 2002, are shown as part of operating expenses for all comparable periods. Please refer to the glossary for the exact definition of adjusted EBITDA.

*** Full-time employees at year-end

Adjusted EBITDA in the wireline segment declined by 3.4% to EUR 780.5 million during 2003 compared to the prior year period. Excluding the reversal of provisions for early retirement programs, adjusted EBITDA shows a slight increase, which underscores the success of cost cutting measures. A decrease in depreciation, amortization and impairment charges supported a clear improvement in operating income from EUR (115.3) million in 2002 to EUR (34.3) million for 2003.

Both operating revenues and expenses are adjusted to reflect the change in the accounting of third party value-added services also for prior periods, and results are shown on a comparable basis.

Voice telephony traffic revenues fell by 9.4% to EUR 428.8 million, primarily as a result of increased migration of call volumes to mobile networks. In addition, voice telephony tariffs declined by an average of 3.7% compared to the prior year level. In spite of a drop in the number of fixed lines, revenues from monthly rentals rose by 1.0% to EUR 567.9 million compared to the previous year due to a change in the tariff structure. An increase in the number of ADSL customers supported a 2.4% rise in Internet and media revenues to EUR 198.4 million. Strong competitive pressure led to a decline in prices, which resulted in a 0.7% decrease in revenues from data and IT solutions.


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The increase in wholesale revenues was supported by growth in the international voice telephony and project businesses. Other revenues declined, above all due to the phase out of the infrastructure business in 2002.

Material expenses increased due to higher use of merchandise as well as ADSL expansion in the switching centers. Headcount in the wireline segment fell by 1,125 to 10,234 in 2003, primarily as a result of synergy effects from the merger of the fixed line, data and Internet segments. The increase in personnel expenses was related solely to the impact of additional personnel restructuring measures. Accordingly, costs for headcount reduction rose from EUR 10.8 million in the previous year to EUR 47.3 million for 2003. At the same time, the reversal of provisions for voluntary retirement programs fell from EUR 57.4 million to EUR 26.8 million. Excluding these effects, personnel expenses declined by 10.2%.

Cost savings through the optimization of maintenance contracts and centralization of business locations led to a decrease in maintenance expenses. The costs for services received rose, primarily due to a decline in the use of in-house services. Other operating expenses decreased following efficiency improvements in customer service and advertising, as well as cost savings for buildings and logistics, lower consulting expenses and bad debt provisions.

Revenues (in EUR million)	**2003**	**2002**	**Change in %**
Switched voice traffic revenues	428.8	473.4	-9.4
Switched voice monthly rentals and other voice telephony revenues	567.9	562.2	1.0
Payphones and value-added services	57.8	67.1	-13.9
Data and IT solutions	338.3	340.6	-0.7
Internet access and media	198.4	193.7	2.4
Wholesale voice telephony and Internet	311.4	305.5	1.9
Wholesale data	103.8	97.4	6.6
Other	158.6	177.3	-10.5
Total wireline revenues excluding third party value-added service revenues	**2,165.0**	**2,217.2**	**-2.4**
Impact from the change in accounting of third party value-added service revenues	32.7	42.8	
Total wireline revenues	**2,197.7**	**2,260.0**	**-2.8**

Expenses (in EUR million)	**2003**	**2002**	**Change in %**
Materials	63.3	59.1	7.1
Employee costs*	531.9	523.1	1.7
Depreciation, amortization and impairment charges	814.8	922.8	-11.7
Interconnection	300.9	296.2	1.6
Maintenance and repairs	119.2	130.6	-8.7
Services received	28.6	6.7	326.9
Other operating expenses	340.5	394.0	-13.6
Total wireline expenses excluding third party value-added service expenses	**2,199.2**	**2,332.5**	**-5.7**
Impact from the change in accounting of third party value-added service expenses	32.7	42.8	
Total wireline expenses	**2,231.9**	**2,375.3**	**-6.0**

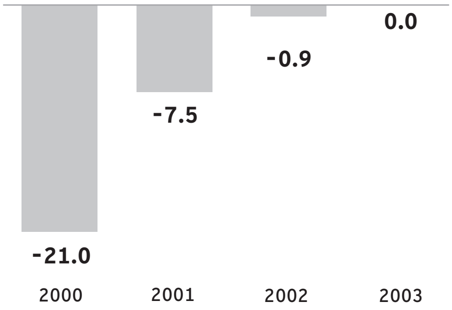
* Including benefits and taxes

Reduction in Additions to Property, Plant and Equipment

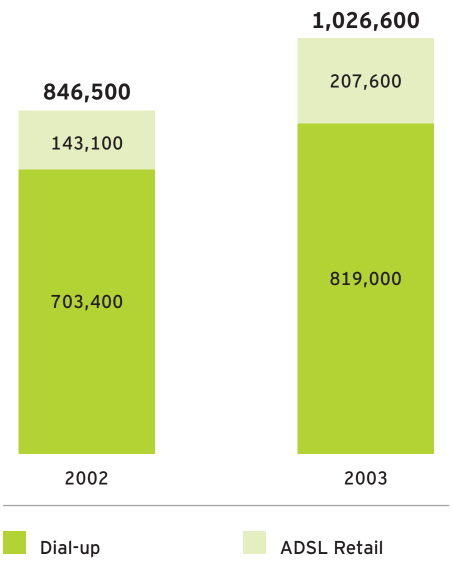
The continuation of a restrictive investment policy led to a decrease in additions to property, plant and equipment, which fell by 11.6% to EUR 301.1 million in 2003. Excluding the non-cash effect from the introduction of SFAS 143 "Accounting for Asset Retirement Obligation", additions to property, plant and equipment declined by 12.5% to EUR 298.0 million. Of this total, approximately 47% was related to the expansion of broadband activities.

Investments in the core network focused on both technical and administrative optimization as well as demand-related capacity adjustments. In addition to the adaptation of individual locations and technical equipment, major IT projects were realized in the wireline segment during 2003. These include a new billing system, which was developed in-house, as well as a new customer relationship management system.

Development of Voice Market Share
Voice market share losses based on minutes including Internet dial-up in percentage points



Internet Customers



Win Back of Market Share

With over 30 competitors, the Austrian fixed line market is one of the most competitive in Europe. In 2003 Telekom Austria was able to win back customers and market share thanks to an intense and targeted marketing campaign. Voice telephony market share based on minutes, including Internet dial-up, declined by 0.9 percentage points in the previous year, but remained stable at 55.3% in 2003. Excluding Internet dial-up traffic, this figure rose by 0.3 percentage points to 52.9%. The above-mentioned migration of call minutes from fixed line to mobile networks led to a decline in fixed line traffic volume. In comparison to the previous year, the decline in fixed line voice minutes was reduced from 8.7% to 1.4%.

While the number of fixed access lines declined by 2.8% to slightly more than 3 million in 2003, the number of ISDN access lines rose by 3.8% to 455,000. The decrease in PSTN access lines is primarily a result of rising migration of call volumes to mobile networks and a shift to ISDN access lines. The number of ADSL access lines increased by 87,000 to 261,100 in the reporting year, whereby 53,500 of these lines were sold to wholesale customers.

With an increase of 21.3% in Internet customers to 1,026,600 in 2003, Telekom Austria was again able to benefit from its position as the undisputed market leader. According to a survey by the Austrian Internet Monitor, Telekom Austria's Internet market share in the residential segment, including mobilkom austria's Internet customers, rose from 38% in the previous year to 42% for 2003.

Growth Opportunities with Broadband and Network-Based IT Solutions

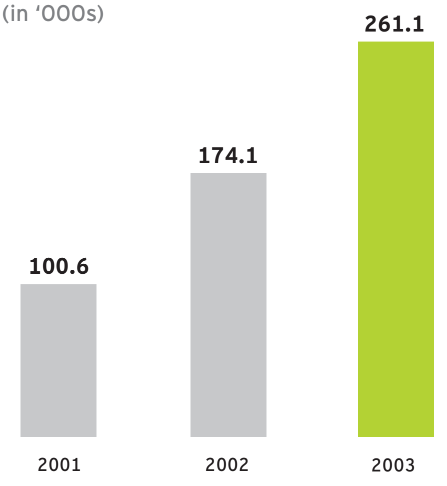
During the 2003 business year, wireline activities were mainly focused on two areas to utilize opportunities for future growth. In the broadband business, measures were tailored to the needs of residential customers as well as small and medium-sized enterprises. In the corporate customer segment, Telekom Austria was able to record important successes as a provider of network-based IT solutions.

Continuation of Broadband Offensive

In 2003 Telekom Austria continued its marketing campaign to promote broadband communication. Specific projects encompassed the expansion of the product portfolio to include access and security products, the Austrian premiere of Internet television with the launch of Aon.tv as well as activities to increase public awareness of broadband services.

Targeted initiatives were aimed at increasing recognition for the importance of broadband Internet as a key advantage for companies in terms of location and competition. The introduction of tax benefits for private broadband access lines by the Austrian government was a first step to increase broadband penetration. However, this measure did not have a major effect on the acquisition of new customers in 2003.

Development of ADSL Access Lines
(in '000s)



The availability of ADSL as a transmission technology was increased from 80 to 85% in 2003 by upgrading switching centers and extending the access radius. This reflects the European average. Upstream and downstream transmission speeds were improved during the reporting year by raising Internet bandwidths from 512/64 kbit/s to 768/128 kbit/s.

In the Internet area, Telekom Austria launched Aon.tv, the first Internet TV service in Austria. Activities also focused on Internet entertainment: products such as NetGaming (in cooperation with Sony and Microsoft) and AonMusicdownload underscore the technology leadership of Telekom Austria on the domestic market.

Telekom Austria's Aon portal offers a wide range of content in areas such as information, communications, shopping, fun and entertainment, and provides a full-service Internet platform. AonCommunicator and AonVideochat cover Internet communications. With approximately 1.4 million unique clients per month (January 2004), Telekom Austria ranks second in the Austrian web analysis with Aon.at and other online products. They are a preferred point of contact for customers who are looking not only for efficient online support, but also extensive information on Telekom Austria's product portfolio.

Positioning as Provider of Network-Based IT Solutions

The reorganization of the wireline segment in 2002 also created important synergies in the field of data communications. The broadly diversified product portfolio of the Business Solutions unit comprises not only data communications but also IT solutions such as IT infrastructure and security services as well as tailor-made e-business solutions for supply chain management, customer relationship management, e-procurement and web portals. On the basis of this comprehensive bundling of resources and know-how Telekom Austria was successful in establishing itself as IT provider with a focus on network-based IT services, which is also reflected in the increasing technological merger of data and IT solutions in its own structures.

The proliferation of IT applications on the market and stronger process orientation in the corporate segment resulted in an increased demand for network-based IT services and triggered a trend towards selective outsourcing. As the market leader in data networking, Telekom Austria is responsible for the network management of a number of major Austrian corporations. The demand for IP voice services, which transport voice, data and multimedia content over a single network, also showed successful development during the past year. These products are based on a scalable model in line with specific customer needs, and were particularly well received by large companies with extensive branch systems.

Value Driver Note No. 8

During 2003 our wireline market share based on minutes, including Internet dial-up, stabilized for the first time since 1998.

Market share stable at

55.3%

Attractive tariffs and a new efficient sales organization stopped the decline in revenues and led to a stable development.

Target Group-Oriented Marketing

Telekom Austria views itself as a full-service provider of multimedia solutions in all areas of modern communications. Its product offering and market presence are oriented towards prevailing market structures and target groups. Products and services introduced during the reporting year were also differentiated to reflect this focus.

Residential Customers

In the residential customer area, the tariff reform introduced in 2002 was carried on throughout the reporting year, and included the discontinuation of the minimum tariff. Customers affected by these changes were transferred to the standard tariff, with a higher monthly rental but lower traffic rates, or chose to opt for an inexpensive TikTak tariff. All other tariff models remained unchanged. The product line was also expanded: the newly introduced "Komfortbox" serves as a modern information management tool and allows for unified messaging of voice, SMS, e-mail and fax texts. These can be accessed and answered by fixed line customers via a telephone (both fixed line and mobile networks) or web interface (Internet). The new "SMS2Speech" function was introduced at the end of 2003 and attracted over 10,000 customers within only a few days. This innovative service allows fixed line customers to send and receive SMS messages, which are automatically converted into voice messages, independent of the end appliance.

Small and Medium-Sized Enterprises

Telekom Austria increased its focus on the special needs of small and medium-sized enterprises during the reporting year. The new "Office Circle" product interconnects multiple locations over fixed lines in a virtual private network, and thereby enables cost efficient internal communications. The broad-based introduction of SDSL (Symmetric Digital Subscriber Line) also provides small businesses in Austria with optimal Internet access via mail or web server. XDSL Office offers a tailor-made full-service package, which includes Internet broadband access and Internet presence as well as optional features such as virus scan, firewall and wireless LAN.

Corporate Customers

In the corporate customer segment Telekom Austria was able to successfully establish a position as the leading provider of integrated, network solutions in all areas of data communications during 2003. A focus on large projects with parallel extension of the service portfolio contributed to enhancing the company's market position despite heavy price competition. Basic products for corporate networks were expanded to include housing and hosting services, voice over IP services, and IT security services. Joint projects with leading international hardware manufacturers enabled the realization of major LAN (local area network) projects and further strengthened Telekom Austria's market position. In addition, successful e-business-projects increased the acceptance of Telekom Austria as a provider of IT applications.

Telekom Austria fixed line traffic

(in million minutes)	**2003**	**2002**	**2001**
Local traffic	4,485	4,607.0	5,158
Fixed-to-mobile traffic	855	826	830
International traffic	484	472	476
Total voice telephony	**5,824**	**5,905**	**6,464**
Internet dial-up traffic	3,953	4,305	4,505
Total fixed line traffic*	**9,777**	**10,210**	**10,969**

* Excluding value-added services, emergency calls, coin and prepaid card telefony

Fixed access lines – access channels

(in '000s)	**2003**	**2002**	**2001**
PSTN access lines	2,555.8	2,659.1	2,759.8
Basic ISDN access lines	447.2	430.1	398.7
Multiple ISDN access lines	7.8	8.1	8.3
Total access lines	**3,010.8**	**3,097.3**	**3,166.8**
Thereof ADSL access lines	261.1	174.1	100.6
Total access channels	**3,684.2**	**3,762.3**	**3,806.2**

Jet2Web Stream

- Core network
- Long-term leased bandwidths
- Start of operations at end of first quarter 2004
- In planning

Improvement in Customer Service

Approximately 2,600 employees in the customer service division were responsible for roughly 23 million customer contacts in 2003. Their skills and solutions know-how improved continuously as the result of specialized training programs. This led to a 14% improvement in the number of customer inquiries that were resolved on the first contact. In the technical service area, productivity per employee increased by a sizeable 24% and the installation time for fixed access lines fell by 30%. All these results support the continuous improvement of customer satisfaction. Telekom Austria's success in meeting this objective is demonstrated by a 17% decline in complaints during the reporting year.

Success in the Wholesale Business

In the wholesale area, Telekom Austria continued to develop its position as a successful national and international wholesale provider of voice and data services. A total of 100 national and 250 international customers supported sustainable revenue growth for the reporting year. Alone in the area of international trading of voice minutes, revenues rose by 16%. A total of 2.5 billion voice minutes of incoming and outgoing calls with 250 countries were routed via the two Telekom Austria's international switching centers in Vienna and Linz during 2003. On the national wholesale market the company's innovative broadband solutions were particularly well received during the past year. More than 100 domestic Internet service providers and alternative network operators have integrated Telekom Austria's wholesale standard solutions into their product portfolios for the end user market. As an outsourcing partner for Austrian UMTS providers, Telekom Austria was able to use its high-quality backbone networks as the basis for establishing a sound position in the area of UMTS access securing future revenue streams from this market segment. For the further development of voice and data traffic in southeastern Europe, Telekom Austria extended its international Jet2Web Stream backbone ring to include Slovakia, Hungary and Italy and also started preparations for entry into the Slovenian market. In addition to the Jet2Web Stream backbone ring, Telekom Austria also uses approximately 30,000 international lines, optical fiber and undersea cables as well as satellite links in over 130 countries throughout the world.

Value Driver Note No. 9

Nearly one-half of all investments in the wireline segment of the Telekom Austria Group flow into the expansion of broadband technology. Thanks to these efforts, the possibility of an ADSL access was offered to 85% of all Austrian households by the end of 2003. The growth potential of this technology will play an important role in stabilizing wireline revenues over the mid-term.

+ 50%

ADSL lines in 2003.

At the same time, the installation time per fixed access line was reduced by one-third.

Important Regulatory Decisions

In August 2003 a new telecommunications act took effect in Austria, which reflects EU guidelines. This new law will lead to a fundamental change in the regulation of companies with significant market power. In fall 2003 the regulatory authority began a market analysis to determine the competitive situation of the newly defined 18 telecommunications markets, in order to identify any lack of effective competition and consequent need for regulation. Until this analysis is concluded, the classification of Telekom Austria as an operator with significant market power on the fixed line, leased line and interconnection markets


trust
pays

will remain in effect. In July 2003 the Austrian regulatory authority approved Telekom Austria's request to discontinue the minimum tariff as of September 28, 2003. Shortly before the end of the year Telekom Austria withdrew its resale offer for access lines. This step had become necessary following the regulatory authority's rejection of Telekom Austria's request to introduce attractive new tariffs. Without these tariffs, which were aimed at offsetting the expected decline in revenues, Telekom Austria did not believe it would be able to make the investments necessary to facilitate the resale of access lines.

Czech On Line

The wireline segment of Telekom Austria also encompasses the results of the Czech alternative fixed line provider Czech On Line, which was able to increase the number of subscribers by 1.5% to more than 279,400 in 2003. Positive regulatory changes allowed Czech On Line to conclude an interconnection agreement for Internet dial-up traffic with Cesky Telekom in February 2003, which led to a significant improvement in profitability. The introduction of ADSL products also supported the development of the future-proof broadband Internet market during the reporting year, and the company was able to offer ADSL self-installation to customers for the first time in fall 2003. New product launches also include voice and Internet bundles for business customers, and voice telephony based on carrier selection for existing residential customers.

In 2003 revenues increased by 69.7% compared to the previous year to EUR 18.5 million, and adjusted EBITDA quintupled to EUR 5.6 million (2002: EUR 1.1 million). Operating income improved from EUR (1.3) million in 2002 to EUR 2.7 million for the reporting year.

Outlook Wireline

For the 2004 business year we expect that business in the wireline segment will continue to stabilize. Even if the migration of voice traffic to mobile networks continues, growth in the broadband area and the expected economic recovery should further slow the decline in revenues. An even stronger focus on sustainable customer retention and the optimization of customer service processes will support this development. Efficiency improvements, which have been realized in the personnel area, will form a sound basis for further cost reductions. Measures to automate and standardize internal and customer-related processes should lead to further cost savings and allow the stabilization of adjusted EBITDA. Efforts to reduce additions to property, plant and equipment should further reduce the percentage of additions to property, plant and equipment versus revenues.

In 2004 first steps will be taken towards the migration of existing networks into an All-IP network. The available alternatives will be evaluated as part of a comprehensive strategic analysis to identify the best option with respect to cash flow.

Wireless

Quick Info

- Revenues and profitability improve in all countries
- Number of customers rises by 6.4%
- Stake in VIPnet increases from 71% to 99%
- UMTS pioneer in Europe with commercial start in Austria during April 2003
- Cooperation with Vodafone provides first synergy effects

The wireless segment encompasses the mobile communications activities of Telekom Austria. The group is represented by mobilkom austria in Austria, VIPnet in Croatia, Si.mobil in Slovenia and mobilkom [liechtenstein] in Liechtenstein.

Prior to the repurchase of the minority stake by Telekom Austria on June 28, 2002, mobilkom austria was included in the annual financial statements of Telekom Austria under the equity method of accounting because of certain participating rights held by the minority shareholder, Telecom Italia Mobile SpA (TIM). Therefore the consolidated statement of operations for Telekom Austria for 2002 reflects the results of operations of mobilkom austria through June 28, 2002 at-equity in earnings, with full consolidation for the period from June 28 to December 31, 2002. This annual report bases its discussion of the business development on total managed data of Telekom Austria, which includes the wireless segment at 100% for the full year 2002. Beginning with 2003, total managed and total consolidated figures are identical.

Key Data (financial data in EUR million)	2003	2002	Change in %
Revenues	2,030.2	1,909.4	6.3
Revenues excluding third party value-added service revenues*	2,009.9	1.884.1	6.7
Adjusted EBITDA**	727.1	649.5	11.9
Adjusted EBITDA margin (in %)*	36.2	34.5	
Operating income	401.4	380.7	5.4
Additions to property, plant and equipment	294.6	321.7	-8.4
Employees***	3,656	3,592	1.8

* For comparative purposes, data from prior periods was also adjusted to reflect the change in the accounting of value-added services in Q4 2003. Operating revenues excluding revenues from third party value-added services form the basis for the adjusted EBITDA margin.
** Costs for net losses from retirement of long-lived assets, which were not included in adjusted EBITDA and operating income until the end of 2002, are shown as part of operating expenses for all comparable periods. Please refer to the glossary for the exact definition of adjusted EBITDA.
*** Full-time employees at year-end

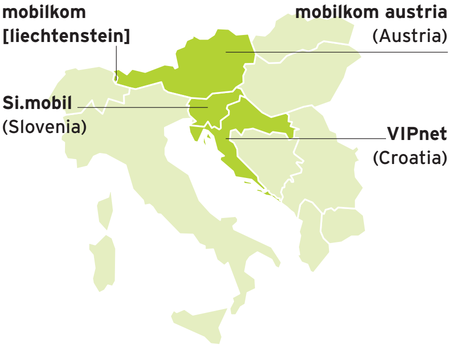
Revenues (in EUR million)	2003	2002	Change in %
Traffic revenues	1,077.1	976.0	10.4
Monthly rentals	297.7	283.5	5.0
Equipment	176.3	175.2	0.6
Roaming	153.8	155.9	-1.3
Interconnection	303.2	275.2	10.2
Other	18.1	27.7	-34.7
Discounts	-16.3	-9.4	-73.4
Total wireless revenues excluding third party value-added service revenues	**2,009.9**	**1,884.1**	**6.7**
Impact from the change in accounting for third party value-added service revenues	20.3	25.3	
Total wireless revenues	**2,030.2**	**1,909.4**	**6.3**

Clearly Improvement of Results Across all Regions

All mobile communications companies in the Telekom Austria Group were able to record significant growth in revenues and EBITDA for the 2003 business year. Total revenues for the wireless segment rose by 6.3% to EUR 2,030.2 million in 2003. Following the adjustments of prior year figures to reflect a change in the accounting of third party value-added services in the fourth quarter of 2003, revenues increased by 6.7% to EUR 2,009.9 million. Adjusted EBITDA rose by 11.9% to EUR 727.1 million and EBIT by 5.4% to EUR 401.4 million. The adjusted EBITDA margin increased by 1.7 percentage points to 36.2% during the reporting year.

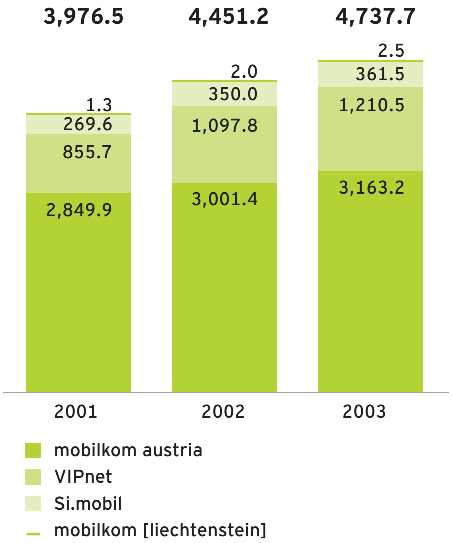
Both operating revenues and expenses are adjusted to reflect the change in the accounting for third party value-added services, also for the prior periods. Therefore, this data is shown on a comparable basis.

Wireless Activities
mobilkom austria group

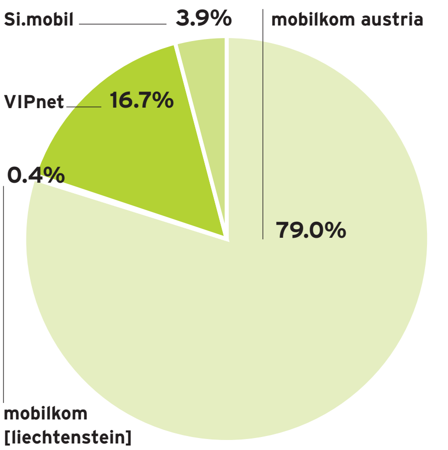


Further revenue growth was supported by a 6.4% rise in subscriber numbers, higher average charged minutes of use per customer, and an increase in charged SMS. In a year-on-year comparison traffic revenues increased by 10.4%, revenues from monthly rentals rose by 5.0% and interconnection revenues grew by 10.2%. In roaming, stronger competition led to price reductions of approximately 9%. At the same time, charged minutes of use rose by 5.3% due to a higher share of visitor roaming traffic resulting from the Vodafone cooperation and improved capture rate in mobile communications networks. Thus, roaming revenues declined by only 1.3%.

Customer Development
by Mobile Communications Company
(in '000s)



Operating Revenues (Consolidated)
by mobile communications company in %



Personnel expenses grew by 5.8% to EUR 167.8 million following a 1.8% rise in headcount to 3,656 persons and a slight increase in the average cost per employee. This still represents a proportionally low value if compared with the 6.7% growth in revenues. Depreciation and amortization charges increased by 21.1%, in part due to the start of amortization of the costs for the UMTS license and the depreciation of UMTS network equipment following the 3G commercial launch in 2003, as well as the acquisition of the 25% stake in mobilkom austria in June 2002. Higher interconnection expenses reflect both an increase in subscriber numbers and above-average growth in call volume in other mobile communications networks. Successful cost reductions led to a decline of 6.1% in other operating expenses.

Operating expenses (in EUR million)	**2003**	**2002**	**Change in %**
Materials	254.7	252.3	1.0
Employee costs*	167.8	158.6	5.8
Depreciation and amortization	325.6	268.8	21.1
Interconnection	203.7	167.3	21.8
Maintenance and repairs	62.0	59.3	4.6
Services received	250.9	231.2	8.5
Other operating expenses	343.8	365.9	-6.0
Total wireless operating expenses excluding third party value-added service expenses	**1,608.5**	**1,503.4**	**7.0**
Impact from the change in accounting for third party value-added service expenses	20.3	25.3	
Total wireless operating expenses	**1,628.8**	**1,528.7**	**6.5**

* Including benefits and taxes

Additions to Property, Plant and Equipment

In the wireless segment, additions to property, plant and equipment fell by 8.4% to EUR 294.6 million in 2003. Excluding the non-cash impact of the adoption of SFAS 143 "Accounting for Asset Retirement Obligation", capital expenditures declined by 9.7% to EUR 290.6 million. The optimal deployment of existing capacities allowed Si.mobil in Slovenia and mobilkom austria in Austria to reduce additions to property, plant and equipment for 2003. At VIPnet investment was held constant at the prior year level and focused on further network development .

A total of EUR 36.5 million was invested to equip the Austrian UMTS network during the reporting year. The successful integration of second and third generation networks led to the optimization of costs. At year-end 2003 mobilkom austria's UMTS network reached a 50% coverage of the Austrian population.

Market Share mobilkom austria

43.3%

mobilkom austria

In spite of an extremely competitive market environment, mobilkom austria was able to increase revenues by 5.1% to EUR 1,617.2 million for the reporting year. Following the adjustments of prior year figures to allow better comparability and reflect a change in the accounting for value-added services during the fourth quarter of 2003, growth totaled 5.6% to EUR 1,598.7 million. This favorable development was supported by higher average charged minutes of use per customer and a consequent 3.1% improvement in average monthly revenues per customer to EUR 36.9. Adjusted EBITDA rose by 7.7% to EUR 576.6 million, and adjusted EBITDA margin improved by 0.7 percentage points to 36.1% in 2003 compared to the prior year. The slight 0.4% increase in operating income to EUR 340.7 million was due to higher depreciation and amortization charges, partly as a result of the start of amortization of the UMTS license and depreciation of UMTS network equipment as well as the acquisition of the 25% stake in mobilkom austria in June 2002.

During the reporting year a fifth network provider and a further service provider entered the Austrian mobile communications market, which currently ranks among the most competitive in Europe. mobilkom austria was able to defend its undisputed leading position, in spite of a decline in market share from 44.4% to 43.3%. The mobile penetration rate in Austria reached 89.7% at the end of December 2003.

In 2003 mobilkom austria was able to increase subscriber numbers by 5.4% to nearly 3.2 million, with the number of contract customers rising by 0.7 percent points to 53.2%. Targeted customer retention activities aimed at extending contract duration led to a decline in the churn rate, which measures customer defection to other network providers, from 19.5% to 16.1%. Customer retention costs rose by 20.4% to EUR 58.6 million, primarily as a result of higher handset subsidies. At the same time, increased hardware subsidies related to the introduction of more sophisticated mobile phones such as MMS handsets led to a 7.6% rise in acquisition costs to EUR 70.6 million.

mobilkom austria countered the growing price war by maintaining its focus on innovation and quality in 2003. A wide range of marketing activities to support the A1 brand helped safeguard customer trust and protect the company's market share. Residential customers were won over with attractive, limited offers. The company defended its high two-thirds market share of business customers through innovative office solutions (mobile PABX – public automatic telephone switching system, e-mail processing, access to corporate networks, etc.). The commercial launch of UMTS in April 2003 formed the basis for a broader product portfolio in the area of mobile data services.

In 2003 the regulatory authority reduced mobilkom austria's interconnection fees by a total of 3.5% in several steps. The largest competitor was forced to lower its fees by roughly 4.5%, which leads to expectations that the prices for interconnection services will converge over the mid-term. The Telefonica subsidiary 3G Mobile, which purchased one of the Austrian UMTS licenses in 2000, was acquired by mobilkom austria in December 2003 with the approval of the regulatory authority under the condition that 5 MHz of the related frequency spectrum be sold no later than January 2005.

mobilkom austria

(Financial data in EUR million)	**2003**	**2002**	**Change in %**
Revenues	1,617.2	1,538.3	5.1
Revenues excluding third party value-added service revenues	1,598.7	1,513.7	5.6
Adjusted EBITDA*	576.6	535.3	7.7
Operating income	340.7	339.3	0.4
Mobile penetration in Austria (in%)	89.7	83.1	
Market share (in%)	43.3	44.4	
Customers (in '000s)	3,163.2	3,001.4	5.4
Share of contract customers (in%)	53.2	52.5	
Revenues per customer (ARPU)	36.9	35.8	3.1

* See glossary

Market Share VIPnet


50.0%

Market Share Si.mobil


23.6%

VIPnet

mobilkom austria increased its stake in the Croatian mobile subsidiary VIPnet by 9% to 80% in January, and by a further 19% to the current level of 99% in June 2003. Vecernji list, one of the largest newspaper publishers in Croatia, holds 1%. With a penetration rate of 55.0%, the Croatian market still shows potential for growth. VIPnet is one of the most successful companies in the industry and has a market share of 50.0% in Croatia.

Revenues reported by VIPnet increased by 12.5% to EUR 341.3 million in 2003. In a year-on-year comparison, adjusted EBITDA rose by 22.5% to EUR 139.2 million and operating income by 19.7% to EUR 66.6 million. The number of customers grew by 10.3% to over 1.2 million. Croatia is a traditional prepaid market, and the share of VIPnet's contract customers totaled 15.4% in 2003. The expansion of the customer base to include low-revenue segments led to a slight decline of 2.0% in monthly average revenues per customer to EUR 19.6.

Based on its partnership with Vodafone, VIPnet was able to ideally benefit from the successful development of tourism in Croatia during 2003. Visitor roaming revenues showed further growth over the high level of previous periods in spite of a 2% price reduction, and accounted for more than 12% of total revenues in 2003. The SMS business ranks high in international comparison with 73 monthly SMS per customer. A success factor in this area is VIPparking, a product that allows drivers to pay parking vouchers via SMS in 13 Croatian cities. VIPparking recorded an increase of nearly 100% to 2.1 million transactions for the reporting year.

Si.mobil

At the end of 2003 mobilkom austria continued to hold a stake of 75% plus 1 share in Si.mobil. In 2002 a contract was signed with the other six local stockholders for the acquisition of the remaining shares in July 2007.

The continuous improvement of network quality and a successful brand relaunch helped Si.mobil increase revenues by 3.3% to EUR 81.8 million for 2003. In addition, cost cutting measures supported growth in adjusted EBITDA to EUR 13.1 million (2002: EUR 1.8 million). Operating income improved from EUR (12.4) million to EUR (3.6) million.

With a penetration rate of 76.5%, Si.mobil is the second-largest mobile communications provider in Slovenia with a market share of 23.6%. At year-end 2003 the company had roughly 361,500 customers (+ 3.3%). The introduction of new, more attractive tariffs, the reduction of interconnection fees and the weaker development of the Slovenian currency led to a decline of 2.2% in average monthly revenues per customer to EUR 15.1.

In 2003 Si.mobil became the first mobile communications provider in Slovenia to offer GPRS products to its prepaid customers. In addition, Si.mobil launched one of the first EDGE networks (Enhanced

VIPnet

(Financial data in EUR million)	2003	2002	Change in %
Revenues	341.3	303.5	12.5
Adjusted EBITDA*	139.2	113.7	22.5
Operating income	66.6	55.7	19.7
Mobile penetration in Croatia (in %)	55.0	51.9	
Market share (in %)	50.0	48.2	
Customers (in '000s)	1,210.5	1,097.8	10.3
Share of contract customers (in %)	15.4	16.0	
Revenues per customer (ARPU)	19.6	20.0	-2.0

* See glossary

Si.mobil

(Financial data in EUR million)	2003	2002	Change in %
Revenues	81.8	79.2	3.3
Adjusted EBITDA*	13.1	1.8	-
Operating income	-3.6	-12.4	71.2
Mobile penetration in Slovenia (in %)	76.5	74.7	
Market share (in %)	23.6	23.4	
Customers (in '000s)	361.5	350.0	3.3
Share of contract customers (in %)	43.5	44.1	
Revenues per customers (ARPU)	15.1	15.5	-2.2

* See glossary

Market Share mobilkom [liechtenstein]

10.3%

Partnership with Vodafone

At the beginning of 2003 mobilkom austria and its subsidiaries VIPnet and Si.mobil signed a partnership agreement with Vodafone, the world's largest mobile communications provider. The primary objective of this partnership is intensive cooperation, especially in the areas of roaming, purchasing and product development as well as marketing and sales.

Vodafone holds investments in 26 countries, has partner networks in eleven other countries and a proportional customer base of more than 130 million. Joint development projects in 2003 focused on the implementation of roaming products, the harmonization of standards for future product development, and the optimization of combined procurement. Implemented projects include Vodafone Eurocall, expansion of GPRS and prepaid roaming coverage, short code access to message boxes as well as recharging prepaid accounts in foreign countries.

Data Service for GSM Evolution) in Europe, to promote the use of existing and future data applications.

Despite first signs of market saturation, the Slovenian regulatory authority took no steps to promote competition during the past year. However, shortly before year-end 2003 Si.mobil was able to conclude an agreement with the market leader over asymmetric interconnection tariffs, which calls for higher fees for Si.mobil. The accession of Slovenia to the EU in May 2004 is expected to bring a change in local regulatory policies.

mobilkom [liechtenstein]

mobilkom [liechtenstein] was able to more than double revenues to EUR 10.7 million in 2003, above all through an increase in value-added services. Adjusted EBITDA rose to EUR 1.0 million from EUR (0.04) million in the prior year, and operating income was positive for the first time at EUR 0.5 million. With a penetration rate of 76.3%, mobilkom [liechtenstein] was able to increase the number of customers from approximately 2,000 to 2,500. The company has a market share of roughly 10% and is the second-largest local mobile communications provider. In comparison to all other mobile communications companies of the Telekom Austria Group, mobilkom [liechtenstein] showed outstanding performance with unusually high monthly average revenues per customer of EUR 82.4.

Mobile Data Communications

mobilkom austria has created a solid basis for the successful development of growth opportunities in the data communications sector based on state-of-the-art technologies. While the focus in the residential customer segment is on messaging, m-commerce and entertainment applications, the business customer segment concentrates on mobile office solutions.

The data share of traffic-related revenues in the wireless segment rose by 1.5 percentage points to 13.9% for the reporting year. In Austria this figure increased from 10.2% in the prior year to 11.4% for 2003, primarily due to a rise in charged SMS and higher use of multimedia messaging services (MMS). The introduction of innovative data services such as the payment of car parking vouchers by mobile telephone (m-parking) or mobile solutions for corporate customers (A1 MOBILE OFFICE) also supported this positive development.

In 2003 mobilkom austria successfully introduced m-parking in several cities, including Vienna, where 35,000 customers had used this service by the end of the year. A1 SMS TICKET was used by more than 90,000 customers to purchase tickets for events during the reporting year. In the entertainment area, A1 GAMEZONE as well as special features to customize mobile phones (bell tones and picture SMS) enjoyed growing popularity. The number of GPRS users increased in all markets of the wireless segment: in Austria their number quadrupled in 2003 to nearly 840,000.

mobilkom [liechtenstein]

(Financial data in EUR million)	2003	2002	Change in %
Revenues	10.7	5.0	113.6
Revenues excluding third party value-added service revenues	8.9	4.3	107.0
Adjusted EBITDA*	1.0	0.0	-
Operating income	0.5	-0.6	-
Mobile penetration in Liechtenstein (in %)	76.3	70.7	
Market share (in %)	10.3	8.9	
Customers (in '000s)	2.5	2.0	24.5
Share of contract customers (in %)	100	100	
Revenues per customer (ARPU)	82.4	84.6	-2.6

* See glossary

In April 2003 mobilkom austria became the first European incumbent operator to offer commercial UMTS services. Following the successful partial expansion of the network, which was concentrated mainly on highly populated areas, UMTS coverage reached roughly 50% by year-end. Through the early network rollout mobilkom austria was not only able to gather valuable information and experiences with this new technology, but also secure strategically important locations. Although an attractive product portfolio of news, weather reports and traffic information services has been developed, active marketing will only start when the availability of well-functioning handsets has reached a satisfactory level.

In May 2003 VIPnet conducted the first UMTS test call in Croatia. The auction for awarding the Croatian UMTS license is expected for the second quarter of 2004 and the commercial launch no sooner than 2005. Si.mobil completed the technical launch of the EDGE network in December 2003 and thereby became the first provider in Slovenia to offer high-speed mobile data communications. With an investment of EUR 3.5 million in this technology, which was selected due to the irrationally high price of UMTS licenses, Si.mobil has assumed a pioneering role.

Outlook Wireless

The competitive situation on the Austrian mobile communications market intensified at the start of 2004 and resulted in the introduction of even lower tariffs. Moreover, the introduction of mobile number portability is expected to take place during the fourth quarter of the year. The increasing use of mobile communications by an equivalent number of subscribers and higher revenues from mobile data communications should offset pressure on prices and allow the stable development of revenues and adjusted EBITDA for mobilkom austria.

VIPnet in Croatia will again profit from increasing penetration in 2004, but the high growth rates seen in recent years are expected to slow significantly. The auction of new licenses could lead to the entry of a third provider in Croatia. If conditions are acceptable, VIPnet plans to acquire a UMTS license and enter the fixed line business. Si.mobil should benefit from the improvement in general conditions that will accompany the accession of Slovenia to the EU in May 2004.

For the wireless segment this means further improvement in revenues and adjusted EBITDA, although at lower rates compared to the past years. After a substantial decline in 2003, additions to property, plant and equipment are expected to stabilize during 2004. Telekom Austria is evaluating further expansion steps to take advantage of value-enhancing growth opportunities.

Value Driver Note No. 10

Our innovation leadership in the wireless segment is underscored not only by a product line that has convinced nearly 2/3 of all Austrian business customers, but also by the outstanding quality of the network. With the first UMTS launch in Austria – one of the first in the world – mobilkom austria was able to further expand its technology advantage.

50%

UMTS coverage

At year-end 2003 mobilkom austria was able to provide one-half of all Austrian households with UMTS.

Consolidated Financial Statements 2003

according to U.S. GAAP

Note: Following the acquisition of the remaining interest in mobilkom austria on June 28, 2002, Telekom Austria has consolidated the balance sheet of mobilkom austria for the first time as of June 28, 2002. The consolidated statement of operations for 2002 reflects Telekom Austria's equity in earnings of mobilkom austria through June 28, 2002 and consolidates mobilkom austria's results of operations for the period from June 28, 2002 to December 31, 2002. For ease of comparison the total managed data of Telekom Austria reported in the group management report on page 33ff include the wireless segment at 100% for all periods presented.

TELEKOM AUSTRIA AG
Consolidated Balance Sheets

(in EUR '000s)

	Notes No	December 31, 2003	December 31, 2002
ASSETS			
Current assets			
Cash and cash equivalents		201,926	27,337
Short-term investments		6,867	5,327
Accounts receivable – trade, net of allowances of EUR 92,238 and EUR 74,945 as of December 31, 2003 and December 31, 2002	(5)	559,872	451,934
Receivables due from related parties	(6)	1,549	6,723
Inventories	(7)	83,535	91,261
Deferred tax assets	(18)	45,633	4,657
Prepaid expenses		91,177	81,935
Taxes receivable		9,739	22,829
Assets held for sale		5,560	30,512
Other current assets		118,963	142,743
Total Current Assets		**1,124,821**	**865,258**
Property, plant and equipment, net	(9)	4,457,666	5,000,659
Goodwill	(8)	597,577	590,727
Other intangible assets, net	(8)	711,988	725,893
Investments in affiliates	(3)	3,555	8,642
Other investments		143,630	162,682
Deferred tax assets	(18)	94,349	193,414
Other assets		762,679	987,063
TOTAL ASSETS		**7,896,265**	**8,534,338**
LIABILITIES AND STOCKHOLDERS' EQUITY			
Current liabilities			
Short-term borrowings	(10)	631,321	1,309,905
Accounts payable – trade		589,368	649,890
Accrued liabilities	(11)	231,778	256,790
Payables to related parties		23,657	37,198
Deferred income	(12)	150,378	129,963
Income taxes payable		7,650	6,077
Other current liabilities		155,563	141,210
Total Current Liabilities		**1,789,715**	**2,531,033**
Long-term debt, net of current portion	(14)	2,342,288	2,079,885
Lease obligations, net of current portion	(15)	861,300	1,076,354
Employee benefit obligations	(16)	155,960	232,529
Other liabilities and deferred income		107,629	104,997
Stockholders' Equity			
Common stock, issued and outstanding shares 500,000,000 with zero par value		1,090,500	1,090,500
Additional paid in capital		453,371	452,498
Retained earnings		1,103,867	969,626
Accumulated other comprehensive loss		(8,365)	(3,084)
Total Stockholders' Equity	(20)	**2,639,373**	**2,509,540**
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY		**7,896,265**	**8,534,338**

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG
Consolidated Statements of Operations

(in EUR '000s, except share information)

Twelve months ended December 31,	**Notes No**	**2003**	**2002**	**2001**
Operating revenues (a)	(21)	3,969,750	3,118,064	2,659,660
Operating expenses (b)				
Materials		(297,084)	(196,434)	(71,908)
Employee costs, including benefits and taxes		(699,348)	(600,718)	(619,080)
Depreciation and amortization		(1,133,148)	(1,016,312)	(904,075)
Impairment charges	(9)	(6,825)	(41,871)	(145,126)
Other operating expenses	(22)	(1,463,521)	(1,205,354)	(1,153,930)
Operating income (loss)		**369,824**	**57,375**	**(234,459)**
Other income (expense)				
Interest income (c)		75,167	88,191	82,683
Interest expense (d)		(230,979)	(244,628)	(240,986)
Equity in earnings of affiliates		19,112	140,543	195,450
Other, net	(23)	(567)	2,330	(2,756)
Income (loss) before income taxes, minority interests and cumulative effect of change in accounting principle		**232,557**	**43,811**	**(200,068)**
Income tax (expense) benefit	(18)	(83,036)	(26,112)	94,913
Minority interests		(3,422)	(4,910)	530
Income (loss) before cumulative effect of change in accounting principle		**146,099**	**12,789**	**(104,625)**
Cumulative effect of change in accounting principle, net of tax of EUR 6,071	(13)	(11,858)	-	-
Net income (loss)		**134,241**	**12,789**	**(104,625)**
Basic and fully diluted earnings per share		0.27	0.03	(0.21)
Basic and fully diluted earnings per share excluding cumulative effect of change in accounting principle		0.29	0.03	(0.21)
a) includes revenues from related parties of		89,506	147,990	293,459
b) includes operating expenses from related parties of		128,694	192,153	314,769
c) includes interest income from related parties of		1	4,992	17,619
d) includes interest expense from related parties of		30	938	749

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG
Consolidated Statements of Cash Flows

(in EUR '000s)

Twelve months ended December 31,	**Notes No**	**2003**	**2002**	**2001**
Cash generated from operations				
Net income		134,241	12,789	(104,625)
Adjustments to reconcile net income to cash generated from operations				
Depreciation, amortization and impairment charges		1,139,973	1,058,183	1,049,201
Write-offs from investments		2,840	-	-
Employee benefit obligation - non cash		307	(49,840)	3,145
Allowance for doubtful accounts	(5)	30,629	39,184	14,818
Change in deferred taxes		59,241	33,498	(94,969)
Equity in earnings of affiliates less than (in excess of) dividends received		1,027	(45,801)	(80,731)
Asset retirement obligation - accretion expense		1,336	-	-
Cumulative effect of change in accounting principle, net of tax	(13)	11,858	-	-
(Gain) Loss on sale of investments		(17,903)	195	-
Loss on disposal / retirement of equipment		41,571	17,280	38,922
Other		(660)	-	-
		1,270,219	**1,052,699**	**930,386**
Changes in assets and liabilities, net of effect of business acquired				
Accounts receivable - trade		(140,331)	175,522	24,401
Due from related parties		5,813	3,759	69,050
Inventories		5,765	6,052	19,030
Prepaid expenses and other assets		71,506	(9,020)	(56,442)
Accounts payable - trade		(58,944)	10,979	(85,734)
Employee benefit obligation		(76,649)	(102,565)	(73,592)
Accrued liabilities		(23,487)	3,881	(54,414)
Due to related parties		(13,358)	17,088	3,830
Other liabilities and deferred income		45,100	230	170,490
		(184,585)	**105,926**	**16,619**
		1,219,875	**1,171,414**	**842,380**

Twelve months ended December 31,	Notes No	2003	2002	2001
Cash from (used in) investing activities				
Capital expenditures, including interest capitalized		(599,684)	(560,742)	(459,039)
Acquisitions and investments, net of cash acquired		(85,989)	(665,128)	(4,759)
Sale of subsidiary, net of cash		205	-	-
Proceeds from sale of equipment		17,300	49,819	12,106
Purchase of investments - short-term		(79,750)	(1,629)	(2,790)
Purchase of investments - long-term		(601)	(1,107)	-
Sale of American call options		957	2,609	-
Proceeds from sale of investments - short-term		80,108	6	8
Proceeds from sale of investments - long-term		23,599	225	1,285
		(643,855)	**(1,175,947)**	**(453,189)**
Cash from (used in) financing activities				
Principal payments on bonds		(22,765)	(72,673)	(61,845)
Proceeds from issuance of long-term debt and bonds		775,948	127,857	-
Principal payments on long-term debt		(385,330)	(406,294)	(335,159)
Changes in short-term bank borrowings		(774,644)	237,973	74,968
Changes from financing with mobilkom austria		-	114,921	(73,166)
Proceeds from sale of tax benefits		-	-	14,547
		(406,791)	**1,784**	**(380,655)**
Effect of exchange rate changes		**5,360**	**3,693**	**142**
Net increase in cash and cash equivalents		**174,589**	**944**	**8,678**
Cash and cash equivalents at beginning of period		27,337	26,393	17,715
Cash and cash equivalents at end of period		201,926	27,337	26,393

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG
Consolidated Statements of Changes in Stockholders' Equity

(in EUR '000s)

	COMMON STOCK						
	Number of shares	Par value	Additional paid in capital	Retained earnings	Accumulated other comprehensive income (loss)	Total stockholders' equity
Balance January 1, 2001	**500,000,000**	**1,090,500**	**451,677**	**1,061,462**	**(27)**	**2,603,612**
Comprehensive income						
Net loss				(104,625)		(104,625)
Net unrealized loss on securities, net of EUR 83 deferred income tax					(162)	(162)
Foreign currency translation adjustment					14,630	14,630
Cumulative effect of accounting change, net of EUR 5,646 deferred income tax					(10,959)	(10,959)
Unrealized net loss of hedging activities, net of EUR 954 deferred income tax					(2,102)	(2,102)
Total comprehensive loss						**(103,218)**
Balance December 31, 2001	**500,000,000**	**1,090,500**	**451,677**	**956,837**	**1,380**	**2,500,394**
Comprehensive income						
Net income				12,789		12,789
Net unrealized loss on securities, net of EUR 362 deferred income tax					(687)	(687)
Foreign currency translation adjustment					(6,496)	(6,496)
Unrealized net gain of hedging activities, net of EUR (1,386) deferred income tax					2,719	2,719
Total comprehensive income						**8,325**
Sale of call options, net of EUR (424) income tax			821			821
Balance December 31, 2002	**500,000,000**	**1,090,500**	**452,498**	**969,626**	**(3,084)**	**2,509,540**
Comprehensive income						
Net income				134,241		134,241
Net unrealized gains on securities, net of EUR (1,141) deferred income tax					2,214	2,214
Foreign currency translation adjustment					(10,690)	(10,690)
Unrealized net gain on hedging activities, net of EUR (1,646) deferred income tax					3,195	3,195
Total comprehensive income						**128,960**
Sale of call options, net of EUR (451) income tax			873			873
Balance December 31, 2003	**500,000,000**	**1,090,500**	**453,371**	**1,103,867**	**(8,365)**	**2,639,373**

see accompanying notes to consolidated financial statements

TELEKOM AUSTRIA AG
Notes to Consolidated Financial Statements (continued)

(all amounts in EUR '000s)

(1) THE COMPANY AND SIGNIFICANT ACCOUNTING POLICIES

Description of business, organization and relationship with the Federal Republic of Austria

Telekom Austria AG and subsidiaries (the "Company" or "Telekom Austria") is engaged as a full service telecommunications provider of long distance, local and wireless services, corporate data communications services as well as internet services. The Company also provides services through pay phones and supplies telephones and technical equipment for telephone communications. These activities are conducted and operated primarily in Austria.

On May 1, 1996, Post und Telekom Austria Aktiengesellschaft ("PTA") was incorporated as the successor to Post und Telegraphenverwaltung. The Poststrukturgesetz (Austrian Post Restructuring Act) provided the basis for the separation of PTA from the Federal Republic of Austria. PTA's operations included postal services, telecommunications, coach line services and other activities.

As of December 31, 1997, the postal services, coach line services and other non-telecommunications-related operations of PTA were transferred to different legal entities. The operations remaining related to the telecommunications business and were named Telekom Austria AG.

Telecom Italia owned 29.78% of Telekom Austria until their sale of 75,000,000 shares on November 4, 2002 in a private placement, thereby reducing its level of ownership to 14.78% as of December 31, 2002 and 2003, respectively (see note (27)).

The Federal Republic of Austria, through Österreichische Industrie-Holding AG ("ÖIAG"), continues to be a significant shareholder with it's holding of approximately 47.17% of the voting common stock of the Company. In July 2003, ÖIAG issued convertible notes in the nominal amount of EUR 325,000 due in 2006 exchangeable into 25 million existing underlying common shares of Telekom Austria AG. The exchange price has been set at Euro 13 for each Telekom Austria AG share. In addition to the related party transactions described in note (6), the Federal Republic of Austria authorizes and supervises the Rundfunk und Telekom Regulierungs – GmbH ("RTR"), which regulates certain activities of the Company. The government holds the taxing authority for the Austrian operations of Telekom Austria and imposes taxes such as income and value added taxes on the Company.

All of the Company's interests in mobile communications business are held through mobilkom austria AG & Co KG and mobilkom austria AG and its subsidiaries; collectively these companies are referred to as mobilkom austria.

Prior to June 28, 2002, the Company held a 74.999% interest in mobilkom austria. Due to certain substantive participating rights held by the minority shareholder, the Company's investment in mobilkom austria was accounted for under the equity method. These participation rights included significant blocking rights over operating decisions including operating budgets, capital spending, senior management positions, strategy and dividend distributions.

On June 28, 2002, the Company acquired the remaining 25.001% equity interest in mobilkom austria, thereby bringing its total interest in mobilkom austria to 100%. Consequently, the Company has consolidated mobilkom austria effective June 28, 2002. The consolidated statement of operations for the year ending December 31, 2002 reflects the Company's equity in earnings of mobilkom austria through June 28, 2002 and mobilkom austria's results of operations for the period June 28, 2002 until December 31, 2002.

Basis of presentation

The consolidated financial statements of Telekom Austria have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP").

The Company has reclassified certain amounts in prior year financial statements to conform to the current year presentation.

In December 2001, the RTR enacted a regulation that revised the manner in which phone calls that are both i) initiated and terminated within Austria and ii) require interconnection between multiple networks, are controlled. Historically, the Company served as a central hub through which all such calls were interconnected based on agreements in place between the Company and Austrian alternative service providers or mobile phone operators. Accordingly, the Company would recognize revenue and a trade receivable on the interconnection fee charged to the provider on whose network the call was initiated and recognize expense and a trade payable to the provider on whose network the call was terminated. As a result of the new regulation, the Company is no longer a party to such transactions unless the call either originates or terminates on its network. Had the new regulation been in place during 2001, revenues and expenses in the accompanying consolidated statements of operations would have been lower by EUR 257,243, all of which relates to the wireline segment.

In September 2003, the Austrian Supreme Court ruled that no contractual relationship exists between value-added service providers (VASP) and the Company, with the contractual relationship being established directly between the VASP and the customers. The Company is no longer considered the primary obligor and ceased reporting revenues on a gross basis beginning on October 1, 2003. Had the ruling been in effect for all of 2003, 2002 and 2001, revenues and expenses in the accompanying consolidated statements of operations would have been lower by EUR 45,886, EUR 51,206 and EUR 41,386, respectively. Had the enacted regulation been in place during 2001 and the VASP ruling been in effect for all of 2003, 2002 and 2001 revenues and expenses would have been adjusted as follows:

Year ended December 31,	**2003**	**2003**	**2002**	**2002**	**2001**	**2001**
	pro-forma	**as reported**	**pro-forma**	**as reported**	**pro-forma**	**as reported**
Revenues	3,923,864	3,969,750	3,066,858	3,118,064	2,361,031	2,659,660
Operating expenses	(3,554,040)	(3,599,926)	(3,009,483)	(3,060,689)	(2,595,490)	(2,894,119)
Operating income	**369,824**	**369,824**	**57,375**	**57,375**	**(234,459)**	**(234,459)**

Principles of consolidation

The consolidated financial statements include the accounts of Telekom Austria AG and all subsidiaries. All significant intercompany transactions and balances have been eliminated in consolidation.

Investments in companies in which the Company has significant influence, but less than a controlling financial interest, are accounted for using the equity method. Under the equity method, only the Company's investments in and net amounts due to and due from the equity investee are included in the consolidated balance sheet. The Company's share of the investee's earnings is included in the consolidated operating results and only dividends, cash distributions, loans or other cash received from or paid to the investee are included in consolidated cash flows.

Cash and cash equivalents

The Company considers cash in banks and highly liquid investments with original maturities of three months or less to be cash and cash equivalents. Money market deposits with original maturities of more than three months are classified as short-term investments along with marketable securities.

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Marketable securities

Marketable debt and equity securities, other than investments accounted for by the equity method, are classified as either available-for-sale or held-to-maturity. Securities classified as available-for-sale are reported at fair value at the balance sheet date and held-to-maturity securities are reported at amortized cost. Unrealized gains and losses on available-for-sale securities are included in accumulated other comprehensive income, net of applicable deferred tax.

Inventories

Inventories consist of merchandise sold in retail shops and material and spare parts used for the construction of networks, mainly for the Company's own use. Inventories are valued at the lower of cost or market, cost being determined on the basis of weighted average cost.

Property, plant and equipment

Property, plant and equipment are stated at cost, which includes certain costs that are capitalized during the installation and expansion of the telecommunications network including material, payroll, direct overhead and interest costs as well as the present value of estimated asset retirement obligations. Value added tax ("VAT"), which is charged by suppliers and refunded by the tax authorities, is not included in cost. Plant and equipment under capital leases are stated at the lower of present value of minimum lease payments or fair value.

Depreciation on plant and equipment is calculated using the straight-line method and the estimated useful lives of the assets. Plant and equipment under capital lease and leasehold improvements are amortized using the straight-line method over the lease term or the estimated useful life of the asset, whichever is shorter.

The useful lives are:

	Years
Transmission equipment	3 – 20
Cables and wires	10 – 20
Communications equipment	4 – 10
Software	3 – 8
Furniture, fixtures and other	3 – 8
Buildings and leasehold improvements	10 – 50

Maintenance and repairs are expensed as incurred while replacements and improvements are capitalized. The cost and accumulated depreciation of assets sold or retired are removed from the accounts, and any resulting gain or loss is reflected in other operating expenses.

Goodwill and other intangible assets

Goodwill and other intangible assets with indefinite useful lives are not amortized, but are tested for impairment in accordance with SFAS No. 142 at least annually, but also on an interim basis if an event or circumstance indicates that an asset may be impaired. Other intangible assets with estimable useful lives are amortized over their respective useful lives to their estimated residual values and reviewed for impairment in accordance with SFAS No. 144, "Accounting for the Impairment or Disposal of Long-Lived Asset".

The goodwill impairment test is a two-step evaluation. The first step requires the Company to compare the fair value and carrying value of any reporting unit to which goodwill has been allocated. If the fair value of the reporting unit is less than its carrying value, an indication of goodwill impairment exists and the second step of the impairment test must be performed. In the second step, the implied fair value of goodwill, determined by allocating the aggregate fair value of the reporting unit to all identifiable tangible and intangible assets, is compared to its carrying amount. Any shortfall in fair value compared to carrying value is recognized as an impairment loss.

In each reporting period, the Company is required to reevaluate its decision that an Other intangible asset has an indefinite useful life. If a nonamortizable intangible asset is subsequently determined to have a finite useful life, the intangible asset is written down to the lower of its fair value or carrying amount and amortized prospectively based on its remaining useful life. The impairment test is a comparison of the fair value of the intangible asset with its carrying value. Any excess of carrying value over fair value is recognized as an impairment loss.

Amortizable intangible assets are stated at cost and are amortized using the straight-line method over their estimated useful lives, as shown below:

The useful lives are:

	Years
Wireless and wireline licenses	10 – 15
Patents and proprietary rights	4 – 20
Subscriber base	6
Other	10 – 30

Impairment of long-lived assets and long-lived assets to be disposed of

Long-lived assets and certain identifiable intangible assets are reviewed for impairment annually at each year-end and whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Recoverability of assets to be held and used is measured by a comparison of the carrying amount of an asset to undiscounted future net cash flows expected to be generated by the asset. If such assets are considered to be impaired, the impairment to be recognized is measured as the amount by which the carrying amount of the assets exceeds the fair value of the assets. Assets held for sale are reported at the lower of the carrying amount or estimated proceeds less cost to sell.

Internally developed software

Certain direct and indirect development costs associated with internally developed software, including direct costs of materials and services, and payroll costs for employees devoting time to the software projects, are capitalized once the project has reached the application development stage. The costs are amortized using the straight-line method over a period not exceeding four years, beginning when the asset is substantially ready for use. Costs incurred during the preliminary project stage, maintenance and training costs and research and development costs are expensed as incurred.

Advertising and promotional costs

Generally, advertising and promotional costs are expensed as incurred and totaled EUR 198,362, EUR 153,737 and EUR 75,368 for the years ended December 31, 2003, 2002 and 2001, respectively.

Research and development costs

Research and development costs are expensed as incurred and amounted to EUR 42,759, EUR 30,338 and EUR 21,817 for the years ended December 31, 2003, 2002 and 2001, respectively and are classified in the consolidated statement of operations according to the nature of the expense.

Income taxes

Income taxes are accounted for using the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amount of an existing asset or liability and its respective tax basis and operating losses and tax credit carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which these temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of changes in tax rates is recognized as income or expense in the period that includes the enactment date.

Investment tax credits are recognized as a reduction of income taxes in the period in which those credits are granted.

Deferred income taxes on investments in pass-through enterprises are provided on the excess of the financial statement carrying amount of the investment, including the goodwill within the pass-through enterprise, over the tax basis of the investment.

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Earnings per share

Basic and diluted earnings (loss) per share are computed by dividing consolidated net income (loss) by the weighted average number of common shares outstanding for the year. As the Company will not issue new shares for the stock option plan, but has purchased an American call option to satisfy the obligation, diluted earnings per share equals basic earnings per share, and there were no potentially dilutive securities for any of the periods presented.

Asset retirement obligation

The Company accounts for obligations associated with the retirement of tangible long-lived assets and the associated asset retirement costs in accordance with SFAS No. 143, "Accounting for Asset Retirement Obligations". The Company records the fair value of an asset retirement obligation as a liability in the period in which the legal obligation associated with the retirement of a tangible long-lived asset is incurred. An amount equal to the initial obligation is recorded as an increase to the carrying amount of the related long-lived asset and depreciated over the remaining useful life of the asset. The liability is adjusted at the end of each period to reflect the passage of time and changes in the estimated future cash flows underlying the initial fair value measurement.

Employee benefit obligations

The Company provides retirement benefits under defined contribution and defined benefit plans.

In the case of defined contribution plans the Company pays contributions to publicly or privately administered pension insurance plans on a mandatory or contractual basis. Once the contributions have been paid, the Company has no further payment obligations. The regular contributions constitute net periodic costs for the year in which they are due.

All other retirement benefit plans are unfunded defined benefit plans for which the Company records accruals. The pension provisions are calculated using the projected unit credit method in accordance with SFAS No. 87. The future benefit obligations are valued using actuarial methods on the basis of an appropriate assessment of the discount rate, rate of compensation increase and rate of increase of pensions.

Concentration of risks

A portion of the Company's revenue is derived from services provided to other companies in the telecommunications industry, mainly to alternative telecommunications and cellular companies and internet online services. As a result, the Company has some concentration of credit risk in its customer base. The Company performs ongoing credit evaluations of its large customers' financial condition to support its receivables. As of the balance sheet dates, the Company does not have any significant concentrations of business transacted with a particular supplier or lender that could, if suddenly eliminated, severely impact operations. The Company also does not have a concentration of available sources of labor, services, franchises, or licenses or other rights that could, if suddenly eliminated, severely impact operations. The Company invests its cash with several high-quality credit institutions.

Foreign currency translation

Until December 31, 2001, the Company prepared its consolidated financial statements in Austrian Schilling and then translated them into Euro using the official fixed exchange rate of 13.7603. Since January 1, 2002 the Company has adopted the Euro as its functional currency.

Foreign currency receivables and liabilities are recognized at the exchange rate applicable on the transaction date and retranslated periodically at the then ruling balance sheet rate. Unrealized foreign exchange losses and gains due to exchange rate fluctuations are recognized in the statement of operations.

The functional currency for the Company's foreign operations is the applicable local currency. Assets and liabilities are translated using the current exchange rate in effect at the balance sheet date. Revenues and expenses are translated using the weighted average exchange rate during the period. Resulting translation adjustments are recorded as other comprehensive income or loss.

Revenue recognition

Wireline

The Company generates revenues from fixed line services to individuals, commercial and non-commercial organizations and other national and foreign carriers. Fixed line services include access fees, domestic and long distance services, including internet, fixed to mobile calls, international traffic, voice value-added services, interconnection, call center services and public payphone services.

The Company recognizes long distance and local service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from other national and foreign carriers for incoming calls from outside the company's network are recognized in the period the call occurs.

Access fees, monthly base fees and lines leased to commercial customers are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as reductions in revenues when granted.

Product and other service revenues are recognized when the products are delivered and accepted by customers or when services are provided in accordance with contract terms.

The installation of customer lines in residences is a separate service and the Company provides this installation service in situations where it is not providing other services. Revenue on such installation work is recognized when the installation work is completed.

The Company has entered into a limited number of agreements with other telecommunication operators outside of Austria whereby the Company grants some pre-defined access to existing capacity on its physical network in return for similar access to the physical network of the counter party. The Company does not recognize revenue or an obligation to the counter party under such agreements apart from the trade revenue arising from subscriber transactions under normal tariff plans. The benefits and costs of such swap agreements will be reflected in the Company's results of operations in the periods in which they are realized through reduced interconnection obligations and revenues, respectively.

Wireless

The Company provides mobile communications services to individuals and commercial and non-commercial organizations through mobilkom austria. mobilkom austria generates revenue primarily by providing digital wireless services as well as value-added services, text and multimedia messaging, m-commerce and information services. To a lesser extent, mobilkom austria generates revenue from the sale of wireless handsets.

The Company recognizes mobile usage and roaming service revenue based upon minutes of traffic processed or contracted fee schedules when the services are rendered. Revenues due from foreign carriers for international roaming calls are included in revenues in the period in which the call occurs.

Certain prepaid usage services in the mobile communications segment are billed in advance resulting in deferred revenues. These fees are amortized over the period the service is provided. Cash discounts and incentives are accounted for as a reduction in revenues when granted. Customer acquisition costs are recognized ratably over the contract period as marketing expense when a service contract exists.

Revenue and related expenses associated with the sale of wireless handsets to distributors are recognized when the products are delivered and accepted, as such sales are separate and distinct from the sale of wireless services to customers.

Activation revenues and direct incremental expenses are generally recognized over the average expected contract term. When direct incremental expenses exceed revenues, the excess is expensed.

Other service revenues are recognized when delivered and accepted by customers and when services are provided in accordance with contract terms.

Allowance for doubtful accounts

The Company estimates the portion of its outstanding receivables that are uncollectible based on aging schedules. Based on historical experience, uncollectibility is estimated as an increasing percentage of each aging category. Additionally, the Company records an allowance for specific customers if circumstances indicate non-collectibility.

The estimated allowance for doubtful accounts relating to receivables sold under the securitizations described in note (5) are recorded as accrued liabilities.

Stock compensation

The Company accounts for stock-based employee compensation in accordance with the intrinsic value method prescribed by Accounting Principles Board Opinion No. 25, Accounting for Stock Issued to Employees. Further, the Company accounts for its combination stock option and stock appreciation right plan in accordance with the provisions of Financial Accounting Standards Board ("FASB") Interpretation No. 28, Accounting for Stock Appreciation Rights and Other Variable Stock Option or Award Plans, which requires the plan be accounted for as a stock appreciation right.

The company will recognize a liability and pro rata compensation expense in the first period in which it is probable that the target stock price criteria outlined in the plan will be met. Based on historical trends of the stock and current market conditions, no compensation expense has been recognized under the plan for any of the years presented. Application of the fair-value approach prescribed by SFAS No. 123, Accounting for Stock-Based Compensation, would not effect the amount of compensation expense recognized under this combination plan (see note (27)).

Derivative financial instruments

Effective January 1, 2001, the Company adopted SFAS No. 133, as amended, which requires all derivative instruments, such as interest rate swap contracts and foreign-currency exchange contracts, be recognized in the financial statements and measured at fair value regardless of the purpose or intent for holding them. Changes in the fair value of derivative financial instruments are recognized periodically either in income or stockholders' equity (as a component of accumulated other comprehensive income), depending on whether the derivative is being used to hedge changes in fair value or cash flows. For derivatives designated as fair value hedges, changes in fair value of the hedged item and the derivative are recognized in earnings. For derivatives designated as cash flow hedges, fair value changes of the effective portion of the hedging instruments are recognized in accumulated other comprehensive income in the balance sheet until the hedged item is recognized in earnings. The ineffective portion of the value changes are recognized in earnings immediately. SFAS No. 133 also requires that certain derivative instruments embedded in host contracts be accounted for separately as derivatives.

Upon the adoption of SFAS No. 133, the Company had cash flow hedges only and, therefore, recorded a transition loss of EUR 11,492, net of tax of EUR 5,920, related to the interest rate swap contracts and a transition gain of EUR 533, net of tax of EUR 275, related to the cross currency swap agreements, in other comprehensive income. Additionally, the adoption resulted in the recognition of a derivative instrument asset of EUR 48,359 and a derivative liability of EUR 17,412.

The Company has entered into various foreign currency forward contracts which are accounted for as free standing derivatives. These forward contracts serve as economic hedges of the Company's operating exposure to fluctuations in foreign currencies. Changes in the fair values of such forward contracts are recorded directly in income.

Fair value of financial instruments

The carrying amounts of cash, accounts receivable, accounts payable, receivables due from and payables due to related parties and accrued liabilities approximate their fair value. The fair values of securities held-to-maturity and securities available-for-sale is based on quoted market rates. The fair value of long-term debt and swap agreements is determined based on the cash flows from such financial instruments discounted at the Company's estimated current interest rate to enter into similar financial instruments.

The fair value of some investments is estimated based on quoted market prices. For other investments, mainly in unconsolidated subsidiaries and equity investments, for which there are no quoted market prices, the Company estimates the fair value to approximate the carrying value based on the audited financial statements, if available. Those investments are tested for impairment if losses are generated over an extended period or if the business environment changes materially.

Use of estimates

The preparation of financial statements in conformity with U.S. GAAP requires the use of estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from these estimates.

Changes in accounting principles

See note (13) for discussion of the Company's adoption of SFAS No. 143 as of January 1, 2003.

As discussed in "Goodwill and other intangible assets" above, the adoption of SFAS No. 142 effective January 1, 2002, changed the manner in which the Company accounts for goodwill and intangible assets acquired in business combinations. Upon adoption of SFAS No. 142, the Company ceased amortization of goodwill and did not recognize amortization on the indefinite lived intangible assets. The following table reconciles reported net income (loss), basic earnings (loss) per share and diluted earnings (loss) per share to the corresponding adjusted amounts excluding the effects of amortization recognized for goodwill in prior years:

Year ended December 31,	**2003**	**2002**	**2001**
Reported net income (loss)	134,241	12,789	(104,625)
Add back amortization			
Goodwill	-	-	50,444
Goodwill included in equity in earnings from mobilkom austria	-	-	25,362
Goodwill included in equity in earnings, others	-	-	1,639
Adjusted net income	**134,241**	**12,789**	**(27,180)**
Basic and diluted earnings (loss) per share			
Reported net income (loss)	0.29	0.03	(0.21)
Add back amortization			
Goodwill	-	-	0.10
Goodwill included in equity in earnings from mobilkom austria	-	-	0.05
Goodwill included in equity in earnings, others	-	-	-
Adjusted net income	**0.29**	**0.03**	**(0.06)**

New accounting pronouncements

In May 2003, the Emerging Issues Task Force reached consensus on EITF Issue 00-21, "Accounting for Revenue Arrangements with Multiple Deliverables", which addresses (1) how to determine whether an arrangement involving multiple deliverables contains more than one unit of accounting and (2) how arrangement consideration should be measured and allocated to the separate units of accounting in the arrangement. EITF 00-21 does not change otherwise applicable revenue recognition criteria. EITF 00-21 is effective for Telekom Austria beginning January 1, 2004. The Company does not expect EITF 00-21 to have a material impact on the Company's consolidated financial statements.

The FASB issued FIN No. 46 in January 2003, "Consolidation of Variable Interest Entities", which provides guidance regarding the consolidation of certain entities in which equity investors do not have the characteristics of controlling financial interest or do not have sufficient equity at risk for the entity to finance its activities without additional subordinated financial support from other parties. FIN No. 46 introduces the concept of variable interest entities, explains how to identify a variable interest entity, and requires that the primary beneficiary of any variable interest entity consolidates that entity. In December 2003, the FASB deliberated a partial deferral of and certain proposed modifications to FIN No. 46 to address certain implementation issues. The Board decided that all of the proposed modifications will be incorporated directly into a revised FIN No. 46, rather than into a new interpretation that amends FIN No. 46 (FIN No. 46-R or the "Revised Interpretation"). The effective dates for the Company for both FIN No. 46 and FIN No. 46-R are at the end of the first annual reporting period ending after March 15, 2004. The Company does not expect to identify or consolidate any variable interest entities.

(all amounts in EUR '000s)

In April 2003, the FASB issued SFAS No. 149, "Amendment of Statement 133 on Derivative Instruments and Hedging Activities", which amends SFAS No. 133, "Accounting for Derivative Instruments and Hedging Activities", to address (1) decisions reached by the Derivatives Implementation Group, (2) developments in other Board projects that address financial instruments, and (3) implementation issues related to the definition of a derivative. SFAS No. 149 has multiple effective date provisions depending on the nature of the amendment to SFAS No. 133. The adoption of SFAS No. 149 did not have a material impact on the Company's financial statements.

In May 2003, the FASB issued Statement of Financial Reporting Standards No. 150, Accounting for Certain Financial Instruments with Characteristics of Both Liabilities and Equity. SFAS No. 150 clarifies the accounting for certain financial instruments with characteristics of both liabilities and equity and requires that those instruments be classified as liabilities in statements of financial position. Previously, many of those financial instruments were classified as equity. SFAS No. 150 is effective for financial instruments entered into or modified after May 31, 2003 and otherwise is effective at the beginning of the first interim period beginning after June 15, 2003. On November 7, 2003, FASB Staff Position 150-3 was issued, which indefinitely deferred the effective date of SFAS No. 150 for certain mandatory redeemable non-controlling interests. As the Company does not have any of these financial instruments, the adoption of SFAS 150 did not have any impact on the Company's consolidated financial statements.

(2) BUSINESS COMBINATIONS

All acquisitions have been accounted for under the purchase method, with the excess of the purchase price over the estimated fair value of the net assets acquired accounted for as goodwill. The results of operations of the acquired businesses are included in the consolidated financial statements from the dates of the acquisition.

The Company's interests in mobile communications are held through mobilkom austria AG & Co KG and mobilkom austria AG ("mobilkom austria"), which, together with its subsidiaries, operate mobile telecommunications networks and provide ancillary services in Austria, Croatia, Slovenia and Liechtenstein. The operations include wireless internet access.

On June 28, 2002, the Company acquired 100% of "AUTEL" Beteiligungs GmbH ("Autel"), which held a 25.001% interest in mobilkom austria, from Telecom Italia Mobile SpA (the successor of STET Mobile Holding N.V.), a publicly-traded subsidiary of Telecom Italia, bringing its total interest in mobilkom austria to 100%. Consequently, the Company consolidated the balance sheet of mobilkom austria for the first time as of June 28, 2002. The aggregate purchase price was EUR 693,064 and the Company recognized goodwill in the amount of EUR 431,304, a brand name not subject to amortization of EUR 159,161 and amortizable intangible assets of EUR 229,004.

The consolidated statement of operations for the year ended December 31, 2002 reflects the Company's equity in earnings of mobilkom austria through June 28, 2002 and mobilkom austria's results of operations for the period June 28, 2002 until December 31, 2002. As a result of the acquisition, the Company gained strategic and operating control of mobile communications service providers in Austria, Croatia, Slovenia and Liechtenstein.

The following table shows pro forma consolidated results of operations for the year ended December 31, 2002, as if Autel had been acquired at the beginning of 2002.

	Pro forma December 31, 2002
Revenues	3,908,226
Net income	29,844
Basic and fully diluted earnings per share	0.06

(all amounts in EUR '000s)

The pro forma results include amortization of the intangible assets acquired, interest expense on debt assumed to finance the purchase and income taxes as well as other adjustments including amortization of fair value adjustments to long-term debt and pension benefit obligation and the reversal of deferred gain not representing a liability. The pro forma results of operations are not necessarily indicative of what actually would have occurred if the acquisition had been completed as of the beginning of the period presented, nor are they necessarily indicative of future consolidated results.

As of January 30, 2003, mobilkom austria acquired an additional 9% and as of June 23, 2003, a further 19% of VIPnet d.o.o., Zagreb, for a total purchase price of EUR 69,663 bringing its interest to 99%. mobilkom austria recognized intangible assets of EUR 34,035, including intangible assets with an indefinite life of EUR 15,728 and a goodwill totaling EUR 11,774 as a result of these two transactions.

On July 29, 2003, the Company acquired 74% of World-Direct eBusiness solutions GmbH bringing its total interest to 100%. The purchase price amounted to EUR 1,543, of which EUR 543 was already prepaid. The Company recognized goodwill totaling EUR 1,000 as a result of the transaction.

On September 23, 2003, mobilkom austria acquired 100% of paybox central eastern europe AG ("paybox cee") which held a 51.02% in paybox österreich AG for a total purchase price of EUR 795. Prior to this acquisition, mobilkom austria held the remaining 48.98% of paybox österreich AG and accounted for the investment using the equity method. Consequently, the Company consolidated the balance sheets of paybox cee and subsidiaries for the first time as of September 30, 2003. As the purchase price was less than the fair value of the net assets acquired and liabilities assumed, the Company reduced the purchase price allocated to intangible assets (licenses). Following the purchase, paybox österreich AG was merged into paybox cee as of December 17, 2003.

On December 23, 2003 mobilkom austria purchased 100% of 3G Mobile Telecommunications GmbH ("3G Mobile"). The net assets acquired consist of a UMTS license. The total purchase price was allocated to the license and therefore no goodwill was recognized. Tax assets on acquired tax loss carry forwards were not recognized as currently the use of these loss carry forwards is not considered more likely than not.

No pro forma disclosure has been presented for the effect of the acquisitions discussed in the prior four paragraphs because the Company believes that the impact on the financial statements is not material.

On November 28, 2003, the Company sold 90% of Telekom Building Systems GmbH in a management buy-out transaction for a total purchase price of EUR 537, reducing its interest to 10%.

(3) INVESTMENTS IN AFFILIATES

As of December 31, 2003, the investments in affiliates comprise a 26.00% interest in Omnimedia Werbegesellschaft mbH ("Omnimedia") and a 25.10% interest in Output Service GmbH ("OSG").

In October 2001, the Company purchased 26.00% of the common stock of Omnimedia, a marketing and advertising company for EUR 3,401. In accordance with SFAS Nos. 141 and 142, the goodwill totaling EUR 3,161 was not amortized in 2001 and 2002.

In January 2002 the Company sold a 74.90% interest in OSG, a formerly consolidated subsidiary, for EUR 26. The Company accounts for its remaining 25.10% interest in OSG using the equity method of accounting.

In July 2003 the Company sold its 26.00% interest in Herold Business Data AG, the leading telephone directory provider in Austria, to PASR Vierte Beteiligungsverwaltung GmbH for a total purchase price of EUR 22,000 and realized a gain of EUR 18,367 which is recorded in equity in earnings of affiliates.

A summary of aggregated financial information as reported by equity investees is as follows:

Year ended December 31,	**2003**	**2002**	**2001**
Revenues	35,515	68,045	67,491
Operating income	4,653	7,833	10,922
Net income	2,908	8,285	6,867

At December 31,	**2003**	**2002**
Total current assets	31,003	81,914
Total assets	31,684	92,911
Current liabilities	28,808	70,129
Long-term debt	1,357	3,846
Total liabilities	30,165	73,975
Total stockholders' equity	1,519	18,936

(4) MARKETABLE SECURITIES

Debt securities originating from cross border lease transactions entered into in 1998 and 1999 (see note (15)) are classified as held-to-maturity as the Company is contractually obligated to hold these securities until maturity. The securities are bonds of triple A rated issuers and held by a custodian. Through a further asset based swap the cash inflows from the securities are transformed into the cash flow stream required to match a specified portion of the lease payments. The securities are pledged to a counter-party in the swap agreement. No sales of securities held-to-maturity occurred in 2003, 2002 and 2001. The interest rates on the securities are fixed and range from 5.65% to 9.01%. Accrued interest is recorded as interest income. The securities will mature between 2006 and 2011.

(all amounts in EUR '000s) Telekom Austria 2003 79

At December 31, 2003	Amortized cost	Gross unrealized holding gains	Gross unrealized holding losses	Fair value
Non-current asset				
Available-for-sale				
debt securities	4,702	168	-	4,870
equity securities	6,914	2,646	605	8,955
mutual funds	5,679	2	163	5,518
Held-to-maturity	124,951	16,596	-	141,547
At December 31, 2002				
Non-current asset				
Available-for-sale				
debt securities	5,908	298	1	6,205
equity securities	2,456	-	258	2,198
mutual funds	11,516	37	1,008	10,545
Held-to-maturity	138,454	21,015	-	159,469

The contractual maturities of debt securities classified as held-to-maturity at December 31, 2003 were as follows:

At December 31, 2003	Amortized cost	Fair value
Held-to-maturity		
Due within one year	5,159	5,195
Due after one year through five years	27,394	30,548
Due after five years through ten years	92,399	105,804
	124,951	**141,547**

Proceeds from sales of available-for-sale securities amounted to EUR 80,108 and EUR 7,070 in 2003 and 2002, respectively.
Gross realized gains from sales of available-for-sale securities were EUR 323 and EUR 46 in 2003 and 2002, respectively.
The specific identification method was used to determine the cost in computing realized gains and losses.

For the following marketable securities the Company incurred holding losses but has not recognized an impairment, since the losses are not material:

	Less than 12 months		12 months or longer		Total	
At December 31, 2003	Fair value	Gross unrealized holding losses	Fair value	Gross unrealized holding losses	Fair value	Gross unrealized holding losses
Non-current assets						
Available-for-sale						
equity securities	988	48	4,550	557	5,538	605
mutual funds	125	8	4,231	155	4,355	163
Total temporarily impaired securities	**1,113**	**56**	**8,781**	**712**	**9,893**	**768**

 (all amounts in EUR '000s)

(5) ACCOUNTS RECEIVABLE - TRADE

The roll-forward of the allowance for accounts receivable-trade is as follows:

	2003	2002
Allowance beginning of the year	**74,945**	**47,074**
Foreign currency adjustment	(11)	2
Change in consolidated entities	-	32,838
Reclassification to accruals for sold receivables	-	(26,485)
Charged to expenses	30,629	39,184
Amounts written-off	(13,325)	(17,668)
Allowance at the end of the year	**92,238**	**74,945**

December 31,	**2003**	**2002**
Accounts receivable-trade, gross	652,110	526,879
Allowances	(92,238)	(74,945)
Accounts receivable-trade, net	**559,872**	**451,934**

Of these receivables EUR 226,807 are held for sale due to the securitization program described in the following paragraphs.

In January 2002, the Company entered into a revolving period securitization and sold trade receivables to a Qualifying Special Purpose Entity (QSPE) unrelated to the Company. The Company retains servicing responsibilities relating to the sold receivables. Solely for the purpose of credit enhancement from the perspective of the QSPE, the Company retains interests in the sold receivables (retained interests). These retained interests are initially measured at estimated fair values, which the Company believes approximate historical carrying values, and are subsequently measured based on a periodic evaluation of collections and delinquencies.

In December 2003 the asset-backed securitization program was extended regarding the trade receivables sold and the maximum amount transferred to the trust. Additionally, the discounts required were reduced. The maximum program limit was increased from EUR 290,000 to EUR 350,000.

At December 31, 2003, the Company recorded a receivable due from the QSPE of EUR 145,360. The Company routinely evaluates its portfolio of trade receivables for risk of non-collection and records an allowance for doubtful accounts to reflect the carrying value of its trade receivables at estimated net realizable value. Pursuant to the provisions of the revolving-period securitizations, the Company effectively bears the risk of potential delinquency or default associated with trade receivables sold or interests retained. Accordingly, in the normal course of servicing the assets sold, the Company evaluates potential collection losses and delinquencies and updates the estimated fair value of the Company's retained interest.

The allowances recorded for sold receivables are classified as accrued liabilities. As of December 31, 2003 and 2002, respectively, the accruals totaled EUR 28,882 and EUR 62,481.

In accordance with SFAS No. 140, "Accounting for Transfers and Servicing of Financial Assets and Extinguishment of Liabilities", the Company has not recorded a servicing asset as management believes it is not practicable to estimate this value given that verifiable data as to the fair value of the compensation and or cost related to servicing the types of the assets sold is not readily obtainable.

(all amounts in EUR '000s)

In the periods ended December 31, 2003 and 2002, respectively, the following cash flows were received from and paid to the QSPE:

December 31,	2003	2002
Gross trade receivables sold to QSPE	2,789,761	2,044,513
Collections made on behalf of and paid to the QSPE	(2,578,860)	(1,732,372)
Deferred purchase price withheld	(168,846)	(104,616)
Unearned discount (withheld) reduced	(3,620)	(4,100)
Liquidity and program fees	(5,788)	(8,499)
Retained interests	-	(7,930)
Receivable from the QSPE	(145,360)	-
Net cash (paid to) received from QSPE during the period	**(112,713)**	**186,996**

Cash settlement with the QSPE takes place on a monthly basis. Gross trade receivables sold represent the fair value of billed and unbilled receivables to the QSPE during the periods ended December 31, 2003 and 2002, respectively. As the Company services these receivables, collection of the receivables previously sold is made on behalf of the QSPE. The Company recorded discounts, liquidity and program fees related to the securitization of trade receivables of EUR 5,690 and EUR 8,427 for the periods ended December 31, 2003 and 2002, respectively. These discounts and fees are included in interest expense in the statement of operations.

(6) RELATED PARTY TRANSACTIONS

The disclosures below present balances and transactions relating to the Company's significant shareholder ÖIAG and its subsidiary Österreichische Post AG as "ÖIAG", with other government agencies and government-owned entities, for practical reasons, not being disclosed. None of the individual accounts associated with government agencies or government-owned entities is considered significant to the Company.

The majority of the related party transactions were carried out with mobilkom austria. The Company charged mobilkom austria for interconnection fees, voice telephony, rent, repair and other services. mobilkom austria charged the Company mainly for interconnection fees. Since June 28, 2002 such transactions are fully eliminated in consolidation.

Österreichische Post AG and its subsidiaries ("Post"), a subsidiary of ÖIAG which provides postal services, charged the Company for different services such as postal charges, rent, repair and administration. The Company charged Post for IT support, voice telephony, technical services, rent, repair and other services. On September 17, 2003, Postbus AG, a 100% subsidiary of Österreichische Post AG, was sold to Österreichische Bundesbahnen and is therefore no longer reported as related party.

The terms of services provided by Telekom Austria to government entities are generally based on standard pricing policies. However, the Company is obligated to provide voice telephone services for disadvantaged individuals at reduced tariffs for which it is entitled to appropriate compensation from the government on a contractual basis. Beginning January 1, 2001, the contract with the government specifies the reimbursement of Euro 13.81 per customer per month, which is recorded as revenue in the service period. The total reimbursement was EUR 41,396, EUR 41,670 and EUR 43,032 in 2003, 2002 and 2001, respectively.

On June 28, 2001, a partner in a law firm which provides legal services to the Company was elected to the supervisory board. In 2003, 2002 and 2001 (since the day of appointment), respectively, the Company was charged EUR 560, EUR 993 and EUR 409 for legal services by that law firm.

Telecom Italia and the Company charged for interconnection services provided to each other at standard rates.

The Company has entered into agreements with Telecom Italia whereby the Company grants some pre-defined access to existing capacity on its physical network in return for similar access to the physical network of Telecom Italia. The Company does not recognize revenue or an obligation under such agreements apart from the trade revenue arising from subscriber transactions under normal tariff plans. The benefits and costs of such swap agreements will be reflected in the Company's results of operations in the periods realized through reduced interconnection obligations and revenues, respectively.

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The following is the detail of the accounts receivable with related parties:

At December 31,	**2003**	**2002**
ÖIAG	945	4,296
Telecom Italia	-	435
Affiliated companies and other	604	1,992
Total	**1,549**	**6,723**

The following is the detail of the accounts payable to related parties:

At December 31,	**2003**	**2002**
ÖIAG	7,840	4,997
Omnimedia	13,192	25,032
Affiliated companies and other	2,625	7,169
Total	**23,657**	**37,198**

The following is the detail of revenues from and expenses charged to related parties:

Year ended December 31,	**2003**	**2002**	**2001**
Revenues			
mobilkom austria	-	72,879	222,231
ÖIAG	62,635	56,660	55,344
Telecom Italia	24,014	14,361	13,448
Other	2,857	4,090	2,436
Total	**89,506**	**147,990**	**293,459**
Interest income			
mobilkom austria	-	4,988	17,619
Other	1	4	0
Total	**1**	**4,992**	**17,619**
Expenses			
mobilkom austria	-	43,590	207,172
ÖIAG	70,643	58,285	66,421
Telecom Italia	10,808	23,559	25,841
Other	47,243	66,719	15,335
Total	**128,694**	**192,153**	**314,769**
Interest expense			
mobilkom austria	-	837	731
ÖIAG and other	30	101	18
Total	**30**	**938**	**749**

For the years ended December 31, 2003 and 2002, respectively, EUR 36,146 and EUR 55,289 of other expenses mainly relate to advertising and marketing services provided by Omnimedia.

(all amounts in EUR '000s)

(7) INVENTORIES

Inventories consist of:

At December 31,	2003	2002
Spare parts, cables and supplies	44,510	36,830
Merchandise	39,025	54,431
Total	**83,535**	**91,261**

(8) GOODWILL AND OTHER INTANGIBLE ASSETS

Other intangible assets consist of:

At December 31,	2003	2002
Wireless and wireline licenses	559,273	544,893
Patents and proprietary rights	53,497	47,100
Brandnames	174,046	158,934
Subscriber base	138,622	120,999
Other	35,858	37,952
Total intangibles	**961,296**	**909,878**
Less accumulated amortization	(249,308)	(183,985)
Net intangibles	**711,988**	**725,893**

Amortization expense was EUR 68,340, EUR 27,410 and EUR 53,339 for the years 2003, 2002 and 2001, respectively.

Licenses are recorded at cost and amortized on a straight-line basis over the estimated useful life. In November 2000, mobilkom austria purchased a UMTS license for Austria with a term of 20 years for EUR 171,540. Interest in the amount of EUR 1,843 and EUR 6,495 was capitalized in 2003 and 2002, respectively, on the UMTS license. The amortization of the UMTS license over 14.2 years and depreciation of the related network equipment over 8 years began in May 2003 after the start of the UMTS services and the generation of revenues. The Company recorded amortization and depreciation expenses from the use of these assets of EUR 14,086 in 2003 and expects EUR 19,567 on an annual basis thereafter.

The Company holds licenses to operate as a mobile telecommunications service provider from the Austrian, Croatian and Slovenian communications commissions. The Croatian license, granted for 10 years, was acquired for EUR 13,672 in 1998. Licenses from the Slovenian Government granted in 2001 and 1999 for 15 years, were acquired for EUR 4,637 and EUR 11,121, respectively.

Upon adoption of SFAS No. 142 on January 1, 2002, the Company ceased amortizing goodwill. The following tables illustrate the changes in net book value of goodwill by segment for the periods ended December 31, 2003 and 2002, respectively:

	Wireline	Wireless	Total
Goodwill January 1, 2003	**30,795**	**559,932**	**590,727**
Acquisitions	1,000	11,774	12,774
Translation adjustment	(376)	(5,548)	(5,924)
Goodwill December 31, 2003	**31,419**	**566,158**	**597,577**

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	Wireline	Wireless	Total
Goodwill January 1, 2002	**60,244**	**-**	**60,244**
Acquisitions	9,824	563,153	572,977
Impairment	(40,893)	-	(40,893)
Translation adjustment	1,620	(3,221)	(1,601)
Goodwill December 31, 2002	**30,795**	**559,932**	**590,727**

In 2002 and 2001 impairment charges in the amount of EUR 40,441 and EUR 119,950 were recorded for goodwill originally recorded from the acquisition of Czech On Line ("COL"). The acquisition was based on a business plan assuming the full liberalization of the Czech market. As this remained unsatisfactory with regard to interconnection and limited wholesale offers to alternative operators, the business of COL had not developed as originally expected. The valuation of the reporting unit in 2002 was based on forecasted cash flows and used the weighted average cost of capital employed of 13.2% as discount rate.

The gross carrying amounts and accumulated amortization of intangible assets subject to amortization, by major class, are as follows:

At December 31, 2003	**Acquisition cost**	**Accumulated amortization**	**Carrying value**
Wireless and wireline licenses	559,273	(172,301)	386,972
Subscriber base	138,622	(32,088)	106,534
Other	89,355	(44,919)	44,436
Total	**787,250**	**(249,308)**	**537,942**

At December 31, 2003	**Acquisition cost**	**Accumulated amortization**	**Carrying value**
Wireless and wireline licenses	544,893	(139,043)	405,850
Subscriber base	120,999	(10,083)	110,916
Other	85,052	(34,859)	50,193
Total	**750,944**	**(183,985)**	**566,959**

The following table presents expected amortization expense related to amortizable intangible assets for each of the following periods:

2004	72,080
2005	70,384
2006	68,574
2007	65,374
2008	53,675
Thereafter	207,855

The total carrying amount of intangible assets, other than goodwill, not subject to amortization is EUR 174,046 as of December 31, 2003. This amount relates entirely to the value of brandnames. The value of brandnames increased by EUR 15,728 as a result of the acquisition of the 28% interest in VIPnet in 2003 (see note (2)).

(all amounts in EUR '000s)

(9) PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment transferred to the Company by the government was recorded upon transfer at cost less accumulated depreciation as of that date. Acquisitions since then have been recorded at cost.

At December 31,	2003	2002
Land	60,281	62,462
Buildings and leasehold improvements	663,044	653,010
Communications network and other equipment	9,381,996	9,358,138
Capital leases	13,963	16,207
Software	376,567	325,387
Construction in progress, network	186,487	235,263
	10,682,338	**10,650,467**
Less accumulated depreciation (other than capital leases)	(6,214,641)	(5,640,965)
Less accumulated depreciation, capital leases	(10,031)	(8,843)
Property, plant and equipment, net	**4,457,666**	**5,000,659**

Total interest capitalized and amortization and depreciation expenses for the years ended December 31, 2003, 2002 and 2001 are as follows:

	2003	2002	2001
Interest capitalized	1,605	2,635	2,893
Depreciation and amortization expense	1,071,633	989,878	875,912
Thereof			
Amortization expense of software	79,059	42,623	24,276
Amortization expense of leased assets	3,663	2,341	1,025

In the period ended December 31, 2003, 2002 and 2001, respectively, impairment charges of EUR 6,825, EUR 977 and EUR 23,181 are included in depreciation. The impairment charges in 2003 primarily relate to long-lived assets as future estimated net cash flows were below the carrying value of related assets. The impairment charges of prior years related primarily to buildings which the Company no longer uses. The impairments recorded relating to these buildings equal the excess of carrying value over estimated fair value.

(10) SHORT-TERM BORROWINGS

The Company's short-term borrowings include:

At December 31,	2003	2002
Current portion of long-term debt	530,869	458,995
Short-term debt	-	737,144
Lines of credit	4,962	5,823
Current portion of lease obligations	95,490	107,943
Total	**631,321**	**1,309,905**

The weighted-average interest rate on lines of credit was 3.20% and 4.02% in 2003 and 2002, respectively. As of December 31, 2003 the Company has unused committed lines of EUR 500,000 and recorded commitment and servicing fees for these unused lines of EUR 1,543, which represents 0.3% of the committed lines. The credit line commitments will expire between January 2004 and November 2006.

Short-term debts were repaid using part of the funds provided by the long-term bond issued by the Company in July 2003 (see note (14)).

(all amounts in EUR '000s)

(11) ACCRUED LIABILITIES

Accrued liabilities consist of the following:

At December 31,	2003	2002
Taxes, other than income	9,845	8,517
Employee benefits	69,935	67,384
Customer discounts	47,444	53,240
Customer retention programs	40,161	37,693
Exit costs	6,829	8,363
Bad debt reserve for sold receivables	28,882	62,481
Other	28,682	19,112
Total	**231,778**	**256,790**

Other accruals mainly relate to legal fees and lawsuits, audit fees, public fees and consulting services.

In establishing accruals, management assesses different scenarios of reasonably estimated outcomes in determining the amount that the Company is expected to pay upon the resolution of a contingency. The Company records the most likely of all scenarios contemplated or, if none of the scenarios is more likely to occur, the scenario with the lowest amount is considered in establishing the accrual.

During the year ended December 31, 2001, the Company formally terminated certain leases, which require the Company to refurbish the properties as they are vacated. Upon termination of the leases, the Company recorded an accrual totaling EUR 1,912. The Company utilized EUR 1,456 and released EUR 456 of this accrual in 2002. As of December 31, 2002, the Company recorded an accrual totaling EUR 8,363 for certain non-cancellable lease contracts related to premises which the Company vacated in 2003. This accrual covers the minimum lease payments until the end of the lease contracts. The Company utilized EUR 3,297 and accrued an additional EUR 1,763 in 2003. As of December 31, 2003, the Company has an accrual of EUR 6,829 that it expects to be fully utilized.

(12) DEFERRED INCOME

At December 31,	2003	2002
Unearned income	143,266	122,850
Unamortized balance on sale of tax benefits	51,573	58,686
	194,839	**181,536**
Less non-current portion	(44,461)	(51,573)
Deferred income net of non-current portion	**150,378**	**129,963**

The deferred income mainly relates to prepaid access fees, monthly base fees, leased lines to commercial customers, prepaid mobile fees and rental income from site sharing. These fees are amortized over the period the service is provided.

Additional information concerning the sale of benefits is contained in note (15).

(all amounts in EUR '000s)

(13) ASSET RETIREMENT OBLIGATION

The Company adopted SFAS No. 143 as of January 1, 2003 and recorded the following additions to long-lived assets, asset retirement obligation and a cumulative change in accounting principles:

	January 1, 2003
Addition to long-lived assets	6,288
Addition to accumulated depreciation	(2,263)
Cumulative effect of change in accounting principle	17,929
Asset retirement obligations	**21,954**

The roll-forward of the asset retirement obligation starting January 1, 2003 is as follows:

Asset retirement obligations as of January 1, 2003	21,954
Foreign exchange difference	(3)
Liability incurred in the current period	451
Accretion expense	1,336
Settlement	(461)
Release	(15)
Asset retirement obligations as of December 31, 2003	**23,262**

The Company recorded asset retirement obligations for the retirement and decommissioning of base stations, buildings, booths for public payphones and wooden masts impregnated with tar or salt.

The Company has an obligation to operate a sufficient number of booths to assure that the Austrian population has sufficient access to telecommunications services. As long as the Company stays in business and technology does not materially change, the number of booths operated will be reduced but not eliminated completely for the foreseeable future. The Company estimated the number and timing of booths to be retired from service and estimated the asset retirement obligation based on probability-weighted cash flow estimates.

The Company has also recorded an asset retirement obligation for masts impregnated with tar or salt. Although the Company stopped setting up tar-masts in 1992, some will be in operation for approximately another 30 years. Masts impregnated with salt are currently in operation and set up for the foreseeable future. The average remaining useful life is 30 years. The Company has recorded an asset retirement obligation based on estimated settlement dates and expected cash flows.

Additionally, the Company recorded asset retirement obligations for buildings concerning obligations for the disposal of hazardous substances that were used in prior decades.

mobilkom austria rents land, rooftops and other premises for an unlimited period of time. As it becomes more difficult to obtain sites because of health concerns and as base stations are crucial to the business of a mobile communications operator, except as discussed below, mobilkom austria does not expect to, and will not give up the majority of its rented sites as long as it stays in business. As mobilkom austria has both the ability and the intent to renew its license indefinitely, the retirement obligation in relation to those base stations is indeterminate. mobilkom austria is therefore unable to estimate the fair value of an asset retirement obligation as potential settlement dates for the retirement obligation are not predictable. mobilkom austria will recognize the obligation as soon as sufficient information exists to estimate the range of potential settlement dates. However, mobilkom austria does estimate that approximately 5% of the base stations will be given up. Therefore, mobilkom austria recorded an asset retirement obligation based on expected cash flows and settlement dates.

Additionally, mobilkom austria recorded asset retirement obligations for buildings and shops under operating leases in accordance with the obligation to refurbish the sites at the expiration of the lease contracts.

Had the Company adopted SFAS No. 143 as of January 1, 2002 and measured the asset retirement obligation using the information, assumptions and interest rates in effect as of the date of the adoption of this Statement, the pro forma asset retirement obligation would have amounted to EUR 20,331.

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(14) LONG-TERM DEBT

The outstanding long-term debt, other than lease obligations are summarized as follows:

At December 31,	Maturity	2003	2002
Bonds under EMTN Programme	2004 - 2013	745,117	-
Other bonds	2004 - 2013	159,741	175,537
Bank debt	2004 - 2011	1,967,509	2,347,652
Other	2008	790	15,691
		2,873,157	2,538,880
Less current portion of long-term debt		(530,869)	(458,995)
Long-term debt, net of current portion		**2,342,288**	**2,079,885**

On June 30, 2003, Telekom Austria AG and Telekom Finanzmanagement GmbH (the 100% financing subsidiary of Telekom Austria AG) initiated a Euro Medium Term Note ("EMTN") Programme. The payments of all amounts due in respect of notes issued by Telekom Finanzmanagement GmbH under this framework agreement will be unconditionally and irrevocably guaranteed by Telekom Austria AG. The maximum aggregate nominal amount of all notes outstanding at any time under the programme will not exceed the equivalent of EUR 2,500,000.

Under this programme the Company successfully launched and placed a Eurobond offering which raised EUR 750,000 with a 10-year maturity and a coupon of 5.00% on July 10, 2003. The notes were issued at a discount including issue costs of EUR 9,053 (EUR 8,647 as of December 31, 2003) and were used to refinance existing debt.

Of the total bank debt, amounts of EUR 1,354,583 and EUR 1,751,264 at December 31, 2003 and 2002, respectively, are guaranteed by the Federal Republic of Austria. From the total long-term debt, as of December 31, 2003 and 2002, respectively, EUR 266,614 and EUR 286,947 are denominated in Japanese Yen and Swiss Francs. The loan of EUR 74,046 denominated in Japanese Yen is due in June 2004. The Company uses cross currency swaps to reduce the exposure to the risks of adverse changes in exchange rates as described in note (19).

The interest rates of the loans vary between 2.2% and 7.3%. The weighted average interest rate for the periods ended December 31, 2003 and 2002, respectively, were 4.6% and 3.7% for bonds and 5.2% for bank debt in both years.

The following bank debt is not guaranteed by the government as they were entered into after the privatization of the Company:

In March 2000, the Company entered into a loan agreement for EUR 145,000 with the European Investment Bank. As of December 31, 2003, EUR 116,000 of the loan is outstanding in accordance with the repayment terms. Under the terms of this agreement, the Company must observe covenants requiring the Company to meet certain financial ratios.

Further, in October 2000 the Company entered into a loan agreement for EUR 232,553. As of December 31, 2003 the loan is outstanding in full in accordance with the repayment terms. Under the terms of the contract the Company has to maintain certain investments, otherwise the loan becomes due. The interest rates vary depending on the rating of the Company.

As of December 31, 2003, EUR 295,160 of a syndicated loan granted to mobilkom austria was outstanding. The original loan totaled EUR 305,000 and was guaranteed by Telekom Austria AG.

In December 2002 VIPnet entered into a syndicated loan of EUR 150,000 of which EUR 96,200 were drawn. Outstanding debt is EUR 93,240 as of December 31, 2003. The loans become due between 2003 and 2008 and carry an interest rate of three month EURIBOR plus a margin that depends on operating performance and indebtedness and 0.375% commitment fees. The loan was used for the refinancing of the loans to VIPnet.

In March 1999, Si.mobil entered into a loan agreement amounting to EUR 36,000 (original currency: Deutsche Mark 71,000) to finance the construction of the GSM network in Slovenia. The interest rate is three month LIBOR plus 1.075%. The loan is secured by bills of exchange, property, receivables and shares of Si.mobil. The loan is repayable until March 2007.

(all amounts in EUR '000s)

As of December 31, 2003, the Company was in compliance with all covenants agreed to in the loan agreements mentioned above.

As of December 31, 2003, outstanding debt to VIPnet's minority shareholders is EUR 450.

The year-end average interest rates for the long-term debt excluding interest rate swap agreements for 2003 and 2002 are as follows:

	2003	2002
Bonds	4.57%	5.32%
Bank debt	4.96%	3.49%

Following is a table that shows the aggregate amounts of long-term debt maturing during the next five years and thereafter:

2004	530,869
2005	581,093
2006	492,099
2007	171,789
2008	290,990
Thereafter	806,317

(15) LEASING

The Company leases equipment used in its operations. The leases are classified as either operating or capital leases. The lease contracts expire on various dates through 2015.

Future minimum lease payments for noncancelable operating leases, capital leases and cross border leases as of December 31, 2003 are:

At December 31, 2003	Cross border leases	Capital leases	Operating leases
2004	93,725	1,898	71,430
2005	101,542	166	64,686
2006	114,603	25	61,680
2007	135,375	6	60,211
2008	119,214	8	59,431
after 2008	752,090	-	54,271
Total minimum lease payments	**1,316,549**	**2,103**	**371,709**
Less amount representing interest	(361,846)	(16)	
Present value of lease payments	**954,703**	**2,087**	
Less current portion	(93,725)	(1,765)	
Non-current lease obligations	**860,978**	**322**	

Total rent expense was EUR 74,358, EUR 67,666 and EUR 52,130 in 2003, 2002 and 2001, respectively.

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Cross border leases

In 1999 and 1998, the Company entered into various cross border lease transactions whereby certain equipment items, mainly switches, were sold to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into Payment Undertaking Agreements ("PUA") with several counter-parties whereby the counterparties agreed to make lease payments on behalf of the Company in exchange for a deposit. The counterparties in the PUAs received upfront payments totaling EUR 509,285 and EUR 113,763 for a portion of the debt assumed in 1999 and 1998, respectively. Interest accruing on the cash deposits matches interest on the debt portion financed through the deposit. In addition to the cash deposits, the Company purchased debt securities, deposited those securities with a custodian and pledged the securities to one of the counter-parties in the PUA; the balance is to cover the remaining portion of the present value of the lease obligation not yet covered by the cash deposit made by the Company. The Company then also entered into a swap agreement with that same counterparty swapping the entire cash flows from the securities for cash flows from the portion of the lease payments that the counterparty is obligated to pay under the PUA. As a result of the swap agreement, interest income on the securities matches interest expense on the lease.

In 1999, mobilkom austria entered into similar cross border lease transactions whereby certain equipment items (mainly transceiver stations, base station controllers and location registers) were sold to four U.S.-based trusts and leased back over certain terms.

In 2001, the Company entered into a cross border lease transaction whereby certain equipment items, mainly switches were leased to a U.S.-based trust and leased back over certain terms. Concurrent with the inception, the Company entered into PUAs with several counterparties whereby the counterparties agreed to make lease payments on behalf of the Company in exchange for the upfront lease payments received under the head lease. The counter-parties in the PUAs received upfront payments totaling EUR 200,526 for a portion of the debt assumed in 2001. In addition to the PUAs the Company provided a loan of EUR 66,554 to the U.S.-based trust. Interest accruing on the PUAs and the loan match interest on the debt portion.

The difference between the cash proceeds from the sale and the present value of the future minimum lease payments represents a gain on the sale of a tax benefit. The net cash effect resulting from these transactions relates to the total gain from the sale of the tax benefits which amounted to EUR 14,547, EUR 44,437 and EUR 7,337 in 2001, 1999 and 1998, respectively. The Company is amortizing these amounts over the term of the lease. The cash deposits, the securities purchased in connection with the PUAs and the upfront payments received for the head lease and the lease obligations are recorded separately on the balance sheets as the Company has not been released from their obligation under the lease and a legal right to offset does not exist. Accordingly, interest income and expenses in an equal amount totaling EUR 65,669, EUR 70,634 and EUR 58,598 have been recognized in 2003, 2002 and 2001, respectively.

Total assets and liabilities recorded in connection with the cross border leases are as follows:

At December 31,	**2003**	**2002**
Securities held-to-maturity, non-current	119,793	138,454
Other assets	834,910	1,038,580
Total assets in connection with cross border leases	**954,703**	**1,177,034**
Of which current	94,517	103,978
Lease obligations	954,703	1,177,034
Of which current	93,725	102,719

In 2001, two banks issued letters of credit to the trust for the liabilities of the Company. As of December 31, 2003, these letters of credit totaled EUR 108,497.

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(16) EMPLOYEE BENEFIT OBLIGATIONS

Long-term liabilities for employee benefits consist of the following:

At December 31,	2003	2002
Contractual termination benefits	31,932	132,346
Service awards	46,870	57,862
Severance	67,606	32,612
Pensions	9,552	9,709
Total	**155,960**	**232,529**

Contractual termination benefits

In June 2000, June 1999 and in November 1997, the Company offered voluntary retirement incentive programs ("VRIPs") to civil servants who cannot be terminated involuntarily. An obligation for VRIPs was recognized when the eligible civil servant accepted the offer. The present value of the obligation is determined based on current compensation levels and the law. An annual increase of 2.5% for future years and a discount rate of 4.5% are used. VRIPs are not funded.

On January 1, 2002 a law was enacted that covers civil servants after the age of 55 by a governmental retirement plan with the effect of reducing the Company's obligation under the VRIPs. Following that law the Company reversed EUR 26,802 and EUR 57,366 of these accruals in 2003 and 2002, respectively. As of December 31, 2003, the accrual for the VRIPs relate to 120 employees. In connection with VRIPs the Company made payments of EUR 69,634, EUR 95,262 and EUR 68,456 during 2003, 2002 and 2001, respectively.

Expenses as well as the reversals of accruals are reflected as a reduction of employee costs in the accompanying consolidated statement of operations.

Actuarial assumptions

The assumptions used in the measurement of obligations for service awards, severance payments and pensions are shown in the following table:

At December 31,	2003	2002	2001
Actuarial assumptions:			
Discount rate	5.0%	5.0%	5.0%
Rate of compensation increase – civil servants	4.0%	3.7%	3.6%
Rate of compensation increase – other employees	2.5%	3.7%	3.6%
Rate of increase of pensions	1.8%	1.1%	1.1%

Service awards

Civil servants and certain employees (together "employees") are eligible to receive service awards. Under these plans, eligible employees receive a cash bonus after a specified service period. The bonus is equal to two months salary after 25 years of service and four months salary after 40 years of service. Employees with at least 35 years of service when retiring are also eligible to receive a bonus equal to four months salary. The compensation is accrued as earned over the period of service taking into account estimates of employees whose employment will be terminated or who will retire prior to reaching the required service period. All actuarial gains and losses are recognized immediately in the period realized.

The following table provides the components and a reconciliation of the changes in service awards for the years ended December 31, 2003 and 2002, respectively:

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	2003	2002
Accrual at the beginning of the year	**57,862**	**59,186**
Change in reporting entities	-	2,744
Service cost	2,301	2,348
Interest cost	2,814	3,024
Recognized actuarial gains	(12,125)	(6,930)
Benefits paid	(3,982)	(2,510)
Accrual at the end of the year	**46,870**	**57,862**

Severance

Severance benefit obligations for employees hired before January 1, 2003 are covered by defined benefit plans as described below. Following a legal change, obligations for employees starting to work for the Company after January 1, 2003 are covered by a defined contribution plan and the Company paid EUR 119 to this deferred contribution plan (BAWAG Allianz Mitarbeitervorsorgekasse AG) in 2003.

Eligible employees receive severance payments equal to a multiple of their monthly compensation which comprises fixed compensation plus variable elements such as overtime and bonuses. Maximum severance is equal to a multiple of twelve times eligible monthly compensation. Up to three months of benefits are paid upon termination, with any benefit in excess of that amount being paid in monthly installments over a period not exceeding ten months. In case of death, the heirs of an eligible employee will receive 50% of the severance benefits.

The following tables provide the components of the net periodic benefit cost and a reconciliation of the changes in severance benefit obligations for the years ended December 31, 2003, 2002 and 2001, respectively:

	2003	2002	2001
Service cost	4,218	3,926	1,893
Interest cost	1,784	1,311	924
Amortization of unrecognized net obligation	308	221	29
Curtailment loss / settlement	1,090	683	1,876
Net periodic benefit cost	**7,402**	**6,141**	**4,722**

	2003	2002
Projected benefit obligation at the beginning of the year	36,849	22,415
Change in reporting units	(587)	4,249
Service cost	4,218	3,926
Interest cost	1,784	1,311
Actuarial (gains) losses	(11,004)	7,459
Curtailment loss / settlement	1,090	683
Benefits paid	(2,723)	(3,194)
Projected benefit obligation at the end of the year	**29,627**	**36,849**
Unrecognized net actuarial losses	(4,782)	(16,093)
Accrued liability at the end of the year	**24,845**	**20,756**
Voluntary severance obligation	42,761	11,856
Total accrued severance liabilities at the end of the year	**67,606**	**32,612**

The liability for voluntary severance payments relates to individuals who are generally not entitled to severance payments, but have accepted a special offer by the Company to receive severance payments for voluntary termination of employment.

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Until November 28, 2003, the government offered to civil servants at a certain age an early retirement at reduced future pension payments. The Company offered these eligible employees additional severance payments to further encourage the acceptance of the government offer. The Company incurred a legal obligation to civil servants making use of this opportunity and accrued severance costs of EUR 39,630 and other costs of EUR 7,678 in 2003. Telekom Austria does not expect any future liabilities in addition to these accruals. Due to this one-time offer the Company's workforce was reduced by 650 civil servants in 2003.

Pensions

Defined contribution pension plans

Pension benefits are generally provided by social security for employees and by the government for civil servants in Austria. The Company is required to assist in funding the Austrian government's pension and health care obligations to the Company's current and former civil servants and their surviving dependents. The Company was legally obligated to make annual contributions to the Austrian government for active civil servants. These contributions gradually increased from 27.5% in 2000 to 30.1% in 2003. Beginning in October 2005 the contribution will be reduced to 28.3%. Contributions to the government, net of the share contributed by civil servants, were EUR 51,520, EUR 52,647 and EUR 56,380 in 2003, 2002 and 2001, respectively.

In 2000 and 1999, the Company sponsored a defined contribution plan covering substantially all employees of one subsidiary. In 2001, this plan was also offered to the employees of Telekom Austria and all its other Austrian subsidiaries. The Company's contributions to this plan are based on a percentage of the compensation not exceeding 5% of the salaries. The annual cost of this plan amounted to approximately EUR 9,082, EUR 6,961 and EUR 4,669 in 2003, 2002 and 2001, respectively.

Defined benefit pension plan

The Company provides defined benefits for certain former employees. All of such employees are retired and were employed prior to January 1, 1975. This unfunded plan provides benefits based on a percentage of the salary and on the years employed, not exceeding 80% of the salary before retirement including the pension provided by social security.

The Company uses the projected unit credit method to determine pension cost for financial reporting purposes. In conjunction with this method the Company amortizes actuarial gains and losses using the corridor method.

The pension benefits for 2003, 2002 and 2001 are shown in the following table:

	2003	**2002**	**2001**
Interest cost	396	424	504
Amortization of actuarial gain	(64)	(50)	(59)
Amortization of unrecognized transition obligation	343	343	343
Net periodic pension benefit cost	**675**	**717**	**788**

The following table provides a reconciliation of the changes of benefit obligations for the years ended December 31, 2003 and 2002, respectively:

	2003	**2002**
Projected benefit obligation at the beginning of the year	8,327	8,926
Interest cost	396	424
Actuarial gains	(273)	(128)
Benefits paid	(832)	(895)
Projected benefit obligation at the end of the year	**7,618**	**8,327**
Unrecognized net gain	1,934	1,725
Unrecognized transition obligation	-	(343)
Accrued pension liability	**9,552**	**9,709**

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(17) STOCK BASED COMPENSATION

Stock option plan

On October 4, 2000, the shareholders of Telekom Austria approved stock option plans for employees of the Company and mobilkom austria. Under this plan, the Company may grant a total of 4,686,881 options, each of which entitle eligible grantees upon exercise of the option to receive at their choice either cash equal to the difference between the average quoted price of Telekom Austria stock during the five trading days preceding the exercise and the IPO price of Euro 9 or shares at an exercise price of Euro 9. One option is convertible into one share. The options granted may be exercised on specific dates between May 31, 2002, and February 27, 2004, as long as the average share price during the five days prior to exercise exceeds the initial public offering price by 30% or more.

On November 21, 2000, the Company granted all 4,686,881 options. In 2003, 2002 and 2001, respectively, 164,077, 520,766 and 733,188 options were forfeited, therefore; 3,268,850, and 3,432,927 options are outstanding as of December 31, 2003 and 2002, respectively.

As the stock option plans are accounted for in accordance with APB Opinion 25 and related interpretations, the amount of the liability is measured each period based on the current stock price. As the stock price as of December 31, 2003, 2002 and 2001 did not exceed the hurdle and was not deemed "probable", no compensation expense was recorded in 2003, 2002 and 2001 (see note (27)).

(18) INCOME TAXES

Income (loss) before income taxes, minority interests and cumulative effect of a change in accounting principle is attributable to the following geographic locations:

	2003	2002	2001
Domestic	186,197	33,710	(199,049)
Foreign	46,360	10,101	(1,019)
Total	**232,557**	**43,811**	**(200,068)**

As described in note (2), on June 28, 2002 the Company acquired the remaining outstanding interest of mobilkom austria through the acquisition of Autel. mobilkom austria has been consolidated since that date. Prior to the acquisition of Autel on June 28, 2002, the Company held a 74.999% interest in mobilkom austria which was accounted for under the equity method. In the first quarter 2001, mobilkom austria recorded a tax expense of EUR 134,437 due to a change in tax status of mobilkom austria AG from a taxable entity to a nontaxable pass-through entity which occurred in the first quarter of 2001 and which was effective retroactive to July 1, 2000 for tax purposes. Correspondingly, the Company recorded its 74.999% proportional share of mobilkom austria's tax expense and recognized a deferred tax benefit during the three month period ended March 31, 2001. Thus, the direct income tax effects on the Company of the change in tax status of mobilkom austria and the proportional pickup from the income tax expense reported by mobilkom austria essentially offset each other in the income tax expense reported by the Company for the year ended December 31, 2001.

Income tax expense (benefit) attributable to income (loss) before income taxes, minority interests and extraordinary items for the years ended December 31, consisted of the following:

	2003	2002	2001
Current			
Domestic	8,899	1,097	(292)
Foreign	14,511	5,771	-
	23,410	**6,868**	**(292)**
Deferred			
Domestic	52,506	15,627	(94,278)
Foreign	7,120	3,617	(343)
	59,626	**19,244**	**(94,621)**
Total	**83,036**	**26,112**	**(94,913)**

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Benefits of operating loss carryforwards of EUR 1,818, EUR 8,641 and EUR 7,799 were included in the deferred tax expense (benefit) for the years ended December 31, 2003, 2002 and 2001, respectively.

Total income tax expense (benefit) was recorded as follows:

	2003	2002	2001
Continuing operations	83,036	26,112	(94,913)
Other comprehensive income	2,787	1,024	(6,683)
Additional paid in capital	451	424	-
	86,274	**27,560**	**(101,596)**

The Company is subject to income taxes in Austria at a rate of 34% of taxable income. The following table shows the principal components for the difference between the reported income tax expense (benefit) and the amount of income tax expense (benefit) that would result from applying the Austrian statutory income tax rate to income (loss) before income taxes, minority interests and changes in cumulative effect of a change in accounting principle:

	2003	2002	2001
Income tax expense (benefit) at statutory rate	79,069	14,896	(68,023)
Foreign tax rate differential	(7,053)	(2,125)	31
Non-deductible expenses	3,792	335	150
Tax incentives	(3,673)	(3,626)	(2,105)
Tax free income from investments	(563)	(1,163)	(1,603)
Tax rate differential on equity in earnings of affiliates	-	(1,389)	10,611
Nondeductible goodwill amortization and impairment charges	-	4,388	647
Tax benefit recognized for prior year goodwill amortization and impairment	-	-	(40,080)
Change in valuation allowance	7,724	11,008	5,456
Other	3,740	3,788	3
Income tax expense (benefit)	**83,036**	**26,112**	**(94,913)**
Effective income tax rate	35.7%	59.6%	47.4%

Non-deductible expenses mainly consist of interest expenses on shareholder loans. Tax incentives principally consist of research incentives.

The tax effects of temporary differences that give rise to deferred tax assets and liabilities at December 31 are shown below.

	2003	2002
Deferred tax assets		
Goodwill	34,846	44,615
Deferred deduction for write downs of investments in subsidiaries	63,219	76,858
Operating loss carryforwards	227,956	207,232
Long-term debt	6,614	13,362
Other liabilities	10,484	5,542
Employee benefit obligations	3,745	-
Other	8,276	12,354
Total deferred tax assets	**355,140**	**359,963**
Valuation allowance	(81,639)	(16,214)
Deferred tax assets, net of valuation allowance	**273,501**	**343,749**

(all amounts in EUR '000s)

Deferred tax liabilities		
Property, plant and equipment	(30,244)	(39,683)
Long-term investments	(8,690)	-
Other intangible assets	(97,347)	(88,178)
Accrued liabilities	(350)	(4,892)
Other assets	(5,277)	(13,866)
Employee benefit obligation	-	(30)
Other	(8,093)	(12,351)
Total deferred tax liabilities	**(150,001)**	**(159,000)**
Net deferred tax	**123,500**	**184,749**

At December 31, 2003, the Company had approximately EUR 701,516 of operating loss carryforwards. Thereof, EUR 110,598 relate to foreign subsidiaries. Of these loss carryforwards relating to foreign subsidiaries, EUR 110,114 have expiration dates as follows:

Years	Amount
2004	8,111
2005	28,087
2006	40,214
2007	24,346
2008	8,465
2009	891
Total	**110,114**

The remaining amount of operating loss carryforwards are in Austria and do not expire. In Austria the annual usage is limited to 75% of the taxable income for that year.

In assessing the recoverability of deferred tax assets, management considers whether it is more likely than not that all the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. As of December 31, 2003 the Company has recognized a net deferred tax asset of EUR 124,138 related to the operations in Austria. In order to realize this deferred tax asset the Company will need to generate future taxable income exclusive of reversing taxable temporary differences of approximately EUR 486,815 over an indefinite period in Austria.

Based on the level of historical taxable income and projections for future taxable income over the periods in which the deferred tax assets are deductible, management believes it is more likely than not the Company will realize the benefits of these deductible differences and operating loss carry forwards, net of valuation allowances. The amount of deferred tax asset considered realizable, however, could be reduced in the near term if estimates of future taxable income are reduced.

During the years ended December 31, 2003 and 2002 deferred tax expenses of EUR 6,560 and EUR 11,008, respectively, were recognized as adjustments to the valuation allowance because of a change in circumstances that caused a change in judgement about the realizability of the related deferred tax asset in future years. In 2003 and 2002 the valuation allowance increased by EUR 65,425 and EUR 10,758, respectively. Thereof EUR 57,701 and EUR 250 had no impact on the income statement in 2003 and 2002, respectively.

(all amounts in EUR '000s)

(19) FINANCIAL INSTRUMENTS

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

The Company uses into various types of financial instruments including derivative financial instruments in the normal course of business for purposes other than trading.

By their nature, all such instruments involve risk, including market risk and credit risk of nonperformance by counterparties, and the maximum potential loss may exceed the amount recognized in the balance sheets. However, at December 31, 2003 and 2002, in management's opinion the probability of nonperformance of the counterparties in these financial instruments was remote.

Credit risk

The Company monitors its exposure to credit risk. The Company does not have any significant exposure to any individual customer or counterparty, nor does it have any major concentration of credit risk related to any financial instrument other than noted under section concentration of credit risk in significant accounting policies.

The Company does not require collateral in respect of financial assets. In order to reduce the risk of nonperformance by the other parties to swap agreements, the contracts are subject to the International Swap Dealers Agreement.

Market risk

The market risk is monitored by using value-at-risk models for interest rate as well as currency risk for the long-term debt and derivative portfolios.

Information with respect to cash flow hedges

Changes in the fair value of interest rate swaps designated as hedging instruments of variability of cash flows associated with variable rate long-term debt are reported in accumulated other comprehensive income. These amounts are subsequently classified into financial income as a yield adjustment in the same period in which the related interest on the floating-rate debt obligations affect earnings. In 2003 and 2002, respectively, no hedge ineffectiveness occurred.

Interest rate swap agreements

In the years 1995 to 1997 the Company entered into interest rate swaps to reduce the aggregate exposure to changes in floating interest rates and fair market value fluctuations of the debt portfolio. Fixed interest rate payments as of December 31, 2003, ranged from 6.7% to 3.0%. Floating-rate payments are based on rates tied to different inter-bank offered rates.

In line with its risk policy the Company entered into fix to floating interest rate swaps in 2003. The floating rate is based on EURIBOR and enables the company to participate from current low short-term interest rates.

The following table indicates the types of swaps in use at December 31, 2003 and 2002, and their weighted-average interest rates and the weighted-average remaining terms of the interest rate swap contracts. Average variable rates are those in effect at the reporting date and may change significantly over the lives of the contracts:

	2003	2002
Variable to fixed swaps in EUR		
Notional amount in EUR	181,682	181,682
Average receive rate	2.25%	3.35%
Average pay rate	6.47%	6.47%
Average maturity in years	1.4	2.4
Fixed to variable swaps in EUR		
Notional amount in EUR	300,000	-
Average receive rate	5.00%	-
Average pay rate	2.96%	-
Average maturity in years	9.5	-
Variable to fixed swaps in Japanese Yen ("JPY")		
Notional amount in JPY	10,000,000	10,000,000
Notional amount in EUR	74,047	80,392
Average receive rate	0.005%	0.01%
Average pay rate	3.15%	3.15%
Average maturity in years	0.5	1.5

Foreign exchange agreements

The Company entered into foreign currency denominated loans because of low interest rates connected to loans denominated in Japanese Yen and Swiss Francs ("SFR"). The use of cross currency swaps allows the Company to reduce the exposure to the risk of adverse changes in exchange rates. Fixed interest rates as of December 31, 2003, range from 6.4% to 7.7%.

The following table indicates the types of foreign exchange agreements in use at December 31, 2003 and 2002, and if applicable their weighted-average interest rates, the weighted-average remaining terms and the respective exchange rates of the contracts:

	2003	2002
Cross Currency Swaps EUR - SFR		
Notional amount in EUR	176,635	176,635
Notional amount in SFR	300,000	300,000
Average receive rate - SFR	5.47%	5.47%
Average pay rate - EUR	7.65%	7.65%
Average maturity in years	1.4	2.4
Cross Currency Swaps EUR - JPY		
Notional amount in EUR	73,554	73,554
Notional amount in JPY	10,000,000	10,000,000
Average receive rate - JPY	3.15%	3.15%
Average pay rate - EUR	6.41%	6.41%
Average maturity in years	0.5	1.5
Forward exchange contracts - US $		
Notional amount in EUR	2,862	3,599
Notional amount in US $	3,350	3,600
Forward exchange rate (weighted)	1.17	1.00
Exchange rate as of the balance sheet date	1.26	1.05
Longest term of the contracts	February 2004	March 2003

The notional amounts of the derivative instruments above do not represent amounts exchanged by the parties and, therefore, are not a measure of our exposure. The Company's exposure is limited to the fair value of the contracts with a positive fair value plus interest receivable, if any, at the reporting date.

(all amounts in EUR '000s) Telekom Austria 2003 99

The following table summarizes the fair values of financial instruments:

	2003		2002	
	Carrying amount	Fair value	Carrying amount	Fair value
Financial instruments				
Cash	201,926	201,926	27,337	27,337
Accounts receivable – trade	559,872	559,872	451,934	451,934
Balances due from related parties	1,549	1,549	6,723	6,723
Accounts payable – trade	(589,368)	(589,368)	(649,890)	(649,890)
Payables to related parties	(26,657)	(26,657)	(37,198)	(37,198)
Securities held-to-maturity	124,951	141,547	138,454	159,469
Securities available-for-sale	19,344	19,344	18,948	18,948
Long-term debt	(2,342,288)	(2,423,348)	(2,079,885)	(2,203,008)
Derivative financial instruments				
Interest rate swap agreements	(19,582)	(19,582)	(20,996)	(20,996)
Cross currency swap agreements	13,065	13,065	36,034	36,034
Foreign currency forward contract	(180)	(180)	(160)	(160)

(20) SHAREHOLDERS' EQUITY

Accounting for derivative and hedging activities

Derivative financial instruments are used by the Company to manage its exposure to adverse fluctuations in interest and foreign exchange rates. The Company has established a control environment which includes policies and procedures for risk assessment, approval, reporting and monitoring of derivative financial instrument activities. The Company is not a party to leveraged derivatives and the policies prohibit the holding or issuing of financial instruments for speculative purposes.

For derivatives designed either as fair value or cash flow hedges, changes in the time value of the derivatives are excluded from the assessment of hedge effectiveness and are recorded in earnings. Hedge ineffectiveness, determined in accordance with SFAS No. 133 had no impact on the Company's earnings for the years ended December 31, 2003 and 2002, respectively. No fair value hedges or cash flow hedges were derecognized or discontinued during the years ended December 31, 2003 and 2002, respectively.

The cumulative unrealized gains and losses for hedging activities recorded in other comprehensive income are as follows:

At December 31,	**2003**	**2002**
Unrealized Losses		
Gross	(10,645)	(17,148)
Less income tax	3,498	5,559
Net of income tax	**(7,147)**	**(11,589)**
Unrealized Gains		
Gross	–	1,890
Less income tax	–	(643)
Net of income tax	–	1,247
Unrealized net loss	**(7,147)**	**(10,342)**

 (all amounts in EUR '000s)

Other comprehensive income

Other comprehensive income consist of the following items:

	Unrealized gain (loss) on securities	Unrealized gain (loss) on hedging activities	Foreign currency translation	Accumulated other comprehensive income
Balance January 1, 2001	1	-	(28)	(27)
Cumulative effect of accounting change, net of income tax	-	(10,959)	-	(10,959)
Changes, net of income tax	(162)	(2,102)	14,630	12,366
Balance December 31, 2001	**(161)**	**(13,061)**	**14,602**	**1,380**
Changes, net of income tax	(687)	2,719	(6,496)	(4,464)
Balance December 31, 2002	**(848)**	**(10,342)**	**8,106**	**(3,084)**
Changes, net of income tax	2,214	3,195	(10,690)	(5,281)
Balance December 31, 2003	**1,366**	**(7,147)**	**(2,584)**	**(8,365)**

Sale of American call option

On November 21, 2000, Telekom Austria purchased 3,832,248 American call options for a premium of EUR 12,527. The expiration date is February 27, 2004. The underlying share of the American call option is the share of Telekom Austria AG. The strike and execution price of the call option is Euro 9 and settlement is either physical delivery of the shares or cash, at the request of Telekom Austria. The American call option will be used to satisfy any obligation resulting from the stock option plan. As of December 31, 2003, together with mobilkom austria, the Company holds 3,326,881 options.

In 2003, the Company sold 610,000 American call options for an aggregate price of EUR 957. In 2002, the Company sold 717,701 American call options for an aggregate price of EUR 1,245. As the original acquisition of the options was accounted for as permanent equity under the provisions of EITF 00-19, proceeds from the sale of the options have been credited net of tax directly to additional paid in capital in the accompanying statement of changes in shareholders' equity.

Treasury shares

At the Annual General Meeting on June 4, 2003, the Management Board was authorized to increase the share capital by up to EUR 21,810 in order to provide stock options to be granted to employees, directors and members of the Management Board of the Company or of an affiliated company for a period of five years, ending 2008.

In addition, the Management Board was authorized to acquire up to 50 million treasury shares at a minimum price of Euro 9 and a maximum price of Euro 15 per share during a period of 18 months, ending at the end of 2004, and is empowered to either retire these shares or use them to satisfy the obligation under the stock option program described in note (17).

Restricted earnings

Under the "Austria Stock Corporation Act", retained earnings available for distribution to shareholders are based upon the unconsolidated retained earnings of Telekom Austria AG as reported in its balance sheet determined in accordance with the Austrian Commercial Code.

The net income of Telekom Austria AG including released untaxed reserves of EUR 63,096 amounts to EUR 396,710. According to the Stock Corporation Act, Article 126, the supervisory board and the management board have decided to transfer EUR 300,000 to retained earnings, resulting in unappropriated profits of EUR 69,710. The management board and supervisory board plan to propose to the shareholders at the annual general shareholders' meeting a distribution from unappropriated earnings of Euro 0.13 per zero par value share.

(all amounts in EUR '000s)

(21) REVENUES

Year ended December 31,	2003	2002	2001
Revenues from services	3,726,955	2,931,892	2,555,596
Revenues from sales of merchandise	242,795	186,172	104,064
Total	**3,969,750**	**3,118,064**	**2,659,660**

(22) OTHER OPERATING EXPENSES

Year ended December 31,	2003	2002	2001
Interconnection	421,787	361,608	562,736
Repairs	178,256	167,496	137,345
Services received	201,050	99,395	39,626
Advertising and marketing	198,362	153,737	75,368
Other support services	107,079	87,121	59,027
Rental expenses	74,358	67,666	52,130
Commission expenses	41,078	25,347	4,531
Bad debt expenses	30,629	39,184	15,069
Legal and other consulting	44,451	54,368	55,304
Charges from related parties	15,013	32,980	35,062
Travel expenses	23,696	23,363	24,676
Other taxes	7,201	8,665	5,242
Energy	21,979	21,285	21,752
Training expenses	13,129	11,773	7,131
Other	85,453	51,366	58,931
Total	**1,463,521**	**1,205,354**	**1,153,930**

In accordance with SFAS No. 144, as amended, the net loss from retirement of long-lived assets in 2003, 2002 and 2001 respectively, of EUR 41,571, EUR 18,715 and EUR 39,020 is presented in other operating expenses, other.

(23) OTHER, net

Year ended December 31,	2003	2002	2001
Foreign exchange losses	(246,883)	(216,261)	(63,632)
Foreign exchange gains	242,013	211,422	56,474
Dividend income	48	448	2,229
Other	4,255	6,721	2,173
Total	**(567)**	**2,330**	**(2,756)**

(24) COMMITMENTS AND CONTINGENCIES

In the normal course of business the Company is subject to proceedings, lawsuits and other claims, including proceedings under laws and regulations related to interconnection. Such matters are subject to many uncertainties, and outcomes are not predictable with certainty. Consequently, management is unable to ascertain the ultimate aggregate amount of monetary liability or financial impact with respect to these matters at December 31, 2003. These matters could affect the operating results or cash flows of any one quarter when resolved in future periods. However, management believes that after final disposition, any monetary liability or financial impact to the Company beyond that provided for at year-end would not be material to its consolidated financial statements.

(all amounts in EUR '000s)

(25) CASH FLOW STATEMENT

Following is a summary of supplemental cash flow information:

Year ended December 31,	2003	2002	2001
Cash paid for			
Interest	182,836	173,940	180,436
Income taxes	16,246	10,558	10,235
Cash received for			
Interest	3,128	11,122	18,176
Tax refunds	-	21	91,255
Non cash investing and financing			
Dividends	-	28,294	267,505
Cross border leasing	-	-	86,315

(26) SEGMENT REPORTING

As of January 1, 2003 management reorganized its operations into three segments: wireline, wireless and other activities. The segment reporting for the years 2002 and 2001 was reformatted to provide comparable data.

Wireline includes fixed line, data communications and internet services and focuses on wholesale and retail customers. Wholesale customers including telecommunications operators and service providers are offered network-based services, while retail customers, including business and residential end-users are offered voice telephony, data communications, internet and other services.

Wireless, operated by our mobile communications segment, offers a full range of digital mobile communications services to business and residential customers.

The segment other activities contains the financing activities of the Company.

Adjusted EBITDA is defined by the Company as operating income before depreciation, amortization and impairment charges. The Company uses adjusted EBITDA to measure the performance of segments because it is commonly used in the telecommunications industry as a comparative measure of financial performance. In addition, the Company believes it is a widely accepted indicator of its ability to incur and service debt.

The accounting policies of the segments are the same as those described in the summary of significant accounting policies (see note (1)).

For the period ended December 31, 2003, the segment totals reconcile to the consolidated financial statements as a result of eliminating transactions and balances between consolidated segments. For the periods ended December 31, 2002 and 2001, respectively, the reconciliation additionally includes the results of operations of mobilkom austria prior to June 28, 2002 (see note (2)).

(all amounts in EUR '000s)

	Wireline	Wireless	Other activities	Segment totals	Eliminations	Consolidated
Year ended December 31, 2003						
External revenues	2,029,893	1,939,857	-	3,969,750	-	3,969,750
Intersegmental revenues	167,758	90,344	-	258,102	(258,102)	-
Total revenues	**2,197,651**	**2,030,201**	**-**	**4,227,852**	**(258,102)**	**3,969,750**
Adj. EBITDA (excl. Impairment charges)	780,508	727,057	(45)	1,507,520	2,277	1,509,797
Impairment charges	6,825	-	-	6,825	-	6,825
Adj. EBITDA (incl. Impairment charges)	773,683	727,057	(45)	1,500,695	2,277	1,502,972
Depreciation and amortization	807,935	325,620	-	1,133,555	(407)	1,133,148
Operating Income	(34,252)	401,437	(45)	367,140	2,684	369,824
Total assets	6,116,105	3,131,630	1,125,178	10,372,913	(2,476,648)	7,896,265
Additions to property, plant and equipment	300,991	294,629	-	595,620	(363)	595,257

	Wireline	Wireless	Other activities	Segment totals	Eliminations	Mobile communications	Consolidated
Year ended December 31, 2002							
External revenues	2,090,006	1,819,219	-	3,909,225		not provided	
Intersegmental revenues	170,005	90,132	-	260,137			
Total revenues	**2,260,011**	**1,909,351**	**-**	**4,169,362**	**(144,348)**	**(906,950)**	**3,118,064**
Adj. EBITDA (excl. Impairment charges)	807,562	649,487	(73)	1,456,976	7,691	(349,109)	1,115,558
Impairment charges	41,871	-	-	41,871	-	-	41,871
Adj. EBITDA (incl. Impairment charges)	765,691	649,487	(73)	1,415,105	7,691	(349,109)	1,073,687
Depreciation and amortization	880,971	268,757	-	1,149,728	(196)	(133,220)	1,016,312
Operating Income	(115,280)	380,730	(73)	265,377	7,887	(215,889)	57,375
Total assets	6,428,133	2,832,149	1,007,006	10,267,288	(1,732,950)	-	8,534,338
Additions to property, plant and equipment	340,710	321,656	-	662,366	(2,300)	(129,100)	530,966

(all amounts in EUR '000s)

	Wireline	Wireless	Other activities	Segment totals	Eliminations	Mobile communications	Consolidated
Year ended December 31, 2001							
External revenues	2,437,429	1,506,026	-	3,943,455	not provided		
Intersegmental revenues	222,108	207,153	292	429,553			
Total revenues	**2,659,537**	**1,713,179**	**292**	**4,373,008**	**(169)**	**(1,713,179)**	**2,659,660**
Adj. EBITDA (excl. Impairment charges)	814,821	564,716	(72)	1,379,465	(7)	(564,716)	814,742
Impairment charges	145,126	-	-	145,126	-	-	145,126
Adj. EBITDA (incl. Impairment charges)	669,695	564,716	(72)	1,234,339	(7)	(564,716)	669,616
Depreciation and amortization	904,075	267,784	-	1,171,859	-	(267,784)	904,075
Operating Income	(234,380)	296,932	(72)	62,480	(7)	(296,932)	(234,459)
Total assets	7,352,012	2,214,101	520,046	10,086,159	(144,736)	(2,214,101)	7,727,322
Additions to property, plant and equipment	449,031	363,177	-	812,208	-	(363,177)	449,031

EBITDA differs from consolidated net income as a result of the following differences:

Year ended December 31,	**2003**	**2002**	**2001**
Adj. EBITDA – segment totals	1,507,520	1,456,976	1,379,465
Impairment charges	(6,825)	(41,871)	(145,126)
Adj. EBITDA – segment totals	**1,500,695**	**1,415,105**	**1,234,339**
Depreciation and amortization	(1,133,148)	(1,016,312)	(904,075)
Interest income	75,167	88,191	82,683
Interest expense	(230,979)	(244,628)	(240,986)
Adj. EBITDA – mobilkom austria prior to acquisition	-	(349,109)	(564,715)
Equity in earnings of affiliates – mobilkom austria prior to acquisition	-	142,906	197,941
Equity in earnings of affiliates – other	19,112	(2,363)	(2,491)
Other	1,710	10,021	(2,764)
Income before taxes, minority interests and cumulative effect of change in accounting principle	**232,557**	**43,811**	**(200,068)**
Income tax expense	(83,036)	(26,112)	94,913
Minority interests	(3,422)	(4,910)	530
Cumulative effect of change in accounting principle, net of tax	(11,858)	-	-
Net income	**134,241**	**12,789**	**(104,625)**

In 2003, 2002 and 2001, more than 89%, 90% and 94%, respectively, of the revenues generated by the reportable segments relate to operations in Austria. As of December 31, 2003 and 2002, respectively, 93% and 94% of the long-lived assets were located in Austria.

(all amounts in EUR '000s)

(27) SUBSEQUENT EVENTS

On January 21, 2004, Telecom Italia International N.V. sold its residual shareholding, corresponding to 73.9 million shares or 14.78% of Telekom Austria's share capital, in a private placement to institutional investors at a price of Euro 10.55 per share. Following completion of this transaction, the free float in Telekom Austria's share capital increased to 52.83%. The remaining stake is owned by ÖIAG, representing the Republic of Austria. ÖIAG and Telekom Austria have each entered lock-up agreements that end on May 31, 2004.

On February 16, 2004, the Company acquired 33.33% of IVS Interactive Video Services GmbH, Vienna, bringing its total interest to 100%. The purchase price amounted to EUR 202.

As of February 27, 2004, the average share price had exceeded the Initial Public Offering price by 30% or more for five consecutive days. Therefore, the 3,268,850 stock options / stock appreciation rights discussed in note (17) became exercisable. Therefore, compensation expense estimated at EUR 8,832 will be recorded in the first quarter 2004.

On February 27, 2004, the Company exercised its 3,326,881 American call options on treasury shares which were acquired during the Initial Public Offering in November 2000 to limit the Company's exposure under the stock option plan that expired on February 27, 2004. The strike price of each call option was Euro 9. Following the exercise of the options, 3,326,881 Telekom Austria shares, i.e. 0.67% of its share capital, were credited to the accounts of Telekom Austria through an off-market transaction on March 3, 2004.

Independent Auditor's Report

The supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Telekom Austria Aktiengesellschaft and subsidiaries as of December 31, 2003 and 2002, and the related consolidated statements of income, stockholders' equity and comprehensive income, and cash flows for the years then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We did not audit the financial statements of mobilkom austria AG & Co KG and mobilkom austria AG and subsidiaries (collectively "mobilkom"), wholly-owned consolidated subsidiaries (74.999% owned unconsolidated subsidiaries from January 1, 2002 to June 28, 2002) whose total assets as of December 31, 2003 and 2002 constitute 35.6 percent and 32.2 percent of total consolidated assets and whose revenues for the year ended December 31, 2003 and for the period June 28, 2002 to December 31, 2002, respectively, constitute 48.9 percent and 30.7 percent of total consolidated revenues. Those statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for mobilkom, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the management, as well as evaluating the overall financial statement presentation. We believe that our audits and the report of the other auditors provide a reasonable basis for our opinion.

In our opinion, based on our audits and the report of the other auditors, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria Aktiengesellschaft and subsidiaries as of December 31, 2003 and 2002, and the results of their operations and their cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in note 1 to the consolidated financial statements, the Company adopted the provisions of Statement of Financial Accounting Standards No. 143 "Accounting for Asset Retirement Obligations" effective January 1, 2003 and Statements of Financial Accounting Standards No. 141 "Business Combinations" and No. 142 "Goodwill and Other Intangible Assets" effective January 1, 2002.

KPMG Alpen-Treuhand GmbH
Wirtschaftsprüfungs-und Steuerberatungsgesellschaft

Vienna, Austria
March 10, 2004

Independent Auditor's Report

The Supervisory Board and Stockholders
mobilkom austria AG & Co KG and
mobilkom austria AG:

We have audited the consolidated balance sheets of mobilkom austria AG & Co KG and mobilkom austria AG and subsidiaries (collectively "mobilkom"), wholly-owned consolidated subsidiaries of Telekom Austria Aktiengesellschaft (74.999% owned unconsolidated subsidiaries from January 1, 2002 to June 28, 2002), as of December 31, 2003 and 2002, and the related consolidated statements of income, stockholders' equity and comprehensive income, and cash flows for the years then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of mobilkom as of December 31, 2003 and 2002, and the results of its operations and its cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in note 1 to the consolidated financial statements, the Company adopted the provisions of Statement of Financial Accounting Standards No. 143 "Accounting for Asset Retirement Obligations" effective January 1, 2003 and Statements of Financial Accounting Standards No. 141 "Business Combinations" and No. 142 "Goodwill and Other Intangible Assets" effective January 1, 2002.

Grant Thornton
Wirtschaftsprüfungs-und Steuerberatungs-GmbH

Vienna, Austria
February 12, 2004

Independent Auditor's Report

The Supervisory Board and Stockholders
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheet of Telekom Austria Aktiengesellschaft and subsidiaries as of December 31, 2001, and the related consolidated statement of income, stockholders' equity and comprehensive income, and cash flows for the year then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits.

We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

In our opinion, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria as of December 31, 2001, and the results of its operations and its cash flows for the year then ended in conformity with accounting principles generally accepted in the United States of America.

Grant Thornton – Jonasch & Platzer
Wirtschaftsprüfungs-und Steuerberatungs-OHG

KPMG Austria GmbH
Wirtschaftsprüfungs-und Steuerberatungsgesellschaft

Vienna, Austria
March 20, 2002

Additional Disclosures to the Consolidated Financial Statements required by Austrian Accounting Rules

Financial reporting pursuant to US Generally Accepted Accounting Principles (U.S. GAAP)

The consolidated financial statements as of December 31, 2003 were prepared in accordance with accounting principles generally accepted in the United States of America (U.S. GAAP). According to the provisions of section 245a of the Austrian Commercial Code ("Handelsgesetzbuch" or "HGB"), a company is exempted from preparing consolidated financial statements under Austrian law if it prepares consolidated financial statements in accordance with international principles and thereby also meets the requirements set forth in subsection 1, paragraphs 1 to 3. The disclosures necessary to meet these requirements are provided in the following.

Major differences between Austrian Accounting Rules and U.S. GAAP (section 245a subsection 1 para. 1 HGB)

Partially, the accounting rules set forth in HGB and U.S. GAAP are based on different underlying principles. Accounting under HGB places greater emphasis on the principles of prudence and creditor protection, while U.S. GAAP focus more strongly on providing investors with relevant information for decision-making.

In these financial statements, the differences between HGB and U.S. GAAP regulations affect the following accounting areas:

1. Internally developed software

Under certain conditions, U.S. GAAP requires the capitalization of development costs for internally developed software. HGB does not permit the capitalization of such self developed assets.

2. Deferred taxes

U.S. GAAP requires the capitalization of deferred taxes arising from temporary differences between the carrying amount of an asset or liability in the balance sheet prepared using U.S. GAAP and in that prepared according to the tax code, as well as from the capitalization of expected benefits from tax loss carryforwards. Austrian accounting rules require the capitalization of deferred tax liabilities; the capitalization of deferred tax assets is optional for individual financial statements, but mandatory for consolidated financial statements. According to the prevailing view, the recognition of deferred tax assets on tax loss carryforwards is prohibited by HGB.

3. Other accruals

Under U.S. GAAP accruals must be created for obligations to third parties if these obligations are considered likely to arise and can be reliably valued. According to HGB, the principle of conservatism governs the creation of accruals. In practice, this frequently leads to the creation of accruals as soon as a potential obligation is identified.

According to U.S. GAAP, non-current obligations should generally be discounted. According to the prevailing view, such discounting is prohibited by HGB.

4. Accruals for contractual termination benefits

In the consolidated financial statements prepared in accordance with U.S. GAAP, a contractual termination benefit obligation must be recognized when an employee has accepted the company's offer and the amount of the obligation can be reasonably estimated. The accrual is recorded at the present value of the expected future payment. According to HGB, this obligation must be recognized as soon as occurrence is probable and the amount can be reasonably estimated, independent of the acceptance by the employee. According to the prevailing view, HGB does not allow the valuation of such obligations at their present value.

5. Accruals for severance payments, service awards and pensions

In the consolidated financial statements prepared according to U.S. GAAP, the accruals for severance payments, service awards and pensions are calculated according to the projected unit credit method with the corridor method used for severance payments and pension accruals. According to the prevailing view, the projected unit credit method does not contradict the provisions of HGB but the corridor method does not meet HGB requirements.

6. Asset Retirement Obligations

In compliance with US GAAP, the company adopted SFAS No. 143 as of January 1, 2003 and records the fair value of an asset retirement obligation as a liability in the period in which the legal obligation associated with the retirement of a tangible long-lived asset is incurred. An amount equal to the initial obligation is recorded as an increase to the carrying amount of the related long-lived asset and depreciated over the remaining useful life of the asset. The liability is adjusted at the end of each period to reflect the passage of time and changes in the estimated future cash flows. The cumulative change net of taxes resulting from this change of accounting principle as of January 1, 2003 amounted to EUR 11,858, with the asset retirement obligations as of January 1 and December 31, 2003 amounting to EUR 21,954 and EUR 23,262, respectively.

7. Valuation of marketable securities

With the exception of securities held-to-maturity, securities are stated at fair value in accordance with U.S. GAAP. Unrealized gains and losses are recorded in a separate component of stockholders' equity with no effect being recognized in earnings. According to HGB, marketable securities must be reported at cost less any extraordinary writedowns made to reflect expected permanent impairment. Under HGB, marketable securities are reported at the lower of purchase price or fair value as of the balance sheet date.

8. Asset backed securitization program

In accordance with U.S. GAAP, trade receivables that are sold to a qualifying special purpose entity must be recorded as an asset disposal if certain conditions are met. Individual valuation adjustments for uncollectible receivables are shown under accruals.

Under Austrian accounting rules, the accounting treatment of sold receivables must be based on economic principles if the risk of collection remains with the seller (artificial factoring transaction). Where economic ownership remains with the selling company, these sold receivables must continue to be shown on the balance sheet of the seller.

9. Foreign currency translation

In accordance with U.S. GAAP, monetary balance sheet items denominated in foreign currencies are translated at the average exchange rate on the balance sheet date. Both unrealized gains and unrealized losses are recognized. HGB does not allow the recognition of unrealized foreign currency translation gains. For these cases, HGB prescribes the lower of cost or market principle for the translation of monetary items.

10. Derivative financial instruments

According to U.S. GAAP, derivative financial instruments are to be carried at fair value. Changes in fair value are recognized immediately in earnings. For derivatives that qualify for hedge accounting in accordance with SFAS 133, changes in fair value are recorded in stockholders' equity (as a component of other comprehensive income) for cash flow hedges or recognized in earnings for fair value hedges. Moreover, the ineffective portion of any value changes to a cash flow hedge is immediately recognized in earnings. When a cash flow hedge is realized, all relevant amounts recorded under equity are transferred to earnings.

According to Austrian accounting principles, an accrual must be created for unrealized losses arising from changes in fair value. Unrealized gains are not recognized. In cases where the derivative financial instrument and the related contract form a single valuation unit, changes in the value of the derivative and hedged item are not recognized.

Additional notes in accordance with HGB (section 245a subsection 1 para. 3 HGB)

Consolidated Schedule of Changes in Fixed Assets

Acquisition/ manufacturing costs	**Jan. 1, 2003**	**Additions**	**Additions from initial consolidation**	**Disposal**	**Reclassifi-cation**	**Currency adjustments**	**Dec. 31, 2003**
Goodwill	627,727	12,774	-	(47)	-	(6,859)	633,595
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	1,197,313	93,851	13,283	(34,891)	34,885	(2,436)	1,302,005
Other intangible assets	37,952	3,441	685	(4,634)	(1,448)	(138)	35,858
Intangible assets	**1,862,992**	**110,066**	**13,968**	**(39,572)**	**33,437**	**(9,433)**	**1,971,458**
Land, buildings and leasehold improvements [1]	715,472	14,341	-	(15,744)	9,709	(453)	723,325
Communication networks and other equipment	9,358,138	385,423	396	(498,882)	147,360	(10,439)	9,381,996
Capital leases	16,207	239	-	(2,444)	-	(39)	13,963
Construction in progress	235,263	142,716	-	(24)	(190,506)	(962)	186,487
Property, plant and eqipment	**10,325,080**	**542,719**	**396**	**(517,094)**	**(33,437)**	**(11,893)**	**10,305,771**
Investments in affiliates [2]	13,104	1,312	-	(10,860)	-	-	3,556
Other financial assets	162,682	5,258	-	(21,471)	-	-	146,469
Financial assets	**175,786**	**6,570**	**-**	**(32,331)**	**-**	**-**	**150,025**
Total	**12,363,858**	**659,355**	**14,364**	**(588,997)**	**-**	**(21,326)**	**12,427,254**

[1] value of land thereof 62,462 (Jan. 1, 2003) 60,281 (Dec. 31, 2003)

[2] Equity valuation of investment within consolidated accounting

(all amounts in EUR '000s)

Accumulated amortization and depreciation	Jan. 1, 2003	Additions	Additions from initial consolidation	Disposal	Reclassifi-cation	Currency adjustments	Dec. 31, 2003
Goodwill	37,000	-	-	(47)	-	(935)	36,018
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	350,084	144,407	26	(31,032)	(1,315)	(785)	461,385
Other intangible assets	15,879	2,992	685	(2,119)	-	(69)	17,368
Intangible assets	**402,963**	**147,399**	**711**	**(33,198)**	**(1,315)**	**(1,789)**	**514,771**
Land, buildings and leasehold improvements	238,882	43,081	-	(7,368)	173	(105)	274,663
Communication networks and other equipment	5,219,235	945,830	297	(452,393)	2,012	(4,448)	5,710,533
Capital leases	8,843	3,663	-	(2,444)	-	(31)	10,031
Construction in progress	870	-	-	-	(870)	-	-
Property, plant and eqipment	**5,467,830**	**992,574**	**297**	**(462,205)**	**1,315**	**(4,584)**	**5,995,227**
Investments in affiliates	4,462	-	-	(4,462)	-	-	-
Other financial assets	-	2,840	-	-	-	-	2,840
Financial assets	**4,462**	**2,840**	**-**	**(4,462)**	**-**	**-**	**2,840**
Total	**5,875,255**	**1,142,813**	**1,008**	**(499,864)**	**-**	**(6,373)**	**6,512,838**

(all amounts in EUR '000s)

Carrying amount	Jan. 1, 2003	Additions	Additions from initial consolidation	Disposal	Reclassifi-cation	Amortization & Depreciation	Currency adjustments	Dec. 31, 2003
Goodwill	590,727	12,774	-	-	-	-	(5,924)	597,577
Concessions, industrial property and similar rights and assets, and licenses in such rights and assets	847,229	93,851	13,257	(3,859)	36,200	(144,407)	(1,651)	840,620
Other intangible assets	22,073	3,441	-	(2,515)	(1,448)	(2,992)	(69)	18,490
Intangible assets	**1,460,029**	**110,066**	**13,257**	**(6,374)**	**34,752**	**(147,399)**	**(7,644)**	**1,456,687**
Land, buildings and leasehold improvements	476,590	14,341	-	(8,376)	9,536	(43,081)	(348)	448,662
Communication networks and other equipment	4,138,903	385,423	99	(46,489)	145,348	(945,830)	(5,991)	3,671,463
Capital leases	7,364	239	-	-	-	(3,663)	(8)	3,932
Construction in progress	234,393	142,716	-	(24)	(189,636)	-	(962)	186,487
Property, plant and eqipment	**4,857,250**	**542,719**	**99**	**(54,889)**	**(34,752)**	**(992,574)**	**(7,309)**	**4,310,544**
Investments in affiliates	8,642	1,312	-	(6,398)	-	-	-	3,556
Other financial assets	162,682	5,258	-	(21,471)	-	(2,840)	-	143,629
Financial assets	**171,324**	**6,570**	**-**	**(27,869)**	**-**	**(2,840)**	**-**	**147,185**
Total	**6,488,603**	**659,355**	**13,356**	**(89,132)**	**-**	**(1,142,813)**	**(14,953)**	**5,914,416**

The totals in the above tables may differ from the sum of their components as a result of rounding.

(all amounts in EUR '000s)

Affiliated Companies

Name and Corporate Seat	Share in capital as of Dec. 31, 2003 %
Fully consolidated subsidiaries	
Telekom Finanzmanagement GmbH, Vienna	100.00
Telekom Projektentwicklungs GmbH, Vienna	100.00
Telekom Austria Beteiligungen GmbH, Vienna	100.00
Telekom Austria Internationale-Beteiligungsverwaltung GmbH, Vienna	100.00
Telekom Austria Personalmanagement GmbH, Vienna	100.00
mobilkom austria AG & Co KG, Vienna	100.00
mobilkom austria AG, Vienna	100.00
Mobilkom International GmbH, Vienna	100.00
Mobilkom International GmbH & Co KEG, Vienna	100.00
Mobilkom Beteiligungsgesellschaft mbH, Vienna	100.00
mobilkom [liechtenstein] AG, Vaduz	100.00
Jet2Web Magyarorszag Kft, Budapest	100.00
Jet2Web Slovakia s.r.o., Bratislava	100.00
TA Mreža d.o.o., Ljubljana	100.00
Czech On Line a.s., Prague	100.00
A1 Bank AG, Vienna	100.00
Österreichische Fernmeldetechnische Entwicklungs- und Fördergesellschaft m.b.H., Vienna	100.00
paybox austria AG, Vienna	100.00
paybox central eastern europe AG, Munich	100.00
3G Mobile Telecommunications GmbH, Vienna	100.00
World-Direct eBusiness Solutions GmbH, Vienna	100.00
VIPnet d.o.o., Zagreb	99.00
Si.mobil telekomunikacijske storitve d.d., Ljubljana	75.00
IVS Interactive Video Services GmbH, Vienna	66.67
medienprojekte + service GmbH in Liquidation, Klosterneuburg	[1]
Affiliated companies consolidated using the equity method	
Omnimedia Werbegesellschaft mbH, Vienna	26.00
Output Service GmbH, Vienna	25.10

[1] This company is fully consolidated even though no shares are owned.

(all amounts in EUR '000s)

Employees

The average number of employees during the business year 2003 was 14,657 (2002: 15,714).

Expenses for Pensions and Severance Payments	**2003**	**2002**
Board members and top-level Management	1,599	1,312
Other employees	64,856	36,792
Total	66,455	38,104

Remuneration paid to the Managing Board and Supervisory Board

In 2003, remuneration expenses for the members of the Management Board amounted to EUR 1,378, and in addition attributable bonuses of EUR 676. The actual amount of bonuses will depend on the extent of achievement of specified performance goals and will be determined in 2004. In 2002, the amount of remuneration expense was EUR 1,224, and in addition attributable bonuses of EUR 634 were paid in 2003. Fees paid to the members of the Supervisory Board totaled EUR 94 in 2003 and EUR 113 in 2002.

Vienna, March 10, 2004

The Managing Board

Heinz Sundt (CEO), Stefano Colombo (Deputy CEO and CFO), Rudolf Fischer (COO Wireline), Boris Nemsic (COO Wireless)

116 Telekom Austria 2003 (all amounts in EUR '000s)

Confirmation According to Para 245a Austrian Commercial Code

The Supervisory Board
Telekom Austria Aktiengesellschaft:

We have audited the accompanying consolidated balance sheets of Telekom Austria Aktiengesellschaft and subsidiaries as of December 31, 2003 and 2002, and the related consolidated statements of income, stockholders' equity and comprehensive income, and cash flows for the years then ended. These consolidated financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We did not audit the financial statements of mobilkom austria AG & Co. KG and mobilkom austria AG and subsidiaries (collectively "mobilkom"), wholly-owned consolidated subsidiaries (74.999 % owned unconsolidated subsidiaries from January 1, 2002 to June 28, 2002) whose total assets as of December 31, 2003 and 2002 constitute 35.6 % and 32.2 % of total consolidated assets and whose revenues for the year ended December 31, 2003 and for the period June 28, 2002 to December 31, 2002, respectively, constitute 48.9 % and 30.7 % of total consolidated revenues. Those statements were audited by other auditors whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for mobilkom, is based solely on the report of the other auditors.

We conducted our audit in accordance with auditing standards generally accepted in Austria and with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits and the report of the other auditors provide a reasonable basis for our opinion.

In our opinion, based on our audits and the report of the other auditors, the consolidated financial statements referred to above present fairly, in all material respects, the financial position of Telekom Austria Aktiengesellschaft and subsidiaries as of December 31, 2003 and 2002, and the results of their operations and their cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

As discussed in note 1 to the consolidated financial statements, Telekom Austria Aktiengesellschaft adopted the provisions of Statement of Financial Accounting Standards No. 143 "Accounting for Asset Retirement Obligations" effective January 1, 2003 and Statement of Financial Accounting Standards No. 141 "Business Combinations" and No. 142 "Goodwill and Other Intangible Assets" effective January 1, 2002.

According to the provisions of Austrian commercial law, the group management report and the existence of the legal preconditions granting exemption from drawing up consolidated financial statements according to Austrian law must be examined.

We confirm that the group management report is consistent with the consolidated financial statements and that the legal requirements for exemption from the obligation to prepare consolidated financial statements according to Austrian law have been fulfilled.

Vienna, March 10, 2004

KPMG Alpen-Treuhand GmbH
Wirtschaftsprüfungs- und Steuerberatungsgesellschaft

Mag. Michael Schlenk   Mag. Helmut Kerschbaumer
Wirtschaftsprüfer und Steuerberater

Glossary

Access Radius: access radius to the network.

ADSL (Asymmetric Digital Subscriber Line): digital transmission technology that allows data transmission rates of up to 8 Mbit/s to the customer (download) and up to 700 Kbit/s from the customer (upload) via standard telephone line.

All-IP Network: an Internet protocol (IP) based network that combines data communications and voice telephony.

ATTC (Austrian Traffic Telematic Cluster): initiated by ASFINAG (Motorway and Highway Financing Group) in the interest of the Austrian economy, this cluster supports the further development and implementation of scientific findings and new technologies in the area of telematic systems for traffic.

Backbone: main connections in a network that normally consists of several nodes, which are connected to each other by high-capacity transmission paths.

Best Practice: generally recognized benchmarking that is based on defined performance criteria to determine and reach the highest standards of quality.

Carrier Selection: a provider also acts as a so-called "interconnection network provider". The customer must dial "10xx" as an access code before the desired number.

Churn Rate: the number of customers who change to another provider, as a percentage of the average subscriber base.

Crystal Net Technology: mobile communications technology for the optimal management of voice and data traffic at individual network levels.

Customer Relationship Management (CRM): business philosophy and corporate culture that places the customer at the focal point of entrepreneurial activity and orients all corporate processes towards this strategy on the basis of IT support systems.

Data Stream: protocol-transparent data services up to 2 Mbit/s with various service level agreements.

Digital Terrestrial Television: transmission of TV signals via digital technologies based on a terrestrial connection.

EDGE (Enhanced Data Services for GSM Evolution) Network: a mobile communications system based on the existing GSM infrastructure. It is characterized by high transmission rates and designed for video or Internet telephony.

GPRS (General Packet Radio Service): data carrier service based on GSM; GPRS allows data transmission at rates between 56 and 114 Kbit/s.

GSM (Global System for Mobile Communications): internationally standardized digital radio network that allows both voice and data transmission.

Hosting: operation management of IT equipment for third parties.

Incumbent: former monopoly provider.

Interconnection: physical and logical connection between different telecommunications networks that enables direct or indirect communication between the users of these different networks.

Internet dial-up: gateway to the Internet via access numbers to dial-in ports (Internet POPs) at a switching center via telephone or ISDN modem over the PSTN network.

Internet Protocol (IP): supplier independent transmission protocol for communications between networks. IP specifies the format of the packets (datagram) and serves as an addressing scheme.

IP Voice Service: transmission of voice, data and multimedia content via a single packet-oriented Internet protocol based network.

ISDN (Integrated Services Digital Network): digital telecommunications network that allows simultaneous voice and data transmission over an access line (bandwidth 2 x 64 Kbit/s to 2 Mbit/s).

ISP (Internet Service Provider): companies that provide access to the Internet.

LAN (Local Area Network): local network which usually covers a limited area, generally with decentralized network management.

m-commerce: collective term for all types of transactions based on mobile electronic media and wireless networks.

Multimedia Messaging Services (MMS): multimedia SMS service that allows the transmission of texts with over 4,000 characters as well as sound (recordings, tones) and images in a single message.

MMS Handset: mobile telephones that support multimedia SMS services (MMS). In combination with a connected or integrated camera photos can be taken and then sent via mobile telephone.

Page Impressions: visual contact between a user and a content-relevant page. This refers to the number of pages that have been retrieved and not to requests for specific elements on the same page (pictures, multimedia etc.).

Partnerships of Excellence: joint research projects with universities, other scientific institutes and technical colleges on specific subjects as well as participation in national and international research programs in the interest of an optimal time-to-market for product development.

Prepaid Market: market for prepaid mobile communication services on the basis of rechargeable mobile phone cards.

PSTN Voice Service (Public Switched Telephone Network): voice telephony services over the traditional public switched telephone network.

Retail: end customer market; the spectrum of customers ranges from individuals to small and medium-sized enterprises and large corporations (key accounts).

Roaming: is the possibility to use mobile telephones in a third party network abroad. Prerequisite is a roaming agreement between one's own mobile communications provider and at least one partner provider in the corresponding country.

SDSL (Symmetric Digital Subscriber Line): technology that allows the same data transmission rate for both upstream and downstream traffic. In contrast, ADSL allows only limited upstream transmission bandwidth.

Security Solutions: modular services for network security.

SMS2Speech: the SMS2Speech function automatically transforms short written messages into voice communications.

UMTS (Universal Mobile Telecommunications System): new mobile communications standard that enables high-performance services on the basis of high data transmission rates of up to 348 Kbit/s, which is 40 times higher than the rate provided by GSM technology. In future, peaks of 2 Mbits/s can be reached in selected areas.

UMTS Coverage: the number of households covered by the UMTS network as a percentage of the total population.

UMTS Launch: commercial start of the sale of UMTS services.

Value-added services: services that extend beyond the usual product range provided by a telecommunications network or enhance existing services.

VIP.parking: mobile solution for the payment of parking fees based on SMS technology (Short Message Service) at VIPnet, Croatia.

Visits: interrelated access (page retrieval etc.) by a user within a defined period of time.

Vodafone Eurocall: business and private customers can telephone in all Vodafone partner networks at a uniform tariff. In addition, customers may send GPRS pictures, read and send e-mails or access other data services via their mobile phone in foreign countries, without changing their GPRS settings.

Wholesale: reseller; in the telecommunication industry it refers to providers of voice telephony, data communications, mobile communications and Internet services.

Web Communication Services: normally directed to 1-to-1 communication between people over the Internet. Classic forms are e-mails, WebSMS and instant messaging; new forms are e-cards and video chats.

xDSL: collective term for all types of broadband network access lines based on traditional copper lines at a short distance to the switching center (4 km). The most important xDSL technologies are ADSL (asymmetric), SDSL (symmetric), HDSL (high data rate) and VDSL (very high) digital subscriber line.

Stock Exchange & Finance

American Call Option: purchase option that – in contrast to a European option – may be exercised at any time during its term.

ARPU (Average Revenue Per User): average revenue per customer; traditional figure in the mobile communications industry

At equity: see equity method.

ATX (Austrian Traded Index): the key index of the Vienna Stock Exchange.

Audit Committee: US stock exchange guidelines require companies traded on US stock exchanges to establish an audit committee. This body supervises the company's reporting process, and issues expert opinions on the company's financial statements.

"BBB"-, "Baa2"-Rating: credit rating for issuers and bond quality assigned by Standard & Poor's and Moody's with the following meaning:
An obligor rated 'BBB' has ADEQUATE capacity to meet its financial commitments. However, adverse economic conditions or changing circumstances are more likely to lead to a weakened capacity of the obligor to meet its financial commitments. (Source: S&P)

CAPEX Board: internal committee to control acquisitions of property, plant and equipment.

Code of Ethics: companies traded on the New York Stock Exchange are required to issue a code of ethics. This policy includes written rules for managers in the financial area and also mandates complete, timely, transparent, exact and understandable reporting and announcements, and establishes penalties for violation of these rules.

Compliance Guidelines: corporate regulations that specify organizational measures to prevent stock trading based on price-relevant information that is not yet available to the public as well as the confidential treatment of such insider information.

Corporate Governance: "corporate constitution"; the corporate governance code represents a set of rules for the responsible management and control of a company.

DAX: German stock index.

DJ Stoxx Telecom: The Dow Jones Stoxx Telecom Index comprises 25 European telecommunications companies.

Disclosure Committee: supports the Management Board in fulfilling its responsibility to ensure that all information released to shareholders and the public is correct and complete, and reflects the actual financial and operating position of the Group.

EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization), adjusted: Telekom Austria defines adjusted EBITDA as net result excluding interest, taxes, depreciation and amortization, impairment charges, dividend income, income from investments in associates, other non-operating income and expenses, minority interest and the cumulative effect of the change in accounting principles. This equals operating income before depreciation, amortization and impairment charges.

Euro Medium Term Note Program (EMTN): Internationally recognized documentation (terms and conditions) for securities, which also forms the basis for subsequent issuances.

Equity Method: method used to value stakes in companies when a significant influence can be exercised on business policies (associated companies). The proportional share of annual profit/loss is added to or subtracted from the carrying value of the investment. Distributions reduce the carrying value by a proportional amount.

Exchangeable Notes: debt instruments issued by companies, which give the holders of these notes the right to exchange them under certain conditions for one or more shares of a stock corporation, which are owned by the issuing company.

Form 20F: annual report prepared in accordance with standards issued by the US Securities and Exchange Commission (SEC), which must be published each year by issuers that are listed in the US but domiciled in other countries.

FTSE 300 Eurotop: European stock index that includes 300 blue chips in Western Europe and is weighted by market capitalization.

FTSE4Good Index: group of indexes, which includes companies that meet international standards for responsibility to the environment and stakeholders (owners, employees, customers, society)

IPO (Initial Public Offering): the first offering by a company not previously traded on a stock exchange; frequently called "new emission" or "going public".

Lock Up: investors are obliged by investment banks to comply with a certain minimum retention period in conjunction with the public placement of securities.

MSCI World Index: stock index published by Morgan Stanley Capital International (MSCI), which is based on 1,470 stock prices from 20 countries. In addition to the world index, MSCI also publishes regional indexes (MSCI Europe Index).

Net Debt: debt less cash and cash equivalents.

Net Gearing (debt-to-equity ratio): financial liabilities less liquid funds, divided by equity; an indicator of financial security.

ROCE (Return on Capital Employed): operating income divided by equity plus average net debt, an indicator that measures the yield on capital used in the company.

ROE (Return on Equity): net profit divided by equity, an indicator that measures the yield on equity.

Sarbanes-Oxley Act (SOX): comprehensive US law to reform corporate governance rules and corporate reporting.

SEC (US Securities and Exchange Commission): US regulatory authority for capital markets.

SFAS (Statement of Financial Accounting Standards): mandatory accounting principles for companies that prepare financial statements according to U.S. GAAP.

Stock Option Program: a company grants options to key managers for the purchase of shares, which may be exercised at an agreed price after agreed performance criteria are met.

Use the search function to look for a particiular term in the annual report under: **http://ar2003.telekom.at**

Online Annual Report
The Annual Report 2003 of Telekom Austria is also available in a user-friendly onine version on the Internet. This data base-supported online report provides fast access to information, search functions, a sitemap, a glossary, Excel and pdf downloads, linked content, and direct subject access to compile a report for your special interests under:
http://ar2003.telekom.at

Form 20-F
The annual report as filed with the US Securities and Exchange Commision (SEC) is refered to as Form 20-F and is available in English directly from Telekom Austria Investor Relations department or on the corporate website under
www.telekom.at

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Project team:
Hans Fruhmann, Josef M. Kerekes
(Investor Relations)
Max Rabl, Lara Luchesa
(Corporate Communications)

Consulting and coordination:
BCA Mensalia
Translation: Donna Schiller-Margolis
Design: Büro X Wien

Forward-looking Statements
This annual report contains forward-looking statements that involve risks and uncertainties. These forward-looking statements are usually accompanied by words such as "believe", "intend", "anticipate", "plan", "expect" and similar expressions. Our actual results may differ materially from those anticipated in these forward-looking statements as a result of a number of factors. Forward-looking statements involve inherent risks and uncertainties. We caution that a number of important factors could cause actual results or outcomes to differ materially from those expressed in any forward-looking statement. These factors include, but are not limited to, the following:

- the level of demand for telecommunications services or equipment, particularly with regard to access lines, traffic, bandwidth and new products;
- competitive forces in liberalized markets, including pricing pressures, technological developments, alternative routing developments and new access technologies, and our ability to retain market share in the face of competition from existing and new market entrants;
- the effects of our tariff reduction initiatives or other marketing initiatives;
- the impact of insolvencies of our major customers or international suppliers;
- the regulatory developments and changes, including the levels of tariffs, the terms of interconnection, unbundling of access lines and international settlement arrangements;
- our ability to achieve cost savings and realize productivity improvements;
- the success of new business, operating and financial initiatives, many of which involve start-up costs, and new systems and applications, particularly with regard to the integration of service offerings of our newly integrated subsidiaries;
- our ability to secure the licenses we need to offer new services and the cost of these licenses and related network infrastructure build-outs;
- the progress of our domestic and international investments, joint ventures and alliances;
- the impact of our new business strategies and transformation process including the reintegration of subsidiaries and restructuring of operations;
- the availability, terms and deployment of capital and the impact of regulatory and competitive developments on capital expenditures;
- the outcome of current and future litigation in which we are or will be involved;
- the level of demand for our shares which can affect our business strategies;
- our ability to further reduce our existing workforce;
- concerns over health risks associated with the use of wireless handsets or radio frequency emissions from transmission masts;
- changes in the law including regulatory, civil servants and social security, pensions and tax law; and
- general economic conditions, government and regulatory policies, new legislation and business conditions in the markets we serve.

Company Addresses

Telekom Austria AG
Lassallestraße 9
A-1020 Vienna
Tel.: +43 (0)59 059 1 0
Fax: +43 1 718 21 00
www.telekom.at

mobilkom austria AG & Co KG
Obere Donaustraße 29
A-1020 Vienna
Tel.: +43 1 331 61 0
Fax: 0800 664 601 (national)
+43 664 664 601 (international)
www.mobilkomaustria.com

VIPnet d.o.o.
Iblerov trg 10
HR-10000 Zagreb
Croatia
Tel.: +385 1 4691 091
Fax: +385 1 4691 099
www.vipnet.hr

Si.mobil d.d.
Šmartinska cesta 134 b
SI-1000 Ljubljana
Slovenia
Tel.: +386 40 940 804
Fax: +386 40 443 599
www.simobil.si

mobilkom [liechtenstein] AG
Städtlemarkt, Äulestraße 20
FL-9490 Vaduz
Liechtenstein
Tel.: +423 79 79 000
Fax: +423 79 79 009
www.mobilkom.li

Czech On Line a.s.
U Nákladového nádraží 8
CZ-130 00 Praha 3
Czech Republic
Tel.: +420 246 000 111
Fax: +420 246 000 118
www.col.cz

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